China Auto Industry

Preview and implications of 2Q26 earnings; d/g SAIC, GAC to UW

- **Mixed performance in 1H26; earnings revision trend most reliable predictor of stock performance**: China autos collectively fell by 17% YTD, measured by the MSCI China auto index, shy of MXCN -10%. Performance diverged with the winners Sinotruk (49%), Geely (4%) and Nio (-6%) all seeing consensus earnings upgrades through 1H26; they were also the only three OEMs where JPM estimates were above consensus, as highlighted in our 2026 investment theme (click here "*2026: A repeat on 2018+2025*" on Feb 8). In this note, we preview OEMs' 2Q earnings and based on the same thesis, i.e. earnings upgrade momentum in the remainder of the year, our top picks for 2H are **Geely,** followed by **NIO and then BYD;** we see upside earnings potential during the 2Q26 result season (Aug) or in the full year consensus forecast.
- **Two underlying structural trends for sector to continue in 2H26**: **1) Domestically,** we are not expecting a meaningful demand recovery due to lack of consumer confidence, hence our view that further policy stimulus (if any) in 2H26 may only have little impact. After a 23% yearly decline in 1H26, we project domestic PV demand will largely stay around or below seasonality in 2H26 although the yearly decline should narrow to around -10%. Focus in the domestic market is relative growth of NEV after penetration topped a record 63% in June. OEMs with competitive NEV offerings will likely weather domestic headwinds better than peers, e.g. **BYD**, **XPeng** and **Leapmotor**. These could see positive stock reaction to new launches or subsequent sales-through in 2H26. **2) Outside China**, the narrative is completely opposite and very positive; we believe all the main Chinese OEMs' overseas volume guidance will be proven too conservative or see ~20-50% upside. Overseas market will make up ~30-50% of key OEMs' revenue in 2026.
- **Two events to watch in 3Q26**: **1) We believe 2Q/1H earnings results** in mid-late Aug should mostly miss (in particular for SOEs), with a few meets (BYD) and beats (Geely and Nio). Competitive product mix and solid overseas growth will be crucial to support OEMs' profitability. **2) Geopolitically**, whilst not our base case at this point, we would watch for any incremental policy shifts on the **US side** on China's auto industry post the next Trump-Xi meeting tentatively scheduled for late-Sept. Outside the US, the **EU's** potential proposal to impose anti-subsidy tariff on Chinese PHEV (here for our note) may drive negative stock sentiment but fundamentally we believe EU's tariff or non-tariff barrier will, at best, slow but not stop Chinese OEMs' market share wins in Europe. May data suggested Chinese OEMs' market share in entire Europe hit another record of 13% vs. 9% in 2025. Our current projection that Chinese brands will seize 20% share in Western Europe by 2028 will likely be proven conservative.
- Following our earnings revisions: ***1) we cut both SAIC and GAC to UW*** from N, admittedly a late downgrade after their 33%/46% share price decline YTD (MXCN -10%); we believe the underperformance will linger. ***2) We raise Nio estimates*** and keep OW. We believe 2Q26 result will beat; ***Geely*** should also beat. ***3) We trim PTs for selective OEMs*** to reflect more conservative multiples on a weak domestic market and cost pressures. All in all, we advise focusing on OEMs with earnings upside, strong NEV portfolio and high overseas exposure.

China

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See page 83 for analyst certification and important disclosures, including non-US analyst disclosures.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target Prev End Date
BYD Company Limited - A	002594 CH	105,045	CNY	86.98	OW	n/c	124.00	Dec-26	n/c	n/c
BYD Company Limited - H	1211 HK	87,652	HKD	83.95	OW	n/c	124.00	Dec-26	n/c	n/c
Geely Automobile Holdings Ltd. (0175)	175 HK	21,222	HKD	18.17	OW	n/c	29.00	Dec-26	n/c	n/c
XPeng - H	9868 HK	5,323	HKD	50.80	OW	n/c	108.00	Dec-26	118.00	n/c
XPeng	XPEV US	10,704	USD	13.03	OW	n/c	27.00	Dec-26	30.00	n/c
NIO	NIO US	10,863	USD	4.78	OW	n/c	7.00	Dec-26	n/c	n/c
Li Auto	2015 HK	6,095	HKD	47.42	UW	n/c	38.00	Dec-26	56.00	n/c
Li Auto - ADR	LI US	11,906	USD	12.10	UW	n/c	10.00	Dec-26	14.00	n/c
Zhejiang Leapmotor Technology Co.,Ltd	9863 HK	4,363	HKD	36.38	OW	n/c	60.00	Dec-26	90.00	n/c
Great Wall Motor - A	601633 CH	20,202	CNY	15.00	N	n/c	14.00	Dec-26	19.00	n/c
Great Wall Motor - H	2333 HK	9,920	HKD	8.52	N	n/c	8.50	Dec-26	11.50	n/c
SAIC Motor Corp - A	600104 CH	17,137	CNY	9.94	UW	N	7.00	Dec-26	16.00	n/c
Guangzhou Automobile Group - A	601238 CH	4,862	CNY	4.89	UW	N	4.00	Dec-26	8.00	n/c
Guangzhou Automobile Group - H	2238 HK	1,753	HKD	2.04	UW	N	1.10	Dec-26	3.30	n/c
BAIC Motor Corp LTD (1958)	1958 HK	798	HKD	0.78	N	n/c	0.80	Dec-26	1.60	n/c
Chongqing Changan Automobile - A	000625 CH	8,409	CNY	6.89	UW	n/c	4.50	Dec-26	6.60	n/c
Chongqing Changan Automobile - B	200625 CH	653	HKD	3.12	UW	n/c	2.00	Dec-26	2.50	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 13 Jul 26 except for XPEV US [10 Jul 26] NIO US [10 Jul 26] LI US [10 Jul 26].

2H26 recommendations based on preview of 2Q26 earnings results

An underwhelming 1H26 to linger into 2H26

China autos collectively underperformed the market by 4% YTD (measured by the MSCI China auto index vs. MXCN). Top down, we believe this underperformance will linger into 2H26 as overall auto demand will still be down YoY in 2H26, in our view. Indeed, our analysis on China auto's historical share price performance in the past decades suggests the sector has exhibited a high correlation between stock performance and underlying demand momentum, e.g. when underlying auto demand accelerates or grows from the prior year, the likelihood is the sector will rally or outperform in relative terms, and vice versa. Clearly, in 1H26, with overall auto sales down 23% YoY at retail level or -6% at wholesales level (including exports), it didn't help stock performance. Our forecast is domestic retail PV demand would still be down by around 10% YoY in 2H26 or wholesales about -2% to -3%.

Earnings beat ultimate stock driver and most reliable predictor

Whilst the sector underperformed YTD, individual stock performance varied significantly. The winners - Sinotruk (up 49% YTD vs. MXCN down 10%), Geely (up 4%) and to a lesser extent Nio (down moderately 6%) - all saw consensus earnings upgrade during the year.

In our 2026 investment theme report published on Feb 8, "*2026= A repeat of 2018+2025*" (click here), we highlighted Sinotruk and Geely as our top picks for the year whilst our 2026 estimate on Nio was also above consensus. In this report, we provide our preview on OEMs and dealer's 2Q or 1H26 earnings results, and along the same investment theme, we believe **Geely**, followed by **NIO** as well as **BYD** should be focus for investors in 2H26 considering 1) possible earnings upgrade momentum and 2) valuations.

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Table 1: Bloomberg 2026 consensus earnings estimate changes YTD

RMBmn	Jan 2026	Today	% change
BYD	47,854	39,677	-17%
Geely	19,718	21,220	8%
Nio (non GAAP)	(4,434)	16	100%
XPeng (non GAAP)	2,397	(1,590)	-166%
Li Auto (non GAAP)	5,653	(528)	-109%
Leapmotor	3,753	3,035	-19%
Great Wall	15,083	11,161	-26%
SAIC	13,806	11,277	-18%
Guangzhou Auto	(25)	(1,303)	-5071%
BAIC	821	(345)	-142%
Changan Auto	7,684	4,830	-37%
Sinotruk	7,685	8,355	9%

Source: Bloomberg Finance L.P. estimates, as of 12 July 2026.

Table 2: 2Q or 1H26 earnings preview: JPMe vs. Consensus

	J.P. Morgan		Consensus		Difference (%)	
RMBmn	2Q26 estimate	2026 estimates	2Q26 estimate	2026 estimates	2Q26 estimate	2026 estimates
BYD	8,550	42,548	8,587	39,943	0%	7%
Geely	5,250	25,057	4,996	21,243	5%	18%
Nio (non GAAP)	-60	203	-313	16	81%	1169%
XPeng (non GAAP)	-1,345	-3,710	-688	-1,590	-95%	-133%
Li Auto (non GAAP)	-1,068	-3,306	-951	-528	-12%	-526%
Leapmotor	250	2,605	294	3,035	-15%	-14%
Great Wall	2,700	10,515	2,296	11,161	18%	-6%
SAIC *	2,000	10,000	2,083	11,277	-4%	-11%
GAC*	Rmb 3.4-3.9bn loss	-5,012	N.M	-1,303		-285%
BAIC	-500	-1,154	N.A	-345		-234%
Changan Auto*	500-800	3,476	N.M	4,830		-28%
	1H26 estimate	2026 estimates	1H26 estimate	2026 estimates	1H26 estimate	2026 estimates
Sinotruk	Rmb 4bn	8.5bn	N.A	8.4bn		1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P., as of 12 July 2026 ("*" indicates that Bloomberg consensus estimates are limited for these companies).

Recap of our top-down view (domestic, overseas, policy/geopolitics)

A. China domestic demand: downcycle persists; "confidence" is the binding constraint

Across our channel/fieldwork or discussions with management, the repeated feedback is "lack of consumer confidence," and our stance remains cautious: We project **2026 China domestic retail PV demand to fall by 15% y/y**, with 2H26 demand largely below or, at best, around the seasonal trend.

Policy support helps at the margin but is not (yet) enough to overturn the downcycle base case. The June rural-subsidy package is framed as trade-in/execution/ecosystem support, but we remain cautious on upside because the macro/consumer backdrop is the core issue. We see little upside surprise to our -15% projection.

B. Competitive dynamics: still intense, but gradually shifting from "headline price" to "product + channel + tech"

We continue to see intense competition in the domestic market, but the mix of weapons is evolving: more emphasis on content, tech, channels, and product differentiation vs. pure price cuts.

Cost inflation is an important overlay (and a driver of earnings dispersion). We believe cost inflation pressure would become more visible from 2Q/June as buffers from inventory in 1Q26 fade (battery materials + metals + chips), with OEM outcomes differentiated by vertical integration, mix, pricing discipline, and overseas exposure.

C. Overseas markets: structural share gains, but "policy beta" is rising; Europe is the key battleground

Exports remain the clearest structural growth theme. We project **total China exports (PV+CV)** to top **~9.8mn units in 2026** (from 7.1mn last year), reflecting both volume momentum and mix shift toward NEVs.

Europe is increasingly a *mixed-propulsion transition market* (BEV + PHEV/HEV), and our recent trip to Europe suggested Chinese OEMs winning via two distinct strategies: 1) multiple powertrain choices from BEV, PHEV to ICE/HEV, and 2) value for money pricing strategy. Our store checks along with annual European auto conference further confirmed this view (click here).

However, EU policy risk is rising. The EU summit did not vote new tariffs, but it reframed the topic into "overcapacity + rebalancing" and signaled additional defensive tools, while current BEV countervailing duties (~30%) remain in place. A key nuance: EU is explicitly observing **category rotation (BEV → PHEV)**, which raises the probability that the next tightening targets PHEVs and/or broader electrified-vehicle constraints (e.g., minimum price/volume caps; click here for our analysis).

Implications: Winners are increasingly those with **localization optionality**, brand/after-sales credibility, and ecosystem differentiation to protect conversion when "border friction" rises.

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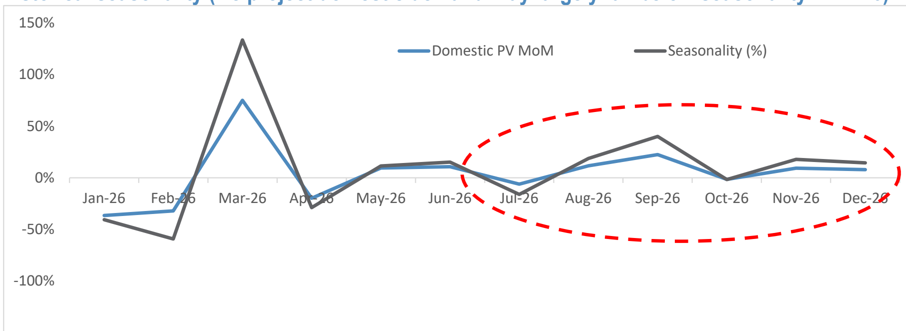
Figure 1: China autos - Domestic (retail) PV demand growth analysis and projection in 2026 vs. historical seasonality (we project domestic demand may largely fall below seasonality in 2H26)



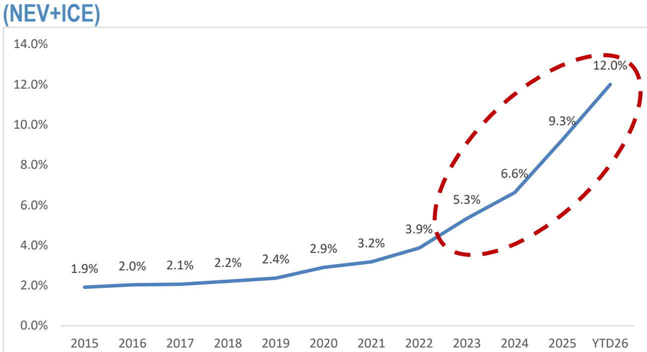
Source: China Association of Automobile Manufacturers (CAAM) data, China Passenger Car Association (CPCA) data, and J.P. Morgan estimates. As of July 12, 2026

Table 3: China auto- Quarterly PV growth forecast (wholesales and retail)

	1Q26A	2Q26A	3Q26E	4Q26E	FY26 yearly %
PV Wholesales	5,935,284	6,784,141	7,292,517	9,004,243	
QOQ-JPMe	-33%	14%	7%	23%	
Seasonal QoQ	-10%	4%	-1%	22%	
YOY-JPMe	-8%	-5%	-5%	2%	**-4%**
Retail PV	4,012,284	4,274,641	5,177,517	6,889,243	
QoQ- JPMe	-43%	7%	21%	33%	
YoY	-23%	-25%	-15%	-2%	**-15%**

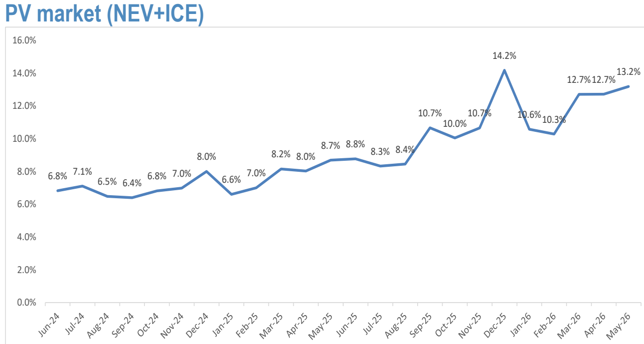
Source: China Association of Automobile Manufacturers (CAAM) data, China Passenger Car Association (CPCA) data, and J.P. Morgan estimates. As of July 12, 2026.

Figure 2: Chinese OEMs' market share in entire European PV market (NEV+ICE)



Source: Bloomberg Finance L.P. data and ThinkerCar data. As of July 12, 2026

Figure 3: Chinese OEMs' monthly market share in entire European PV market (NEV+ICE)



Source: Bloomberg Finance L.P. data and ThinkerCar data. As of July 12, 2026

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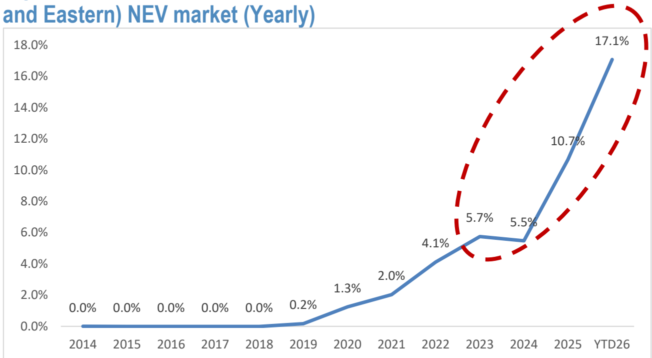
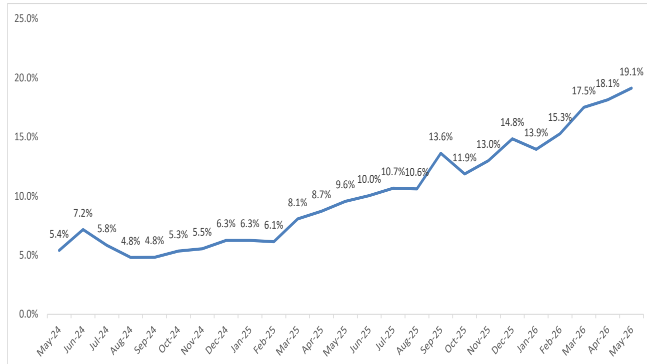
Figure 4: Chinese OEMs' market share in overall European (Western and Eastern) NEV market (Yearly)



Source: Bloomberg Finance L.P. data and ThinkerCar data. As of July 12, 2026

Figure 5: Chinese OEMs' monthly market share in overall European NEV market



Source: Bloomberg Finance L.P. data and ThinkerCar data. As of July 12, 2026

- Chinese OEMs are gaining market share rapidly in Europe (including Eastern and Western Europe).
- Latest data suggests Chinese brands have reached 12% overall market share in Europe YTD, or 13% in May alone.
- Similarly, in the NEV market, Chinese brands also gained share rapidly – 17% YTD or 19% in May alone.
- Our EU auto analyst, Jose Asumendi's forecast is that Chinese brands will gain 20% market share in Western Europe by 2028. We believe this target could be achieved before 2028 at current run-rate.

Figure 6: Sinotruk's 2026 consensus earnings estimates raised from Rmb7.7bn profit in Jan 2026 to current Rmb8.4bn

Source: Bloomberg Finance L.P. consensus estimates. As of July 12, 2026.

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Figure 7: Geely Auto's 2026 consensus EPS estimates raised from Rmb1.9/shr in Jan 2026 to current Rmb2.0/shr

Source: Bloomberg Finance L.P. consensus estimates. As of July 12, 2026.

Figure 8: NIO's 2026 consensus (non-GAAP) earnings estimates raised from Rmb4.4bn loss in Jan 2026 to current Rmb185mn profit

Source: Bloomberg Finance L.P. consensus estimates. As of July 12, 2026.

BYD Company Limited - A

Overweight

002594.SZ,002594 CH

Price (13 Jul 26): Rmb86.98

Price Target (Dec-26): Rmb124.00

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	32	40	43	62	65
Growth	46	15	4	2	63
Momentum	82	92	9	27	15
Quality	40	30	20	56	79
Low Vol	37	39	39	47	82
ESGQ	1	26	26	1	9

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

2Q26 preview

- **China business development:** Volume-wise, we see 1Q26 as the trough with acceleration from 2Q and into 2H, supported by new debuts, in particular new models with second generation of ultra-fast charging blade battery solution, which should drive volume and product mix. We project new models with new flash charging battery solution would account for around 20-30% of domestic sales volume in 4Q26, an important driver for domestic profitability given higher ASP (of ~Rmb180-200k or above).
- **Overseas strategy / plan:** Overseas is positioned as the dominant earnings engine; we forecast BYD will deliver ~1.8mn units of volume in overseas markets, up from 1.0mn units last year. Of which, Europe, ASEAN as well as Latin America each should make up about one third of the volume. During our recent European Auto Conference in London, BYD management indicated the company will bring the latest flash charging model to Europe in 2H26, with a goal to build 3,000 charging posts in the next one year or in total 6,000 posts in the global market.
- **What to watch next?** 1) In the near term, interim or 2Q26 result in late Aug will be key to watch. Our expectation is that BYD will deliver c.Rmb8.5bn profit in 2Q26, broadly in line with market consensus.

  2) Medium term, we would watch for any policy shift from the US side on China's auto industry after the next Trump-Xi meeting in late Sept. While it is not our base case that the US will be open to Chinese investments or entry, any incremental policy shift is worth monitoring, in our view.

  3) Longer term, BYD's recently launched in-house 4nm ADAS chip should start to roll out to its new models in 2027. This shall mark an important milestone in BYD's efforts toward vehicle autonomy based on in-house capability. At the same time, we will also watch BYD's initiative in the humanoid robot business; BYD's cost advantage should help the company, in our view, whether it is for internal use at its factories or for external business opportunity.

Table 4: BYD quarterly volume and profitability analysis and forecast

Units sales	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26E	3Q26E	4Q26E	2026E
Sales- domestic	780,014	868,991	872,785	997,550	379,298	636,957	840,000	950,000	2,806,255
Sales- exports	220,790	276,159	241,407	344,740	321,165	471,091	520,000	550,000	1,862,256
Total sales	1,000,804	1,145,150	1,114,192	1,342,290	700,463	1,108,048	1,360,000	1,500,000	4,668,511
RMB									
Blended profit per car (RMB)	***9,148***	***5,550***	***7,021***	***7,197***	***5,831***	**7,722**	**9,068**	**9,733**	
Total net profit (RMBmn)	*9,155*	*6,356*	*7,823*	*9,661*	*4,085*	*8,557*	*12,332*	*14,600*	39,573
Estimated ESS contribution in 2026 (RMBmn)									2,975
Estimated total profit (RMBmn)									**42,548**

Source: BYD company data and J.P. Morgan estimates. As of July 12, 2026.

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Price Performance

	YTD	1m	3m	12m
Abs	-11.0%	-5.0%	-16.6%	-19.4%
Rel	-9.6%	-2.1%	-14.7%	-30.7%

Company Data

Shares O/S (mn)	8,184
52-week range (Rmb)	116.59-77.60
Market cap ($ mn)	105,045
Exchange rate	6.78
Free float (%)	40.9%
3M ADV (mn)	46.30
3M ADV ($ mn)	643.0
Volatility (90 Day)	34
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	40|1|1

Key Metrics (FYE Dec)

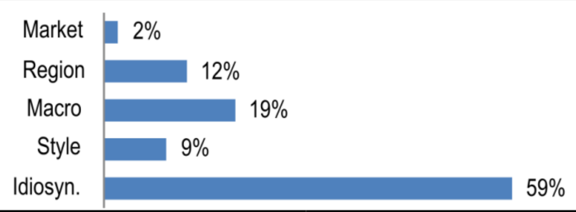
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	803,965	921,249	988,874	1,057,691
Adj. EBIT	39,104	52,972	67,848	80,557
Adj. EBITDA	119,629	131,114	144,949	156,801
Adj. net income	37,039	42,548	54,599	64,790
Adj. EPS	4.10	4.71	6.05	7.18
BBG EPS	4.00	4.52	5.80	6.92
Cashflow from operations	59,136	257,153	168,906	218,809
FCFF	(97,672)	185,153	96,906	146,809
Margins and Growth				
Revenue Growth Y/Y (%)	3.5%	14.6%	7.3%	7.0%
EBIT margin	4.9%	5.8%	6.9%	7.6%
EBIT Growth Y/Y (%)	(23.2%)	35.5%	28.1%	18.7%
EBITDA margin	14.9%	14.2%	14.7%	14.8%
EBITDA Growth Y/Y (%)	1.6%	9.6%	10.6%	8.2%
Net margin	4.6%	4.6%	5.5%	6.1%
Adj. EPS growth	(19.8%)	14.9%	28.3%	18.7%
Ratios				
Adj. tax rate	13.6%	15.9%	16.0%	16.0%
Interest cover	-	-	-	-
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.3	NM	NM	NM
ROE	17.2%	16.0%	17.6%	17.7%
Valuation				
FCFF yield	(12.4%)	23.6%	12.3%	18.7%
Dividend yield	1.5%	0.4%	0.5%	0.7%
EV/Revenue	0.4	0.1	0.0	NM
EV/EBITDA	2.6	1.0	0.3	NM
Adj. P/E	21.2	18.5	14.4	12.1

Summary Investment Thesis and Valuation

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

We set a Dec-26 PT of Rmb124 by applying a ~10% premium to our BYD-H PT. BYD-A has been trading at a ~10% premium to BYD-H over the past two to three years, so we believe the 10% premium is fair. Our blended multiples/DCF methodology implies a fair value for BYD-H of HK$124. Our analysis suggests that BYD-H's long-term share price could range from HK$94 to HK$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.02	0.14
Region: China	0.40	0.35
Macro:		
US 10 Year Yield	0.30	0.38
Generic 1st 'CO' Future	0.12	-0.30
Markit EM Composite PMI SA	0.49	0.27
Quant Styles:		
Growth	0.17	0.28
Value	-0.12	-0.28
DivYld	-0.16	-0.27

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

BYD Company Limited - A *(Overweight; Price Target: Rmb124.00)*

Investment Thesis

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

Valuation

We set a Dec-26 PT of Rmb124 by applying a ~10% premium to our BYD-H PT. BYD-A has been trading at a ~10% premium to BYD-H over the past two to three years, so we believe the 10% premium is fair. Our blended multiples/DCF methodology implies a fair value for BYD-H of HK$124. Our analysis suggests that BYD-H's long-term share price could range from HK$94 to HK$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

BYD long-term fair value assessment based on different FY30 multiples

	2030E
Sales volume (units)	7,000,000
Domestic	3,670,293
Overseas	3,329,707
NP per unit (Rmb)	
Domestic	6,000
Overseas	20,000
Total net profit (Rmb mn)	88,616
2030E P/E	8x
Implied equity value (Rmb mn)	708,927
Implied value/share (Rmb)	**81**
Implied value/share (HK$)	**94**
2030E P/E	10x
Implied equity value (Rmb mn)	886,159
Implied value/share (Rmb)	**102**
Implied value/share (HK$)	**117**

Source: J.P. Morgan estimates.

BYD long-term PT assessment based on DCF analysis

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Operating cash flow	257,153	168,906	211,133	263,916	303,503	318,678	334,612	351,343	368,910	387,355
Less: Capex	(72,000)	(70,000)	(70,000)	(70,000)	(70,000)	(60,000)	(60,000)	(60,000)	(60,000)	(60,000)
FCFF	185,153	98,906	141,133	193,916	233,503	258,678	274,612	291,343	308,910	327,355
PV of FCFF		**86,005**	**106,717**	**127,503**	**133,506**	**128,609**	**118,722**	**109,527**	**100,983**	**93,055**
WACC	15%									
Long-term growth rate	2%									
PV of FCFFs	1,004,627									
PV of terminal value	233,998									
Enterprise value	**1,238,625**									
Net debt	35,075									
Equity value	**1,203,550**									
No. of shares (mn)	9,026									
Implied value/share (Rmb)	**133**									
Implied value/share (HK$)	**154**									

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include worse-than-expected sales and industry competition from Chinese and foreign mass-market brands, such as Volkswagen, Geely and Great Wall Motor.

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BYD Company Limited - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**777,102**	**803,965**	**921,249**	**988,874**	**1,057,691**
COGS	(626,047)	(661,305)	(751,798)	(797,557)	(845,205)
Gross profit	**151,056**	**142,660**	**169,451**	**191,317**	**212,486**
SG&A	(42,730)	(46,385)	(54,585)	(57,543)	(61,143)
Adj. EBITDA	**117,803**	**119,629**	**131,114**	**144,949**	**156,801**
D&A	(66,906)	(80,526)	(78,142)	(77,101)	(76,243)
Adj. EBIT	**50,897**	**39,104**	**52,972**	**67,848**	**80,557**
Net Interest	0	0	0	0	0
Adj. PBT	**54,029**	**44,174**	**52,972**	**67,848**	**80,557**
Tax	(8,093)	(5,992)	(8,446)	(10,851)	(12,886)
Minority Interest	(1,334)	(1,142)	(1,979)	(2,398)	(2,882)
Adj. Net Income	**44,603**	**37,039**	**42,548**	**54,599**	**64,790**
Reported EPS (Basic)	5.11	4.10	4.71	6.05	7.18
Adj. EPS	**5.11**	**4.10**	**4.71**	**6.05**	**7.18**
DPS	**1.03**	**1.32**	**0.36**	**0.47**	**0.60**
Payout ratio	20.2%	32.3%	7.6%	7.8%	8.4%
Shares outstanding	8,721	9,026	9,026	9,026	9,026

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**133,454**	**59,136**	**257,153**	**168,906**	**218,809**
o/w Depreciation & amortization	66,906	80,526	78,142	77,101	76,243
o/w Changes in working capital	(272)	(75,327)	134,385	34,708	74,795
Cash flow from investing activities	**(129,082)**	**(197,463)**	**(72,000)**	**(72,000)**	**(72,000)**
o/w Capital expenditure	(97,360)	(156,808)	(72,000)	(72,000)	(72,000)
as % of sales	*12.5%*	*19.5%*	*7.8%*	*7.3%*	*6.8%*
Cash flow from financing activities	**(10,268)**	**104,614**	**(3,231)**	**(4,255)**	**(5,460)**
o/w Dividends paid	(9,003)	(34,668)	(3,231)	(4,255)	(5,460)
o/w Shares issued/(repurchased)	98	40,222	0	0	0
o/w Net debt issued/(repaid)	(12,440)	64,786	0	0	0
Net change in cash	**(5,896)**	**(33,714)**	**181,921**	**92,651**	**141,350**
Adj. Free cash flow to firm	**36,094**	**(97,672)**	**185,153**	**96,906**	**146,809**
y/y Growth	*(24.2%)*	*(370.6%)*	*(289.6%)*	*(47.7%)*	*51.5%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	102,739	75,425	257,346	349,997	491,347
Accounts receivable	62,299	37,005	50,142	61,095	66,094
Inventories	116,036	138,421	108,746	131,614	99,949
Other current assets	89,498	120,618	120,618	120,618	120,618
Current assets	**370,572**	**371,468**	**536,851**	**663,324**	**778,008**
PP&E	262,307	292,776	290,909	289,452	288,314
LT investments	-	-	-	-	-
Other non current assets	150,476	219,486	215,111	211,368	208,162
Total assets	**783,356**	**883,730**	**1,042,872**	**1,164,144**	**1,274,484**
Short term borrowings	22,326	44,797	54,634	61,800	67,021
Payables	244,027	209,206	327,053	395,583	443,711
Other short term liabilities	229,632	214,448	214,448	214,448	214,448
Current liabilities	**495,985**	**468,451**	**596,135**	**671,831**	**725,181**
Long-term debt	8,258	65,703	55,866	48,700	43,479
Other long term liabilities	80,425	91,036	91,036	91,036	91,036
Total liabilities	**584,668**	**625,191**	**743,037**	**811,567**	**859,696**
Shareholders' equity	185,251	246,275	285,591	335,935	395,265
Minority interests	13,437	12,265	14,243	16,641	19,523
Total liabilities & equity	**783,356**	**883,730**	**1,042,872**	**1,164,144**	**1,274,484**
BVPS	**21.24**	**27.28**	**31.64**	**37.22**	**43.79**
y/y Growth	*33.5%*	*28.4%*	*16.0%*	*17.6%*	*17.7%*
Net debt/(cash)	(72,155)	35,075	(146,846)	(239,497)	(380,847)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	19.4%	17.7%	18.4%	19.3%	20.1%
EBITDA margin	15.2%	14.9%	14.2%	14.7%	14.8%
EBIT margin	6.5%	4.9%	5.8%	6.9%	7.6%
Net profit margin	5.7%	4.6%	4.6%	5.5%	6.1%
ROE	27.5%	17.2%	16.0%	17.6%	17.7%
ROA	6.1%	4.4%	4.4%	4.9%	5.3%
ROCE	22.0%	11.8%	11.8%	13.5%	14.2%
SG&A/Sales	5.5%	5.8%	5.9%	5.8%	5.8%
Net debt/Equity	NM	0.1	NM	NM	NM
Net debt/EBITDA	NM	0.3	NM	NM	NM
Sales/Assets (x)	1.1	1.0	1.0	0.9	0.9
Assets/Equity (x)	4.5	3.9	3.6	3.6	3.3
Interest cover (x)	-	-	-	-	-
Operating leverage	145.4%	(670.3%)	243.1%	382.6%	269.2%
Tax rate	15.0%	13.6%	15.9%	16.0%	16.0%
Revenue y/y Growth	29.0%	3.5%	14.6%	7.3%	7.0%
EBITDA y/y Growth	49.0%	1.6%	9.6%	10.6%	8.2%
EPS y/y Growth	48.2%	(19.8%)	14.9%	28.3%	18.7%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	17.0	21.2	18.5	14.4	12.1
P/BV (x)	4.1	3.2	2.7	2.3	2.0
EV/EBITDA (x)	1.8	2.6	1.0	0.3	NM
Dividend Yield	1.2%	1.5%	0.4%	0.5%	0.7%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

BYD Company Limited - H

Overweight

1211.HK,1211 HK
Price (13 Jul 26): HK$83.95

Price Target (Dec-26): HK$124.00

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J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	33	36	45	57	56
Growth	51	20	9	18	69
Momentum	75	97	3	26	24
Quality	42	29	25	63	83
Low Vol	68	59	56	79	94
ESGQ	1	28	26	1	6

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

2Q26 preview

- **China business development:** Volume-wise, we see 1Q26 as the trough with acceleration from 2Q and into 2H, supported by new debuts, in particular new models with second generation of ultra-fast charging blade battery solution, which should drive volume and product mix. We project new models with new flash charging battery solution would account for around 20-30% of domestic sales volume in 4Q26, an important driver for domestic profitability given higher ASP (of ~Rmb180-200k or above).
- **Overseas strategy / plan:** Overseas is positioned as the dominant earnings engine; we forecast BYD will deliver ~1.8mn units of volume in overseas markets, up from 1.0mn units last year. Of which, Europe, ASEAN as well as Latin America each should make up about one third of the volume. During our recent European Auto Conference in London, BYD management indicated the company will bring the latest flash charging model to Europe in 2H26, with a goal to build 3,000 charging posts in the next one year or in total 6,000 posts in the global market.
- **What to watch next?** 1) In the near term, interim or 2Q26 result in late Aug will be key to watch. Our expectation is that BYD will deliver c.Rmb8.5bn profit in 2Q26, broadly in line with market consensus.

  2) Medium term, we would watch for any policy shift from the US side on China's auto industry after the next Trump-Xi meeting in late Sept. While it is not our base case that the US will be open to Chinese investments or entry, any incremental policy shift is worth monitoring, in our view.

  3) Longer term, BYD's recently launched in-house 4nm ADAS chip should start to roll out to its new models in 2027. This shall mark an important milestone in BYD's efforts toward vehicle autonomy based on in-house capability. At the same time, we will also watch BYD's initiative in the humanoid robot business; BYD's cost advantage should help the company, in our view, whether it is for internal use at its factories or for external business opportunity.

Table 5: BYD quarterly volume and profitability analysis and forecast

Units sales	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26E	3Q26E	4Q26E	2026E
Sales- domestic	780,014	868,991	872,785	997,550	379,298	636,957	840,000	950,000	2,806,255
Sales- exports	220,790	276,159	241,407	344,740	321,165	471,091	520,000	550,000	1,862,256
Total sales	1,000,804	1,145,150	1,114,192	1,342,290	700,463	1,108,048	1,360,000	1,500,000	4,668,511
RMB									
Blended profit per car (RMB)	***9,148***	***5,550***	***7,021***	***7,197***	***5,831***	**7,722**	**9,068**	**9,733**	
Total net profit (RMBmn)	*9,155*	*6,356*	*7,823*	*9,661*	*4,085*	*8,557*	*12,332*	*14,600*	39,573
Estimated ESS contribution in 2026 (RMBmn)									2,975
Estimated total profit (RMBmn)									**42,548**

Source: BYD company data and J.P. Morgan estimates. As of July 12, 2026.

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Price Performance

	YTD	1m	3m	12m
Abs	-12.0%	-3.0%	-23.9%	-30.1%
Rel	-2.5%	0.7%	-17.7%	-22.5%

Company Data

Shares O/S (mn)	8,184
52-week range (HK$)	136.30-71.40
Market cap ($ mn)	87,652
Exchange rate	7.84
Free float (%)	100.0%
3M ADV (mn)	28.48
3M ADV ($ mn)	335.9
Volatility (90 Day)	46
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	32|2|2

Key Metrics (FYE Dec)

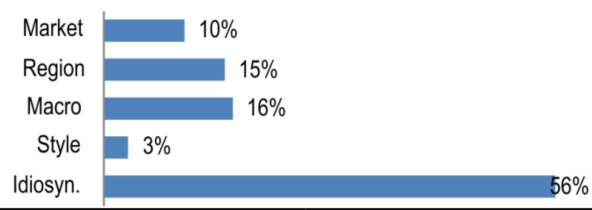
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	803,965	921,249	988,874	1,057,691
Adj. EBIT	39,104	52,972	67,848	80,557
Adj. EBITDA	119,629	131,114	144,949	156,801
Adj. net income	37,039	42,548	54,599	64,790
Adj. EPS	4.10	4.71	6.05	7.18
BBG EPS	3.98	4.38	5.55	6.63
Cashflow from operations	59,136	257,153	168,906	218,809
FCFF	(97,672)	185,153	96,906	146,809
Margins and Growth				
Revenue Growth Y/Y (%)	3.5%	14.6%	7.3%	7.0%
EBIT margin	4.9%	5.8%	6.9%	7.6%
EBIT Growth Y/Y (%)	(23.2%)	35.5%	28.1%	18.7%
EBITDA margin	14.9%	14.2%	14.7%	14.8%
EBITDA Growth Y/Y (%)	1.6%	9.6%	10.6%	8.2%
Net margin	4.6%	4.6%	5.5%	6.1%
Adj. EPS growth	(19.8%)	14.9%	28.3%	18.7%
Ratios				
Adj. tax rate	13.6%	15.9%	16.0%	16.0%
Interest cover	-	-	-	-
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.3	NM	NM	NM
ROE	17.2%	16.0%	17.6%	17.7%
Valuation				
FCFF yield	(14.9%)	28.3%	14.8%	22.4%
Dividend yield	1.8%	0.5%	0.6%	0.8%
EV/Revenue	0.4	0.1	0.0	NM
EV/EBITDA	2.6	1.0	0.3	NM
Adj. P/E	17.7	15.4	12.0	10.1

Summary Investment Thesis and Valuation

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

We set a Dec-26 PT of HK$124 based on a blend of multiples and DCF valuation methodology. Our blended methodology implies a fair value for BYD-H of HK$124. Our analysis suggests that BYD-H's long-term share price could range from HK$94 to HK$154, subject to market sentiment and risk appetite. Our PT is based on the median of the long-term fair value range.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.25	0.31
Region: China	0.53	0.41
Macro:		
US 10 Year Yield	0.25	0.37
Generic 1st 'CO' Future	0.00	-0.30
JPM Forecast Revision EM	-0.44	-0.24
Quant Styles:		
LowVol	-0.05	-0.17
Quality	-0.02	-0.13
Value	0.09	-0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

BYD Company Limited - H *(Overweight; Price Target: HK$124.00)*

Investment Thesis

With buyers increasingly focusing on ownership cost and the fact that more NEVs today are priced at similar levels as ICE cars in China (even before subsidy), we believe BYD will be able to deliver sustained volume in China and 57% or more growth outside China. Adding to this positive momentum are: (1) the recent introduction of BYD's ultra-fast charging strategy in the domestic market; and (2) production ramps across global factories from 2Q26, e.g., Hungary, Indonesia, Malaysia and Brazil. We rate the stock OW.

Valuation

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Implied value/share (Rmb)	**102**
Implied value/share (HK$)	**117**

Source: J.P. Morgan estimates.

BYD long-term PT assessment based on DCF analysis

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Operating cash flow	257,153	168,906	211,133	263,916	303,503	318,678	334,612	351,343	368,910	387,355
Less: Capex	(72,000)	(70,000)	(70,000)	(70,000)	(70,000)	(60,000)	(60,000)	(60,000)	(60,000)	(60,000)
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Adj. EBIT	**50,897**	**39,104**	**52,972**	**67,848**	**80,557**
Net Interest	0	0	0	0	0
Adj. PBT	**54,029**	**44,174**	**52,972**	**67,848**	**80,557**
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Adj. Net Income	**44,603**	**37,039**	**42,548**	**54,599**	**64,790**
Reported EPS (Basic)	5.11	4.10	4.71	6.05	7.18
Adj. EPS	**5.11**	**4.10**	**4.71**	**6.05**	**7.18**
DPS	**1.03**	**1.32**	**0.36**	**0.47**	**0.60**
Payout ratio	20.2%	32.3%	7.6%	7.8%	8.4%
Shares outstanding	8,721	9,026	9,026	9,026	9,026

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Cash flow from investing activities	**(129,082)**	**(197,463)**	**(72,000)**	**(72,000)**	**(72,000)**
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as % of sales	*12.5%*	*19.5%*	*7.8%*	*7.3%*	*6.8%*
Cash flow from financing activities	**(10,268)**	**104,614**	**(3,231)**	**(4,255)**	**(5,460)**
o/w Dividends paid	(9,003)	(34,668)	(3,231)	(4,255)	(5,460)
o/w Shares issued/(repurchased)	98	40,222	0	0	0
o/w Net debt issued/(repaid)	(12,440)	64,786	0	0	0
Net change in cash	**(5,896)**	**(33,714)**	**181,921**	**92,651**	**141,350**
Adj. Free cash flow to firm	**36,094**	**(97,672)**	**185,153**	**96,906**	**146,809**
y/y Growth	*(24.2%)*	*(370.6%)*	*(289.6%)*	*(47.7%)*	*51.5%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	102,739	75,425	257,346	349,997	491,347
Accounts receivable	62,299	37,005	50,142	61,095	66,094
Inventories	116,036	138,421	108,746	131,614	99,949
Other current assets	89,498	120,618	120,618	120,618	120,618
Current assets	**370,572**	**371,468**	**536,851**	**663,324**	**778,008**
PP&E	262,307	292,776	290,909	289,452	288,314
LT investments	-	-	-	-	-
Other non current assets	150,476	219,486	215,111	211,368	208,162
Total assets	**783,356**	**883,730**	**1,042,872**	**1,164,144**	**1,274,484**
Short term borrowings	22,326	44,797	54,634	61,800	67,021
Payables	244,027	209,206	327,053	395,583	443,711
Other short term liabilities	229,632	214,448	214,448	214,448	214,448
Current liabilities	**495,985**	**468,451**	**596,135**	**671,831**	**725,181**
Long-term debt	8,258	65,703	55,866	48,700	43,479
Other long term liabilities	80,425	91,036	91,036	91,036	91,036
Total liabilities	**584,668**	**625,191**	**743,037**	**811,567**	**859,696**
Shareholders' equity	185,251	246,275	285,591	335,935	395,265
Minority interests	13,437	12,265	14,243	16,641	19,523
Total liabilities & equity	**783,356**	**883,730**	**1,042,872**	**1,164,144**	**1,274,484**
BVPS	**21.24**	**27.28**	**31.64**	**37.22**	**43.79**
y/y Growth	*33.5%*	*28.4%*	*16.0%*	*17.6%*	*17.7%*
Net debt/(cash)	(72,155)	35,075	(146,846)	(239,497)	(380,847)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	19.4%	17.7%	18.4%	19.3%	20.1%
EBITDA margin	15.2%	14.9%	14.2%	14.7%	14.8%
EBIT margin	6.5%	4.9%	5.8%	6.9%	7.6%
Net profit margin	5.7%	4.6%	4.6%	5.5%	6.1%
ROE	27.5%	17.2%	16.0%	17.6%	17.7%
ROA	6.1%	4.4%	4.4%	4.9%	5.3%
ROCE	22.0%	11.8%	11.8%	13.5%	14.2%
SG&A/Sales	5.5%	5.8%	5.9%	5.8%	5.8%
Net debt/Equity	NM	0.1	NM	NM	NM
Net debt/EBITDA	NM	0.3	NM	NM	NM
Sales/Assets (x)	1.1	1.0	1.0	0.9	0.9
Assets/Equity (x)	4.5	3.9	3.6	3.6	3.3
Interest cover (x)	-	-	-	-	-
Operating leverage	145.4%	(670.3%)	243.1%	382.6%	269.2%
Tax rate	15.0%	13.6%	15.9%	16.0%	16.0%
Revenue y/y Growth	29.0%	3.5%	14.6%	7.3%	7.0%
EBITDA y/y Growth	49.0%	1.6%	9.6%	10.6%	8.2%
EPS y/y Growth	48.2%	(19.8%)	14.9%	28.3%	18.7%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	14.2	17.7	15.4	12.0	10.1
P/BV (x)	3.4	2.7	2.3	2.0	1.7
EV/EBITDA (x)	1.8	2.6	1.0	0.3	NM
Dividend Yield	1.4%	1.8%	0.5%	0.6%	0.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Geely Automobile Holdings Ltd. (0175)

Overweight

0175.HK,175 HK
Price (13 Jul 26): HK$18.17

Price Target (Dec-26): HK$29.00

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	20	18	17	44	48
Growth	33	29	48	75	71
Momentum	20	23	4	93	53
Quality	32	29	75	83	71
Low Vol	74	76	72	80	82
ESGQ	10	12	10	1	93

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

2Q26 Preview

Geely is among the few best performing OEMs YTD, essentially driven by its earnings beat. According to Bloomberg, consensus expectations for Geely's 2026 earnings have been raised from ~Rmb19bn earlier this year to currently Rmb21bn. Despite this, we see potential further upside. For 2Q26, consensus is looking at ~Rmb4.9bn profit vs. JPMe ~Rmb5.3bn.

- **China business development:** Domestically, Geely's sales volume slipped by 23% yoy in 1H23- a similar pattern seen in the broader auto market. In June alone, Geely reported 240k units of wholesales delivery, which contrasts with ~280k units retail title registration. We believe this means Geely is effectively trying to lessen channel inventory pressure as we enter the low summer season. At the same time, Geely's upcoming new models such as Galaxy TT, new EV with 800Volt fast charging solution, Galaxy Cruiser SUV etc. will altogether drive an improvement in sales in 2H vs. 1H26.
- **Overseas strategy / plan:** Outside China, Geely's 2026 export/overseas guidance is 750k units (~80% yoy growth) with three ~200k-unit regional hubs (LatAm/ASEAN/Europe) supported by 14 subsidiaries and 1,900+ dealerships. Our recent visits of Geely store in the UK and discussion with mgmt. lead us to believe the company's overseas sales volume could well beat mgmt. guidance or toward ~1.1mn units. On top of this, Geely is planning to add more products e.g. 9X and 8X SUVs to its premium portfolio under the Zeekr brand.
- **Recommendation:** We keep our OW rating on Geely and expect consensus forecasts to be raised towards or after interim results in August.

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Price Performance

	YTD	1m	3m	12m
Abs	1.5%	-5.1%	-27.2%	3.4%
Rel	11.0%	-1.4%	-20.9%	11.0%

Company Data

Shares O/S (mn)	9,156
52-week range (HK$)	25.62-14.96
Market cap ($ mn)	21,222
Exchange rate	7.84
Free float (%)	56.8%
3M ADV (mn)	63.23
3M ADV ($ mn)	169.2
Volatility (90 Day)	47
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	45|2|0

Key Metrics (FYE Dec)

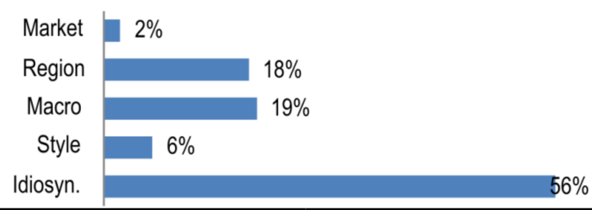
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	345,232	401,824	450,367	505,851
Adj. EBITDA	36,013	47,377	42,504	43,279
Adj. EBIT	20,093	26,987	31,215	35,998
Adj. net income	16,852	25,057	29,020	33,503
Net margin	4.9%	6.2%	6.4%	6.6%
Adj. EPS	1.63	2.42	2.80	3.24
BBG EPS	1.60	2.00	2.42	2.83
Cashflow from operations	47,274	52,196	59,151	33,694
FCFF	29,357	34,278	41,233	15,776
Margins and Growth				
Revenue Growth Y/Y (%)	43.7%	16.4%	12.1%	12.3%
EBITDA margin	10.4%	11.8%	9.4%	8.6%
EBITDA Growth Y/Y (%)	32.9%	31.6%	(10.3%)	1.8%
EBIT margin	5.8%	6.7%	6.9%	7.1%
Adj. EPS growth	(1.1%)	48.7%	15.8%	15.5%
Ratios				
Adj. tax rate	17.8%	9.0%	9.1%	9.2%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	16.9%	21.0%	20.6%	20.2%
ROE	18.8%	24.4%	23.4%	22.7%
Valuation				
FCFF yield	18.0%	21.1%	25.4%	9.7%
Dividend yield	2.0%	2.9%	4.4%	5.0%
EV/EBITDA	3.2	1.9	1.2	1.0
EV/Revenue	0.3	0.2	0.1	0.1
Adj. P/E	9.7	6.5	5.6	4.9

Summary Investment Thesis and Valuation

We are constructive on Geely's powerful model cycle, based on its platform strategy, which should help the company continue to gain market share. We are in favor of management's initiative to develop the NEV business. We also like Geely's long-term prospects and technological leadership among peers in a challenging market through its partnerships or JVs with global/regional leaders such as Daimler and CATL, although at the parentco level. We expect to see business synergies, directly and indirectly, from its tie-up with Volvo and partnerships in platform-sharing, joint product development, back-end cost-sharing/component-sourcing, and a stronger product portfolio. Maintain Overweight.

Our Dec-26 PT of HK$29 is based on a 11x 2026E P/E, implying around 15x for Geely's overseas business and 8x for domestic. While a 11x 2026E P/E is lower than what we use for BYD (overall ~20x P/E), we believe this is fair, considering that Geely capitalizes most of R&D, while BYD expenses most. This is below the historical average of 14x to reflect our conservative view of the industry.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.02	0.15
Region: China	0.40	0.43
Macro:		
US 10 Year Yield	0.17	0.32
Emerging Central Bank Rate	-0.39	-0.27
Markit EM Composite PMI SA	-0.30	-0.23
Quant Styles:		
Momentum	-0.42	-0.10
Size	0.02	0.10
LowVol	0.12	-0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Geely Automobile Holdings Ltd. *(Overweight; Price Target: HK$29.00)*

Investment Thesis

We are constructive on Geely's powerful model cycle, based on its platform strategy, which should help the company continue to gain market share. We are in favor of management's initiative to develop the NEV business. We also like Geely's long-term prospects and technological leadership among peers in a challenging market through its partnerships or JVs with global/regional leaders such as Daimler and CATL, although at the parentco level. We expect to see business synergies, directly and indirectly, from its tie-up with Volvo and partnerships in platform-sharing, joint product development, back-end cost-sharing/component-sourcing, and a stronger product portfolio. Maintain Overweight.

Valuation

Our Dec-26 PT of HK$29 is based on a 11x 2026E P/E, implying around 15x for Geely's overseas business and 8x for domestic. While a 11x 2026E P/E is lower than what we use for BYD (overall ~20x P/E), we believe this is fair, considering that Geely capitalizes most of R&D, while BYD expenses most. This is below the historical average of 14x to reflect our conservative view of the industry.

Risks to Rating and Price Target

Downside risks include worse-than-expected sales performance and worse-than-expected profitability.

Geely Automobile Holdings Ltd. (0175): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**240,194**	**345,232**	**401,824**	**450,367**	**505,851**
COGS	(201,993)	(287,885)	(332,252)	(371,669)	(415,205)
Gross profit	**38,201**	**57,347**	**69,572**	**78,698**	**90,646**
SG&A	(4,897)	(6,482)	(6,429)	(7,206)	(7,942)
Adj. EBITDA	**27,105**	**36,013**	**47,377**	**42,504**	**43,279**
D&A	(9,393)	(15,920)	(20,389)	(11,289)	(7,281)
Adj. EBIT	**17,711**	**20,093**	**26,987**	**31,215**	**35,998**
Net Interest	692	137	196	288	394
Adj. PBT	**18,404**	**20,230**	**27,183**	**31,503**	**36,392**
Tax	(1,604)	(3,601)	(2,459)	(2,869)	(3,334)
Minority Interest	(167)	224	333	386	445
Adj. Net Income	**16,632**	**16,852**	**25,057**	**29,020**	**33,503**
Reported EPS	1.65	1.63	2.42	2.80	3.24
Adj. EPS	**1.65**	**1.63**	**2.42**	**2.80**	**3.24**
DPS	**0.20**	**0.31**	**0.45**	**0.68**	**0.79**
Payout ratio	12.1%	19.1%	18.6%	24.4%	24.5%
Shares outstanding	10,103	10,354	10,354	10,354	10,354

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**26,507**	**47,274**	**52,196**	**59,151**	**33,694**
o/w Depreciation & amortization	9,393	15,920	20,389	11,289	7,281
o/w Changes in working capital	9,316	18,278	6,350	21,623	(4,138)
Cash flow from investing activities	**(9,132)**	**(23,370)**	**(17,160)**	**(17,160)**	**(17,160)**
o/w Capital expenditure	(12,836)	(17,918)	(17,918)	(17,918)	(17,918)
as % of sales	*5.3%*	*5.2%*	*4.5%*	*4.0%*	*3.5%*
Cash flow from financing activities	**(13,297)**	**(1,839)**	**(4,343)**	**(6,624)**	**(7,611)**
o/w Dividends paid	(456,497)	(3,119)	(4,539)	(6,912)	(8,005)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	(880)	(1,667)	0	0	0
Net change in cash	**4,090**	**22,262**	**30,693**	**35,367**	**8,923**
Adj. Free cash flow to firm	**13,671**	**29,357**	**34,278**	**41,233**	**15,776**
y/y Growth	*90.1%*	*114.7%*	*16.8%*	*20.3%*	*(61.7%)*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	40,865	65,319	96,012	131,379	140,302
Accounts receivable	58,307	58,768	84,768	95,009	106,714
Inventories	23,078	31,934	40,888	30,391	49,237
Other current assets	3,072	3,392	405	454	510
Current assets	**125,322**	**159,413**	**222,074**	**257,234**	**296,764**
PP&E	26,384	34,370	18,108	10,947	7,794
LT investments	-	-	-	-	-
Other non current assets	77,686	96,627	111,717	126,807	141,896
Total assets	**229,392**	**290,410**	**351,899**	**394,987**	**446,454**
Short term borrowings	834	11,996	11,996	11,996	11,996
Payables	125,379	101,568	133,045	145,680	162,449
Other short term liabilities	988	65,895	75,723	84,454	94,098
Current liabilities	**127,200**	**179,459**	**220,763**	**242,130**	**268,543**
Long-term debt	1,762	2,000	2,000	2,000	2,000
Other long term liabilities	8,010	15,335	15,335	15,335	15,335
Total liabilities	**136,972**	**196,795**	**238,099**	**259,465**	**285,878**
Shareholders' equity	86,742	92,398	112,917	135,024	160,522
Minority interests	5,678	1,217	884	498	53
Total liabilities & equity	**229,392**	**290,410**	**351,899**	**394,987**	**446,453**
BVPS	**8.62**	**9.14**	**11.17**	**13.36**	**15.88**
y/y Growth	*7.7%*	*6.1%*	*22.2%*	*19.6%*	*18.9%*
Net debt/(cash)	(41,341)	(54,715)	(82,422)	(117,838)	(126,817)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	15.9%	16.6%	17.3%	17.5%	17.9%
EBITDA margin	11.3%	10.4%	11.8%	9.4%	8.6%
EBIT margin	7.4%	5.8%	6.7%	6.9%	7.1%
Net profit margin	6.9%	4.9%	6.2%	6.4%	6.6%
ROE	19.9%	18.8%	24.4%	23.4%	22.7%
ROA	7.9%	6.5%	7.8%	7.8%	8.0%
ROCE	18.7%	16.9%	21.0%	20.6%	20.2%
SG&A/Sales	2.0%	1.9%	1.6%	1.6%	1.6%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.1	1.3	1.3	1.2	1.2
Assets/Equity (x)	2.52	2.90	3.13	3.01	2.85
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	887.4%	30.8%	209.3%	129.7%	124.4%
Tax rate	8.7%	17.8%	9.0%	9.1%	9.2%
Revenue y/y Growth	34.0%	43.7%	16.4%	12.1%	12.3%
EBITDA y/y Growth	115.0%	32.9%	31.6%	(10.3%)	1.8%
EPS y/y Growth	214.2%	(1.1%)	48.7%	15.8%	15.5%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	9.5	9.7	6.5	5.6	4.9
P/BV (x)	1.8	1.7	1.4	1.2	1.0
EV/EBITDA (x)	4.9	3.2	1.9	1.2	1.0
Dividend Yield	1.3%	2.0%	2.9%	4.4%	5.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

XPeng - H

Overweight

9868.HK,9868 HK

Price (13 Jul 26): HK$50.80

▼ **Price Target (Dec-26): HK$108.00**
Prior (Dec-26): HK$118.00

China

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	86,076	91,818	6.7%
Revenue - 27E (Rmb mn)	136,805	141,947	3.8%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	69	86	96	100	1
Growth	9	11	17	55	96
Momentum	99	27	1	90	
Quality	97	96	99	96	100
Low Vol	93	94	97	98	
ESGQ	11	13	9	-	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

2Q26 Preview

XPeng's share price corrected by 35% YTD, shy of the auto sector's -17% or MXCN -10%. We believe one potential reason for such weakness is elevated R&D expense as the company strives to be a leader in humanoid robot and robotaxi businesses in the future; these two initiatives are expected to add ~Rmb7bn R&D expense this year, resulting into total R&D of ~Rmb12bn in 2026 (up from Rmb9.5bn in 2025). Together with other factors such as weak domestic demand, consensus 2026 earnings were revised down from Rmb2.4bn non-GAAP profit earlier this year to now Rmb1.5bn non-GAAP loss, according to Bloomberg.

- **China business development:** Xpeng's 2Q26 delivery (103k units) was very much in line with expectations. We believe the company's killer models will be two SUVs under the Mona brand - L03 and L05. Formal debut of L03 is scheduled for July 16 with initial indicative MSRP starting ~Rmb140k, a competitive level, in our view. L05 is scheduled to arrive in late 3Q to early 4Q26. Together with the upcoming G9L SUV in Aug, we project XPeng will deliver ~40% and ~20% QoQ volume growth in 3Q and 4Q26, respectively.

  Outside new models, XPeng is maintaining its plan to introduce its commercialized version of IRON humanoid robot in 2H, with formal delivery during 4Q26, initially as receptionist at its store, followed by external sales to other customers. We believe humanoid robot will constitute an integral part of revenue in 2028 and beyond.

  Robotaxi is another key initiative where we expect the company to gain operational license approval from the Guangzhou govt. before year-end, followed by pilot run of robotaxi operation led by XPeng at end-2026 or early-2027.

- **Overseas strategy / plan:** We believe XPeng will see a similar robust export business as other Chinese brands. The company's record delivery of 7,000 units in June was a good example. We forecast that the overseas market will account for c.20% of XPeng's revenue this year. In the near term, XPeng plans to launch its L03 SUV in both domestic and international market (Munich), which we believe will be a key event this month. In addition to this, XPeng's assembly plant in Austria, Indonesia and Malaysia will also help the company mitigate tariff or non-tariff headwinds in the future, in our view.

- **Our recommendation / earnings revision:** We tweak our earnings forecasts- including 1) lifting top line revenue and volume to reflect an anticipated solid sales after new SUV launches; however, 2) we trim our GPM assumption in 2H26 as new models would incur higher sales & marketing expense as well as higher rebate to dealers in both domestic and international markets. Net/ net, we believe XPeng's operation cash flow shall improve meaningfully in 2H26 along with solid sales volume; on the flip side, heavy R&D investments into AI initiatives, i.e. robotaxi and humanoid robot would weigh on bottom line. We believe XPeng will turn non-GAAP breakeven only in 2H2027. Our numbers are below consensus, which we believe are not reflecting higher R&D as well as SG&A expenses yet.

  Strategically, we still like XPeng's longer term story especially its AI initiatives. We remain OW on the stock and expect the stock to perform along with commercialization or materialization of its humanoid robot, and robotaxi businesses as well as solid 4Q26 vehicle volume (JPMe a record level of ~175k units or ~50% yoy growth).

Table 6: XPeng Auto- Earnings revision

	2026E			2027E		
RMBmn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	91,818	86,076	7%	141,947	136,805	4%
Sales growth (yoy%)	20%	12%		55%	59%	
COGS	76,222	69,937	9%	119,836	113,536	6%
Gross profit	15,596	16,139	-3%	22,111	23,269	-5%
Gross margin (%)	17%	19%		16%	17%	
Operating profit	(5,108)	(4,844)	-5%	(1,664)	(1,483)	-12%
Operating margin (%)	-6%	-6%		-1%	-1%	
OP (Non- GAAP)	(4,629)	(4,394)	-5%	(1,238)	(1,073)	-15%
OPM- adj (%)	-5%	-5%		-1%	-1%	
Pre-tax profit	(4,180)	(3,927)	-6%	(748)	(681)	-10%
Net profit	(4,189)	(3,983)	-5%	(774)	(739)	-5%
Net margin (%)	-5%	-5%		-1%	-1%	
Net profit growth (yoy%)	268%	250%		-82%	-81%	
NP (Non- GAAP)	(3,710)	(3,533)	-5%	(349)	(328)	-6%
NPM- adj (%)	-4%	-4%		0%	0%	
Basic Earning/(Lost) per ADS	(4.40)	(4.18)		(0.81)	(0.78)	
Diluted Earning/(Lost) per ADS	(4.40)	(4.18)		(0.81)	(0.78)	
EPS growth (%)	268%	250%		-82%	-81%	
EBIT	(5,108)	(4,844)	-5%	(1,664)	(1,483)	-12%
EBITDA	(2,503)	(2,239)	-12%	1,069	1,249	-14%
EBIT margin (%)	-6%	-6%		-1%	-1%	
EBITDA margin (%)	-3%	-3%		1%	1%	

Source: J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	-36.0%	-12.0%	-24.8%	-25.6%
Rel	-30.5%	-9.9%	-19.2%	-25.7%

Company Data

Shares O/S (mn)	821
52-week range (HK$)	110.80-45.32
Market cap ($ mn)	5,323
Exchange rate	7.84
Free float (%)	79.4%
3M ADV (mn)	16.65
3M ADV ($ mn)	127.0
Volatility (90 Day)	52
Index	HSI
BBG ANR (Buy | Hold | Sell)	41|2|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	76,720	91,818	141,947	163,282
Adj. EBITDA	(399)	(2,503)	1,069	2,837
Adj. EBIT	(2,771)	(5,108)	(1,664)	(6)
Adj. net income	(1,139)	(4,189)	(774)	1,184
Net margin	(1.5%)	(4.6%)	(0.5%)	0.7%
Adj. EPS	(1.20)	(4.40)	(0.81)	1.24
BBG EPS	(0.66)	(0.64)	1.02	2.41
Cashflow from operations	8,259	1,201	13,504	6,721
FCFF	7,390	(890)	9,003	3,156
Margins and Growth				
Revenue Growth Y/Y (%)	87.7%	19.7%	54.6%	15.0%
EBITDA margin	(0.5%)	(2.7%)	0.8%	1.7%
EBITDA Growth Y/Y (%)	(91.2%)	526.7%	(142.7%)	165.4%
EBIT margin	(3.6%)	(5.6%)	(1.2%)	(0.0%)
Adj. EPS growth	(80.5%)	267.6%	(81.5%)	(252.9%)
Ratios				
Adj. tax rate	(1.2%)	(0.2%)	(3.5%)	15.0%
Interest cover	0.5	3.3	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	16.2	1.8	NM	NM
ROCE	(6.8%)	(12.9%)	(4.5%)	(0.0%)
ROE	(3.7%)	(14.7%)	(2.9%)	4.4%
Valuation				
FCFF yield	17.7%	(2.1%)	21.5%	7.5%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	NM	NM	69.5	24.9
EV/Revenue	1.1	0.9	0.5	0.4
Adj. P/E	NM	NM	NM	35.3

Summary Investment Thesis and Valuation

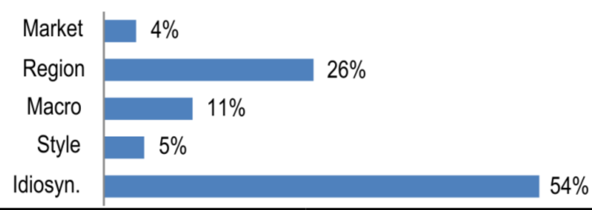
Investment Thesis

We believe the next major leg-up in 2026-27 will be driven by the company's AI initiatives, which are Robotaxi, humanoid robot and flying car, all powered by XPeng's in-house AI capability including self-designed chip, VLA and VLM. While investors may not see noticeable revenue contribution from these initiatives until 2H/4Q26 or beyond, and the market may not pay much value for its 2027 story today, our view is that XPeng's share price will start to price in its AI ambitions aggressively into 2H26 when we have more visibility on its technology deployment.

Valuation

We set our Dec-26 PT at HK$108 (previous Dec-26 PT at HK$118). We value the company based on SOTP methodology. For vehicle sales, we apply a 0.7x FY27E P/S and EV/S (vs previous 0.9x) to reflect our more cautious view on the broader market. For the other business initiatives (incl. robotaxi, humanoid robot and flying car), we use the bear case valuation of each business initiative. For chip supply, given the business is still in the early stages, we value the business at a market cap of US$500mn, at a meaningful discount to Horizon Robotics (9660 HK). Our Dec-26 PT translates to 1.9x/1.3x 2026/27E P/S multiples.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.24	0.20
Region: China	0.57	0.55
Macro:		
JPM Forecast Revision EM	-0.49	-0.25
US 10 Year Yield	0.17	0.22
Citi Economic Surprise - EM	-0.30	-0.22
Quant Styles:		
Growth	0.21	0.17
Quality	-0.13	-0.17
DivYld	-0.11	-0.14

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

XPeng Inc. - H *(Overweight; Price Target: HK$108.00)*

Investment Thesis

We believe the next major leg-up in 2026-27 will be driven by the company's AI initiatives, which are Robotaxi, humanoid robot and flying car, all powered by XPeng's in-house AI capability including self-designed chip, VLA and VLM. While investors may not see noticeable revenue contribution from these initiatives until 2H/4Q26 or beyond, and the market may not pay much value for its 2027 story today, our view is that XPeng's share price will start to price in its AI ambitions aggressively into 2H26 when we have more visibility on its technology deployment.

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Table: SOTP valuation

(USDmn)	Implied mkt cap
Vehicle sales	16,756
Robotaxi service	2,754
Humanoid robot	5,889
Flying car (~20% holding by XPEV)	224
Chip supply	500
Total implied equity value (USD mn)	**26,122**
Implied value per share (USD)	**27.4**
Implied value per share (HKD)	**107.59**

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our PT include: worse-than-expected pricing competition in China's NEV market; execution risk and worse-than-expected competition in robotaxi, humanoid robots and flying cars business. Key factors to track for validating or falsifying our valuation thesis on the three new initiatives include: the launch of L4 vehicles by end-2026, cost management and shipment volumes of humanoid robots, progress in the certification process for flying cars, and the execution of supply chain operations.

Potential upside catalysts include successful collaboration between XPeng and VW on future products and technology, better-than-expected development and demand in robotaxi, humanoid robots and flying cars business.

XPeng - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**40,866**	**76,720**	**91,818**	**141,947**	**163,282**
COGS	(35,021)	(62,247)	(76,222)	(119,836)	(136,736)
Gross profit	**5,846**	**14,473**	**15,596**	**22,111**	**26,546**
SG&A	(6,871)	(9,398)	(9,322)	(10,824)	(12,459)
Adj. EBITDA	**(4,549)**	**(399)**	**(2,503)**	**1,069**	**2,837**
D&A	(2,109)	(2,372)	(2,605)	(2,732)	(2,843)
Adj. EBIT	**(6,658)**	**(2,771)**	**(5,108)**	**(1,664)**	**(6)**
Net Interest	1,031	783	751	533	996
Adj. PBT	**(5,831)**	**(1,157)**	**(4,180)**	**(748)**	**1,393**
Tax	70	(14)	(9)	(26)	(209)
Minority Interest	0	0	0	0	0
Adj. Net Income	**(5,790)**	**(1,139)**	**(4,189)**	**(774)**	**1,184**
Reported EPS (Basic)	(6.12)	(1.20)	(4.40)	(0.81)	1.24
Adj. EPS	**(6.12)**	**(1.20)**	**(4.40)**	**(0.81)**	**1.24**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	946	952	952	952	952

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**(2,012)**	**8,259**	**1,201**	**13,504**	**6,721**
o/w Depreciation & amortization	2,109	2,372	2,605	2,732	2,843
o/w Changes in working capital	56	8,697	3,768	11,120	2,205
Cash flow from investing activities	**(1,255)**	**(7,334)**	**(3,075)**	**(4,075)**	**(3,075)**
o/w Capital expenditure	(2,226)	(3,156)	(3,075)	(4,075)	(3,075)
as % of sales	*5.4%*	*4.1%*	*3.3%*	*2.9%*	*1.9%*
Cash flow from financing activities	**669**	**515**	**500**	**500**	**500**
o/w Dividends paid	-	-	-	-	-
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	1,197	515	500	500	500
Net change in cash	**(2,562)**	**1,661**	**(1,375)**	**9,929**	**4,146**
Adj. Free cash flow to firm	**(5,388)**	**7,390**	**(890)**	**9,003**	**3,156**
y/y Growth	*48.5%*	*(237.2%)*	*(112.0%)*	*(1111.1%)*	*(64.9%)*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,586	17,330	15,955	25,883	30,029
Accounts receivable	2,450	1,997	1,308	2,022	2,326
Inventories	5,563	10,381	11,485	17,401	19,855
Other current assets	23,137	33,547	33,547	33,547	33,547
Current assets	**49,736**	**63,254**	**62,295**	**78,853**	**85,757**
PP&E	11,522	13,527	15,440	18,029	19,337
LT investments	1,963	1,469	1,469	1,469	1,469
Other non current assets	19,485	24,913	23,470	22,224	21,148
Total assets	**82,706**	**103,163**	**102,674**	**120,575**	**127,711**
Short term borrowings	4,609	4,282	4,282	4,282	4,282
Payables	23,080	37,163	41,348	59,097	64,060
Other short term liabilities	12,175	16,668	15,205	15,205	15,205
Current liabilities	**39,865**	**58,113**	**60,835**	**78,584**	**83,547**
Long-term debt	5,665	6,589	7,089	7,589	8,089
Other long term liabilities	5,902	8,092	8,092	8,092	8,092
Total liabilities	**51,431**	**72,794**	**76,015**	**94,265**	**99,727**
Shareholders' equity	31,275	30,368	26,658	26,310	27,984
Minority interests	0	0	0	0	0
Total liabilities & equity	**82,706**	**103,163**	**102,674**	**120,575**	**127,711**
BVPS	**33.07**	**31.90**	**28.00**	**27.64**	**29.39**
y/y Growth	*(20.8%)*	*(3.5%)*	*(12.2%)*	*(1.3%)*	*6.4%*
Net debt/(cash)	(8,313)	(6,459)	(4,584)	(14,013)	(17,659)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	14.3%	18.9%	17.0%	15.6%	16.3%
EBITDA margin	(11.1%)	(0.5%)	(2.7%)	0.8%	1.7%
EBIT margin	(16.3%)	(3.6%)	(5.6%)	(1.2%)	(0.0%)
Net profit margin	(14.2%)	(1.5%)	(4.6%)	(0.5%)	0.7%
ROE	(17.1%)	(3.7%)	(14.7%)	(2.9%)	4.4%
ROA	(6.9%)	(1.2%)	(4.1%)	(0.7%)	1.0%
ROCE	(15.4%)	(6.8%)	(12.9%)	(4.5%)	(0.0%)
SG&A/Sales	16.8%	12.3%	10.2%	7.6%	7.6%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	1.8	16.2	1.8	NM	NM
Sales/Assets (x)	0.5	0.8	0.9	1.3	1.3
Assets/Equity (x)	2.5	3.0	3.6	4.2	4.6
Interest cover (x)	4.4	0.5	3.3	NM	NM
Operating leverage	(117.0%)	(66.5%)	428.4%	(123.5%)	(662.8%)
Tax rate	(1.2%)	(1.2%)	(0.2%)	(3.5%)	15.0%
Revenue y/y Growth	33.2%	87.7%	19.7%	54.6%	15.0%
EBITDA y/y Growth	(49.5%)	(91.2%)	526.7%	(142.7%)	165.4%
EPS y/y Growth	(48.6%)	(80.5%)	267.6%	(81.5%)	(252.9%)
Valuation	**FY24A**	**FY25A**	**FY26E**	**FY27E**	**FY28E**
P/E (x)	NM	NM	NM	NM	35.3
P/BV (x)	1.3	1.4	1.6	1.6	1.5
EV/EBITDA (x)	NM	NM	NM	69.5	24.9
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Overweight

XPEV,XPEV US

Price (10 Jul 26): $13.03

▼ **Price Target (Dec-26): $27.00**
Prior (Dec-26): $30.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	86,076	91,818	6.7%
Revenue - 27E (Rmb mn)	136,805	141,947	3.8%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	55	69	81	86	39
Growth	27	13	30	54	29
Momentum	99	13	1	86	99
Quality	96	96	100	96	99
Low Vol	96	96	98	98	100

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

XPeng

2Q26 Preview

XPeng's share price corrected by 35% YTD, shy of the auto sector's -17% or MXCN -10%. We believe one potential reason for such weakness is elevated R&D expense as the company strives to be a leader in humanoid robot and robotaxi businesses in the future; these two initiatives are expected to add ~Rmb7bn R&D expense this year, resulting into total R&D of ~Rmb12bn in 2026 (up from Rmb9.5bn in 2025). Together with other factors such as weak domestic demand, consensus 2026 earnings were revised down from Rmb2.4bn non-GAAP profit earlier this year to now Rmb1.5bn non-GAAP loss, according to Bloomberg.

- **China business development:** Xpeng's 2Q26 delivery (103k units) was very much in line with expectations. We believe the company's killer models will be two SUVs under the Mona brand - L03 and L05. Formal debut of L03 is scheduled for July 16 with initial indicative MSRP starting ~Rmb140k, a competitive level, in our view. L05 is scheduled to arrive in late 3Q to early 4Q26. Together with the upcoming G9L SUV in Aug, we project XPeng will deliver ~40% and ~20% QoQ volume growth in 3Q and 4Q26, respectively.

  Outside new models, XPeng is maintaining its plan to introduce its commercialized version of IRON humanoid robot in 2H, with formal delivery during 4Q26, initially as receptionist at its store, followed by external sales to other customers. We believe humanoid robot will constitute an integral part of revenue in 2028 and beyond.

  Robotaxi is another key initiative where we expect the company to gain operational license approval from the Guangzhou govt. before year-end, followed by pilot run of robotaxi operation led by XPeng at end-2026 or early-2027.

- **Overseas strategy / plan:** We believe XPeng will see a similar robust export business as other Chinese brands. The company's record delivery of 7,000 units in June was a good example. We forecast that the overseas market will account for c.20% of XPeng's revenue this year. In the near term, XPeng plans to launch its L03 SUV in both domestic and international market (Munich), which we believe will be a key event this month. In addition to this, XPeng's assembly plant in Austria, Indonesia and Malaysia will also help the company mitigate tariff or non-tariff headwinds in the future, in our view.

- **Our recommendation / earnings revision:** We tweak our earnings forecasts- including 1) lifting top line revenue and volume to reflect an anticipated solid sales after new SUV launches; however, 2) we trim our GPM assumption in 2H26 as new models would incur higher sales & marketing expense as well as higher rebate to dealers in both domestic and international markets. Net/ net, we believe XPeng's operation cash flow shall improve meaningfully in 2H26 along with solid sales volume; on the flip side, heavy R&D investments into AI initiatives, i.e. robotaxi and humanoid robot would weigh on bottom line. We believe XPeng will turn non-GAAP breakeven only in 2H2027. Our numbers are below consensus, which we believe are not reflecting higher R&D as well as SG&A expenses yet.

- Strategically, we still like XPeng's longer term story especially its AI initiatives. We remain OW on the stock and expect the stock to perform along with commercialization or materialization of its humanoid robot, and robotaxi businesses as well as solid 4Q26 vehicle volume (JPMe a record level of ~175k units or ~50% yoy growth).

Table: XPeng Auto - Earnings revisions

	2026E			2027E		
RMBmn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	91,818	86,076	7%	141,947	136,805	4%
Sales growth (yoy%)	20%	12%		55%	59%	
COGS	76,222	69,937	9%	119,836	113,536	6%
Gross profit	15,596	16,139	-3%	22,111	23,269	-5%
Gross margin (%)	17%	19%		16%	17%	
Operating profit	(5,108)	(4,844)	-5%	(1,664)	(1,483)	-12%
Operating margin (%)	-6%	-6%		-1%	-1%	
OP (Non- GAAP)	(4,629)	(4,394)	-5%	(1,238)	(1,073)	-15%
OPM- adj (%)	-5%	-5%		-1%	-1%	
Pre-tax profit	(4,180)	(3,927)	-6%	(748)	(681)	-10%
Net profit	(4,189)	(3,983)	-5%	(774)	(739)	-5%
Net margin (%)	-5%	-5%		-1%	-1%	
Net profit growth (yoy%)	268%	250%		-82%	-81%	
NP (Non- GAAP)	(3,710)	(3,533)	-5%	(349)	(328)	-6%
NPM- adj (%)	-4%	-4%		0%	0%	
Basic Earning/(Lost) per ADS	(4.40)	(4.18)		(0.81)	(0.78)	
Diluted Earning/(Lost) per ADS	(4.40)	(4.18)		(0.81)	(0.78)	
EPS growth (%)	268%	250%		-82%	-81%	
EBIT	(5,108)	(4,844)	-5%	(1,664)	(1,483)	-12%
EBITDA	(2,503)	(2,239)	-12%	1,069	1,249	-14%
EBIT margin (%)	-6%	-6%		-1%	-1%	
EBITDA margin (%)	-3%	-3%		1%	1%	

Source: J.P. Morgan estimates.

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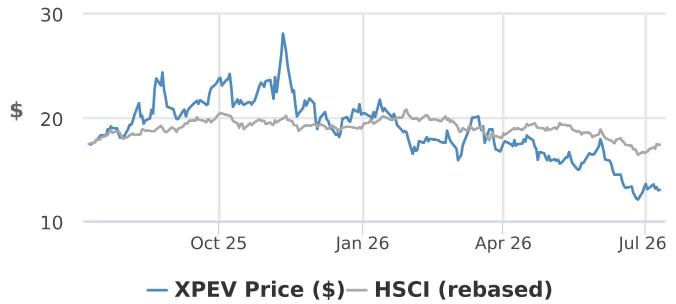
Price Performance



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52-week range ($)	28.24-11.77
Market cap ($ mn)	10,704
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	7.21
3M ADV ($ mn)	110.7
Volatility (90 Day)	51
Index	HSCI
BBG ANR (Buy | Hold | Sell)	24|5|2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
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EBIT margin	(3.6%)	(5.6%)	(1.2%)	(0.0%)
Adj. EPS growth	(80.5%)	267.6%	(81.5%)	(252.9%)
Ratios				
Adj. tax rate	(1.2%)	(0.2%)	(3.5%)	15.0%
Interest cover	0.5	3.3	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	16.2	1.8	NM	NM
ROCE	(6.8%)	(12.9%)	(4.5%)	(0.0%)
ROE	(3.7%)	(14.7%)	(2.9%)	4.4%
Valuation				
FCFF yield	8.8%	(1.1%)	10.7%	3.7%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	NM	NM	69.5	24.9
EV/Revenue	1.1	0.9	0.5	0.4
Adj. P/E	NM	NM	NM	71.2

Summary Investment Thesis and Valuation

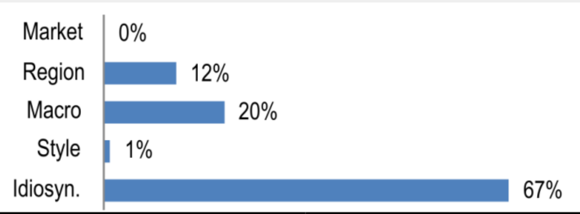
Investment Thesis

We believe the next major leg-up in 2026-27 will be driven by the company's AI initiatives, which are Robotaxi, humanoid robot and flying car, all powered by XPeng's in-house AI capability including self-designed chip, VLA and VLM. While investors may not see noticeable revenue contribution from these initiatives until 2H/4Q26 or beyond, and the market may not pay much value for its 2027 story today, our view is that XPeng's share price will start to price in its AI ambitions aggressively into 2H26 when we have more visibility on its technology deployment.

Valuation

We set our Dec-26 PT at US$27 (vs previous US$30). We value the company based on SOTP methodology. For vehicle sales, we apply a 0.7x FY27E P/S and EV/S (vs previous 0.9x) to reflect our more cautious view on the broader market. For the other business initiatives (incl. robotaxi, humanoid robot and flying car), we base on the bear case valuation of each business initiative. For chip supply, given the business is still in the early stages, we value the business at a market cap of US$500mn, at a meaningful discount to Horizon Robotics (9660 HK). Our Dec-26 PT for XPeng-ADR translates to 1.9x/1.3x 2026/27E P/S multiples.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.13	0.13
Region: China	0.56	0.43
Macro:		
JP Morgan EMBI Global Spread	-0.10	-0.26
JPM Forecast Revision EM	-0.46	-0.26
Citi Economic Surprise - EM	-0.38	-0.22
Quant Styles:		
Quality	-0.09	-0.16
Momentum	-0.10	-0.14
Size	-0.22	-0.12

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

XPeng Inc. *(Overweight; Price Target: $27.00)*

Investment Thesis

We believe the next major leg-up in 2026-27 will be driven by the company's AI initiatives, which are Robotaxi, humanoid robot and flying car, all powered by XPeng's in-house AI capability including self-designed chip, VLA and VLM. While investors may not see noticeable revenue contribution from these initiatives until 2H/4Q26 or beyond, and the market may not pay much value for its 2027 story today, our view is that XPeng's share price will start to price in its AI ambitions aggressively into 2Q/2H26 when we have more visibility on its technology deployment.

Valuation

We set our Dec-26 PT at US$27 (vs previous US$30). We value the company based on SOTP methodology. For vehicle sales, we apply a 0.7x FY27E P/S and EV/S (vs previous 0.9x) to reflect our more cautious view on the broader market. For the other business initiatives (incl. robotaxi, humanoid robot and flying car), we base on the bear case valuation of each business initiative. For chip supply, given the business is still in the early stages, we value the business at a market cap of US$500mn, at a meaningful discount to Horizon Robotics (9660 HK). Our Dec-26 PT for XPeng-ADR translates to 1.9x/1.3x 2026/27E P/S multiples.

Table: SOTP valuation

(USDmn)	Implied mkt cap
Vehicle sales	16,756
Robotaxi service	2,754
Humanoid robot	5,889
Flying car (~20% holding by XPEV)	224
Chip supply	500
Total implied equity value (USD mn)	**26,122**
Implied value per share (USD)	**27.4**
Implied value per share (HKD)	**107.59**

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our PT include: worse-than-expected pricing competition in China's NEV market; execution risk and worse-than-expected competition in robotaxi, humanoid robots and flying cars business. Key factors to track for validating or falsifying our valuation thesis on the three new initiatives include: the launch of L4 vehicles by end-2026, cost management and shipment volumes of humanoid robots, progress in the certification process for flying cars, and the execution of supply chain operations.

Potential upside catalysts include successful collaboration between XPeng and VW on future products and technology, better-than-expected development and demand in robotaxi, humanoid robots and flying cars business.

XPeng: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**40,866**	**76,720**	**91,818**	**141,947**	**163,282**
COGS	(35,021)	(62,247)	(76,222)	(119,836)	(136,736)
Gross profit	**5,846**	**14,473**	**15,596**	**22,111**	**26,546**
SG&A	(6,871)	(9,398)	(9,322)	(10,824)	(12,459)
Adj. EBITDA	**(4,549)**	**(399)**	**(2,503)**	**1,069**	**2,837**
D&A	(2,109)	(2,372)	(2,605)	(2,732)	(2,843)
Adj. EBIT	**(6,658)**	**(2,771)**	**(5,108)**	**(1,664)**	**(6)**
Net Interest	1,031	783	751	533	996
Adj. PBT	**(5,831)**	**(1,157)**	**(4,180)**	**(748)**	**1,393**
Tax	70	(14)	(9)	(26)	(209)
Minority Interest	0	0	0	0	0
Adj. Net Income	**(5,790)**	**(1,139)**	**(4,189)**	**(774)**	**1,184**
Reported EPS (Basic)	(6.12)	(1.20)	(4.40)	(0.81)	1.24
Adj. EPS	**(6.12)**	**(1.20)**	**(4.40)**	**(0.81)**	**1.24**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	946	952	952	952	952

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,586	17,330	15,955	25,883	30,029
Accounts receivable	2,450	1,997	1,308	2,022	2,326
Inventories	5,563	10,381	11,485	17,401	19,855
Other current assets	23,137	33,547	33,547	33,547	33,547
Current assets	**49,736**	**63,254**	**62,295**	**78,853**	**85,757**
PP&E	11,522	13,527	15,440	18,029	19,337
LT investments	1,963	1,469	1,469	1,469	1,469
Other non current assets	19,485	24,913	23,470	22,224	21,148
Total assets	**82,706**	**103,163**	**102,674**	**120,575**	**127,711**
Short term borrowings	4,609	4,282	4,282	4,282	4,282
Payables	23,080	37,163	41,348	59,097	64,060
Other short term liabilities	12,175	16,668	15,205	15,205	15,205
Current liabilities	**39,865**	**58,113**	**60,835**	**78,584**	**83,547**
Long-term debt	5,665	6,589	7,089	7,589	8,089
Other long term liabilities	5,902	8,092	8,092	8,092	8,092
Total liabilities	**51,431**	**72,794**	**76,015**	**94,265**	**99,727**
Shareholders' equity	31,275	30,368	26,658	26,310	27,984
Minority interests	0	0	0	0	0
Total liabilities & equity	**82,706**	**103,163**	**102,674**	**120,575**	**127,711**
BVPS	**33.07**	**31.90**	**28.00**	**27.64**	**29.39**
y/y Growth	*(20.8%)*	*(3.5%)*	*(12.2%)*	*(1.3%)*	*6.4%*
Net debt/(cash)	(8,313)	(6,459)	(4,584)	(14,013)	(17,659)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**(2,012)**	**8,259**	**1,201**	**13,504**	**6,721**
o/w Depreciation & amortization	2,109	2,372	2,605	2,732	2,843
o/w Changes in working capital	56	8,697	3,768	11,120	2,205
Cash flow from investing activities	**(1,255)**	**(7,334)**	**(3,075)**	**(4,075)**	**(3,075)**
o/w Capital expenditure	(2,226)	(3,156)	(3,075)	(4,075)	(3,075)
as % of sales	*5.4%*	*4.1%*	*3.3%*	*2.9%*	*1.9%*
Cash flow from financing activities	**669**	**515**	**500**	**500**	**500**
o/w Dividends paid	-	-	-	-	-
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	1,197	515	500	500	500
Net change in cash	**(2,562)**	**1,661**	**(1,375)**	**9,929**	**4,146**
Adj. Free cash flow to firm	**(5,388)**	**7,390**	**(890)**	**9,003**	**3,156**
y/y Growth	*48.5%*	*(237.2%)*	*(112.0%)*	*(1111.1%)*	*(64.9%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	14.3%	18.9%	17.0%	15.6%	16.3%
EBITDA margin	(11.1%)	(0.5%)	(2.7%)	0.8%	1.7%
EBIT margin	(16.3%)	(3.6%)	(5.6%)	(1.2%)	(0.0%)
Net profit margin	(14.2%)	(1.5%)	(4.6%)	(0.5%)	0.7%
ROE	(17.1%)	(3.7%)	(14.7%)	(2.9%)	4.4%
ROA	(6.9%)	(1.2%)	(4.1%)	(0.7%)	1.0%
ROCE	(15.4%)	(6.8%)	(12.9%)	(4.5%)	(0.0%)
SG&A/Sales	16.8%	12.3%	10.2%	7.6%	7.6%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	1.8	16.2	1.8	NM	NM
Sales/Assets (x)	0.5	0.8	0.9	1.3	1.3
Assets/Equity (x)	2.5	3.0	3.6	4.2	4.6
Interest cover (x)	4.4	0.5	3.3	NM	NM
Operating leverage	(117.0%)	(66.5%)	428.4%	(123.5%)	(662.8%)
Tax rate	(1.2%)	(1.2%)	(0.2%)	(3.5%)	15.0%
Revenue y/y Growth	33.2%	87.7%	19.7%	54.6%	15.0%
EBITDA y/y Growth	(49.5%)	(91.2%)	526.7%	(142.7%)	165.4%
EPS y/y Growth	(48.6%)	(80.5%)	267.6%	(81.5%)	(252.9%)

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	NM	NM	NM	NM	71.2
P/BV (x)	2.7	2.8	3.2	3.2	3.0
EV/EBITDA (x)	NM	NM	NM	69.5	24.9
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Overweight

NIO,NIO US

Price (10 Jul 26): $4.78

Price Target (Dec-26): $7.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	(0.22)	(0.23)	-4.5%
Adj. EPS - 27E (Rmb)	1.26	1.11	-11.7%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	93	100	100	99	67
Growth	44	22	21	52	78
Momentum	12	9	78	100	85
Quality	100	99	97	99	99
Low Vol	95	96	96	97	100
ESGQ	25	21	8	11	19

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

NIO

Stay OW

YTD, Nio' share price is down slightly by 6%, better than broader auto's (-17%, measured by MSCI China auto index) or MXCN (-10%). We believe Nio's relative strength is driven by earnings beat or surprise; Bloomberg 2026 consensus earnings were raised from Rmb4.4bn non-GAAP loss earlier this year to now a Rmb185mn profit. At the upcoming 2Q26 earnings, we believe Nio will deliver around break-even bottom-line or only moderate non-GAAP loss vs. consensus Rmb313mn loss, hence another beat.

- **China business development:** NIO's volume strategy is framed around ONVO (volume) + Firefly (lower-end niche) while keeping NIO brand as the profit pool; the key swing factor is whether new launches drive orders and narrow losses into 2H26.
- **Overseas strategy / plan:** Nio's strategic focus at this point is the domestic market. Nio started to export its model under the entry level brand "Firefly" to selected Southeast Asian markets but volume or profit contribution at this point is limited.
- **Our view / earnings revision:** We maintain OW in the cited sector write-up, framing March/April as potential entry points due to auto-show/new model catalysts and the possibility of meaningful loss narrowing and potential non-GAAP breakeven in 4Q26 if execution holds.

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Price Performance

	YTD	1m	3m	12m
Abs	-6.3%	-7.7%	-26.5%	29.5%
Rel	-7.0%	-7.8%	-26.7%	15.7%

Company Data

Shares O/S (mn)	2,273
52-week range ($)	8.02-3.49
Market cap ($ mn)	10,863
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	35.25
3M ADV ($ mn)	202.3
Volatility (90 Day)	63
Index	SSE
BBG ANR (Buy | Hold | Sell)	23|6|1

Key Metrics (FYE Dec)

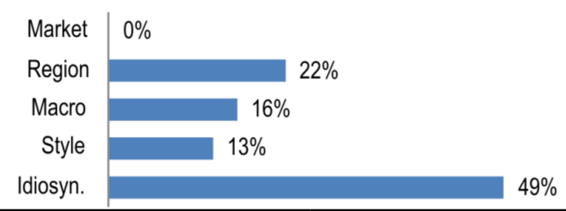
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	87,488	140,787	167,342	190,501
Adj. EBITDA	(14,041)	(150)	3,356	7,285
Adj. EBIT	(14,041)	(150)	3,356	7,285
Adj. net income	(15,571)	(512)	2,523	5,185
Net margin	(17.8%)	(0.4%)	1.5%	2.7%
Adj. EPS	(6.85)	(0.23)	1.11	2.28
BBG EPS	(6.46)	(0.18)	0.93	2.07
Cashflow from operations	2,477	(244)	9,366	20,539
FCFF	(7,367)	(2,978)	1,869	12,973
Margins and Growth				
Revenue Growth Y/Y (%)	33.1%	60.9%	18.9%	13.8%
EBITDA margin	(16.0%)	(0.1%)	2.0%	3.8%
EBITDA Growth Y/Y (%)	(35.8%)	(98.9%)	(2332.8%)	117.1%
EBIT margin	(16.0%)	(0.1%)	2.0%	3.8%
Adj. EPS growth	(37.9%)	(96.7%)	(592.8%)	105.5%
Ratios				
Adj. tax rate	(0.8%)	(8.0%)	15.0%	16.8%
Interest cover	NM	NM	6.2	14.4
Net debt/Equity	0.3	0.6	0.4	NM
Net debt/EBITDA	NM	NM	1.7	NM
ROCE	(67.3%)	(0.8%)	11.7%	21.0%
ROE	(307.5%)	(12.0%)	42.9%	50.5%
Valuation				
FCFF yield	(10.0%)	(4.0%)	2.5%	17.6%
Dividend yield	-	-	-	-
EV/EBITDA	NM	NM	28.4	11.2
EV/Revenue	1.1	0.7	0.6	0.4
Adj. P/E	NM	NM	29.2	14.2

Summary Investment Thesis and Valuation

We stay OW on NIO. We believe ONVO L80 and ES9/ES8 will be the crucial models leading volume and profitability, and we now expect FY26 volume of ~450k units or 38%yoy growth. We expect profitability to turn around further over the remaining quarters this year due to the improving product mix and volume growth.

Our Dec-26 PT of US$7 is based on the blended average of 0.9x FY26E P/S and 0.6x FY26E EV/sales. We apply these multiples considering and comparing the business similarities and differences, operational opportunities and new product pipelines of NIO and its peers XPeng and Li Auto (based on Bloomberg consensus estimates).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.07	0.02
Region: China	0.52	0.49
Macro:		
Markit EM Composite PMI SA	-0.38	-0.27
Citi Economic Surprise - EM	-0.17	-0.19
JPM Forecast Revision EM	-0.36	-0.19
Quant Styles:		
Momentum	-0.43	-0.18
LowVol	0.19	-0.18
Value	0.34	-0.14

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Table: Earnings revisions

	2026E			2027E		
RMBmn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	140,787	143,102	-2%	167,342	171,742	-3%
Sales growth (yoy%)	61%	64%		19%	20%	
COGS	116,086	118,300	-2%	137,277	140,339	-2%
Gross profit	24,702	24,801	0%	30,065	31,403	-4%
Gross margin (%)	17.5%	17.3%		18.0%	18.3%	
Operating profit	(150)	(124)	-21%	3,356	3,727	-10%
Operating margin (%)	0%	0%		2%	2%	
OP (Non- GAAP)	566	599	6%	3,858	4,242	9%
OPM- adj (%)	0%	0%		2%	2%	
Pre-tax profit	(476)	(450)	-6%	2,954	3,344	-12%
Net profit	(512)	(490)	-4%	2,523	2,856	-12%
Net margin (%)	0%	0%		2%	2%	
Net profit growth (yoy%)	-97%	-97%		-593%	-683%	
NP (Non- GAAP)	203	232	12%	3,013	3,357	-10%
NPM- adj (%)	0%	0%		2%	2%	

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

NIO Inc. *(Overweight; Price Target: $7.00)*

Investment Thesis

We stay OW on NIO. We believe ONVO L80 and ES9/ES8 will be the crucial models leading volume and profitability, and we now expect FY26 volume of ~450k units or 38%yoy growth. We expect profitability to turn around further over the remaining quarters this year due to the improving product mix and volume growth.

Valuation

Incorporating our earnings revisions, our Dec-26 PT of US$7 is based on the blended average of an unchanged 0.9x FY26E P/S and an unchanged 0.6x FY26E EV/sales. We apply these multiples considering and comparing the business similarities and differences, operational opportunities and new product pipelines of NIO and its peers XPeng and Li Auto (based on Bloomberg consensus estimates). The multiples are still at a discount to EV startup names' average 1x FY26E P/S and 0.8x FY26E EV/S, which we believe are not aggressive.

Risks to Rating and Price Target

Upside catalysts/downside risks include better-/worse-than-expected execution and delivery of vehicles, overall auto market sales/EV demand, and competition from rivals with products at similar price points.

NIO: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**65,732**	**87,488**	**140,787**	**167,342**	**190,501**
COGS	(59,239)	(75,572)	(116,086)	(137,277)	(155,040)
Gross profit	**6,493**	**11,916**	**24,702**	**30,065**	**35,461**
SG&A	(15,741)	(16,088)	(15,548)	(15,633)	(16,233)
Adj. EBITDA	**(21,874)**	**(14,041)**	**(150)**	**3,356**	**7,285**
D&A	(5,875)	(5,467)	(5,752)	(5,984)	(6,173)
Adj. EBIT	**(21,874)**	**(14,041)**	**(150)**	**3,356**	**7,285**
Net Interest	55	(124)	(263)	(537)	(505)
Adj. PBT	**(22,425)**	**(14,821)**	**(476)**	**2,954**	**6,199**
Tax	23	(122)	(38)	(443)	(1,044)
Minority Interest	92	(18)	2	13	30
Adj. Net Income	**(22,658)**	**(15,571)**	**(512)**	**2,523**	**5,185**
Reported EPS (Basic)	(11.03)	(6.85)	(0.23)	1.11	2.28
Adj. EPS	**(11.03)**	**(6.85)**	**(0.23)**	**1.11**	**2.28**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	2,055	2,273	2,273	2,273	2,273

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	19,329	11,274	10,156	13,027	26,432
Accounts receivable	7,702	16,078	8,023	9,536	10,856
Inventories	7,087	8,531	11,132	11,283	12,743
Other current assets	27,767	40,750	40,750	40,750	40,750
Current assets	**61,886**	**76,633**	**70,061**	**74,596**	**90,780**
PP&E	25,893	25,828	28,674	29,689	30,516
LT investments	0	0	0	0	0
Other non current assets	19,826	21,940	22,580	22,575	22,570
Total assets	**107,605**	**124,401**	**121,314**	**126,861**	**143,866**
Short term borrowings	5,730	4,692	6,730	7,230	7,660
Payables	34,387	53,310	46,634	48,667	60,086
Other short term liabilities	22,194	20,581	20,581	20,581	20,581
Current liabilities	**62,311**	**78,583**	**73,944**	**76,478**	**88,327**
Long-term debt	11,441	10,092	11,441	11,441	10,871
Other long term liabilities	20,346	23,034	23,034	23,034	23,034
Total liabilities	**94,098**	**111,709**	**108,419**	**110,952**	**122,231**
Shareholders' equity	5,967	4,159	4,364	7,389	13,146
Minority interests	7,540	8,533	8,531	8,519	8,489
Total liabilities & equity	**107,605**	**124,401**	**121,314**	**126,861**	**143,866**
BVPS	**2.90**	**1.83**	**1.92**	**3.25**	**5.78**
y/y Growth	*(80.7%)*	*(37.0%)*	*4.9%*	*69.3%*	*77.9%*
Net debt/(cash)	(2,159)	3,510	8,014	5,643	(7,901)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**(7,849)**	**2,477**	**(244)**	**9,366**	**20,539**
o/w Depreciation & amortization	5,875	5,467	5,752	5,984	6,173
o/w Changes in working capital	5,917	9,103	(1,221)	369	8,639
Cash flow from investing activities	**(4,958)**	**(13,411)**	**(6,995)**	**(6,995)**	**(6,995)**
o/w Capital expenditure	(9,142)	(6,995)	(6,995)	(6,995)	(6,995)
as % of sales	*13.9%*	*8.0%*	*5.0%*	*4.2%*	*3.7%*
Cash flow from financing activities	**1,772**	**8,500**	**500**	**500**	**(140)**
o/w Dividends paid	0	0	0	0	0
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(1,596)	500	500	500	(140)
Net change in cash	**(10,874)**	**(2,434)**	**(6,739)**	**2,871**	**13,405**
Adj. Free cash flow to firm	**(17,926)**	**(7,367)**	**(2,978)**	**1,869**	**12,973**
y/y Growth	*(18.3%)*	*(58.9%)*	*(59.6%)*	*(162.8%)*	*594.1%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	9.9%	13.6%	17.5%	18.0%	18.6%
EBITDA margin	(33.3%)	(16.0%)	(0.1%)	2.0%	3.8%
EBIT margin	(33.3%)	(16.0%)	(0.1%)	2.0%	3.8%
Net profit margin	(34.5%)	(17.8%)	(0.4%)	1.5%	2.7%
ROE	(143.8%)	(307.5%)	(12.0%)	42.9%	50.5%
ROA	(20.1%)	(13.4%)	(0.4%)	2.0%	3.8%
ROCE	(65.5%)	(67.3%)	(0.8%)	11.7%	21.0%
SG&A/Sales	23.9%	18.4%	11.0%	9.3%	8.5%
Net debt/Equity	NM	0.3	0.6	0.4	NM
Net debt/EBITDA	0.1	NM	NM	1.7	NM
Sales/Assets (x)	0.6	0.8	1.1	1.3	1.4
Assets/Equity (x)	7.1	22.9	28.8	21.1	13.2
Interest cover (x)	395.1	NM	NM	6.2	14.4
Operating leverage	(19.0%)	(108.2%)	(162.4%)	(12367.9%)	845.8%
Tax rate	(0.1%)	(0.8%)	(8.0%)	15.0%	16.8%
Revenue y/y Growth	18.2%	33.1%	60.9%	18.9%	13.8%
EBITDA y/y Growth	(3.4%)	(35.8%)	(98.9%)	(2332.8%)	117.1%
EPS y/y Growth	(11.3%)	(37.9%)	(96.7%)	(592.8%)	105.5%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	NM	NM	NM	29.2	14.2
P/BV (x)	11.2	17.7	16.9	10.0	5.6
EV/EBITDA (x)	NM	NM	NM	28.4	11.2
Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Li Auto

Trim PT to HK$38

Underweight

2015.HK,2015 HK
Price (13 Jul 26): HK$47.42

▼ **Price Target (Dec-26): HK$38.00**
Prior (Dec-26): HK$56.00

China
Head of APAC Auto Research

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	46	20	31	55	11
Growth	30	94	88	4	65
Momentum	82	99	34	1	
Quality	90	72	68	93	91
Low Vol	84	86	93	96	

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Li Auto (Li)'s ADR and H-share slipped by ~28-30% YTD, shy of MXCN (-10%) or broader China autos (-17%). In addition to the weakness seen in the China auto market, Li's consensus 2026 earnings estimate downgrade from Rmb5.7bn non-GAAP profit at the beginning of the year to now ~Rmb530mn loss explains a large part of the share price correction. Despite this, we remain cautious on the name considering our full year estimate of Rmb3.3bn non-GAAP loss. We expect to see more earnings downgrades post 2Q26 result in late August.

- **China business development:** Li delivered ~193k units of vehicles in 1H26, down moderately by 5% yoy. Mgmt. guidance is to achieve full year 20% growth driven by new and refreshed models from 2Q26 which we welcome; nonetheless, considering a very competitive market especially in the 5-6 seater large SUV segment that we witnessed at the recent Beijing auto show (click here), we believe Li will continue encountering pricing, profitability and volume delivery headwinds in 2H26. We project it will deliver ~10% volume growth this year, shy of mgmt. guidance 20%.
- **2Q26 preview and full year estimates:** In 2Q26, we believe Li will see moderate vehicle GPM improvement to ~9.6%, up from the trough of 6.1% in 1Q26 when the company suffered price competition and inventory clearance. In 2H26, we believe vehicle GPM shall further expand to ~15-16%; however, this remains below mgmt. guidance or consensus. Specifically for 2Q26, we project Li will deliver non-GAAP loss of Rmb1.07bn vs. consensus around Rmb950-960mn loss, according to Bloomberg. For full year 2026, we project Rmb3.3bn non-GAAP loss vs. consensus ~Rmb530mn loss (which we notice is being cut sharply from Rmb5.7bn profit in Jan).
- **We stay UW** on Li. Considering our cautious view on broader auto demand in 2H26, intense pricing environment as well as consensus earnings downgrade risk, we are trimming our Dec-26 PTs to HK38/US$10 on more conservative multiples including 0.6x P/sales and 27x PER (down from previous HK56/US$14 on 0.6x P/Sales and 0.3x Ev/sales). We incorporate earnings multiples here as we believe the market will look at PER again into 2027 when Li might turn into a profit again.

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Price Performance

	YTD	1m	3m	12m
Abs	-27.2%	-17.2%	-36.0%	-56.6%
Rel	-17.7%	-13.5%	-29.7%	-48.9%

Company Data

Shares O/S (mn)	1,008
52-week range (HK$)	128.10-45.26
Market cap ($ mn)	6,095
Exchange rate	7.84
Free float (%)	65.8%
3M ADV (mn)	15.10
3M ADV ($ mn)	115.8
Volatility (90 Day)	51
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	24|14|2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	112,313	109,644	133,377	151,910
Adj. EBITDA	4,114	(208)	10,389	12,691
Adj. EBIT	(521)	(5,794)	3,098	4,220
Adj. net income	1,124	(3,505)	4,334	5,111
Net margin	1.0%	(3.2%)	3.2%	3.4%
Adj. EPS	1.12	(3.48)	4.30	5.07
BBG EPS	1.09	(0.24)	2.17	3.34
Cashflow from operations	(8,611)	(4,600)	11,846	17,901
FCFF	(14,013)	(13,790)	1,446	7,445
Margins and Growth				
Revenue Growth Y/Y (%)	(22.3%)	(2.4%)	21.6%	13.9%
EBITDA margin	3.7%	(0.2%)	7.8%	8.4%
EBITDA Growth Y/Y (%)	(59.2%)	(105.1%)	(5086.4%)	22.2%
EBIT margin	(0.5%)	(5.3%)	2.3%	2.8%
Adj. EPS growth	(86.2%)	(411.7%)	(223.6%)	17.9%
Ratios				
Adj. tax rate	12.2%	(13.5%)	4.6%	4.0%
Interest cover	NM	0.1	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	210.6	NM	NM
ROCE	(0.6%)	(8.5%)	3.8%	4.9%
ROE	1.6%	(5.1%)	6.2%	6.8%
Valuation				
FCFF yield	(33.9%)	(33.4%)	3.5%	18.0%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	7.0	NM	3.9	2.6
EV/Revenue	0.3	0.4	0.3	0.2
Adj. P/E	36.7	NM	9.5	8.1

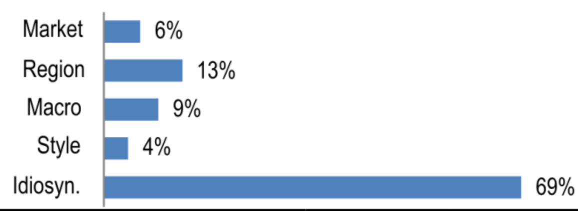
Summary Investment Thesis and Valuation

Our key concern on Li Auto remains execution risk, as a growing number of Chinese competitors — including NIO, XPeng, Huawei-backed brands, Xiaomi, Zeekr and Leapmotor — are launching EREV and BEV products that increasingly overlap with Li Auto's core franchise across price points, specifications/features, distribution channels and target family-buyer segments. This could weigh on top-line momentum, while price competition, incentives and input-cost inflation may continue to pressure margins. We therefore remain fundamentally cautious, with stronger-than-expected new model traction or faster margin recovery as key upside risks to our view. We conservatively project that Li Auto could turn into a loss this year (both GAAP and non-GAAP basis). We stay UW as we see potential further downside from current levels given margin and profitability pressure in the upcoming quarters.

Valuation

We set Dec-26 PT to HK38 on more conservative multiples including 0.6x P/Sales and 27x PER (down from previous HK56 on 0.6x P/Sales and 0.3x EV/sales). We incorporate earnings multiple here as we believe the market will look at PER again into 2027 when Li might turn into a profit again. We apply conservative assumptions in our PT to reflect: 1) our cautious view on the overall NEV market - we now project domestic NEV demand to decline by 5-10% this year; and 2) our more cautious earnings forecasts – we now project a full-year loss vs consensus still looking for a profit.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.11	0.25
Region: China	0.35	0.37
Macro:		
US 10 Year Yield	0.31	0.29
JPM Forecast Revision EM	-0.31	-0.17
Emerging Economies CPI(YoY)	0.17	0.11
Quant Styles:		
Value	0.53	0.15
Momentum	-0.46	-0.15
DivYld	0.43	0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Li Auto Inc. *(Underweight; Price Target: HK$38.00)*

Investment Thesis

Our key concern on Li Auto remains execution risk, as a growing number of Chinese competitors — including NIO, XPeng, Huawei-backed brands, Xiaomi, Zeekr and Leapmotor — are launching EREV and BEV products that increasingly overlap with Li Auto's core franchise across price points, specifications/features, distribution channels and target family-buyer segments. This could weigh on top-line momentum, while price competition, incentives and input-cost inflation may continue to pressure margins. We therefore remain fundamentally cautious, with stronger-than-expected new model traction or faster margin recovery as key upside risks to our view. We conservatively project that Li Auto could turn into a loss this year (both GAAP and non-GAAP basis). We stay UW as we see potential further downside from current levels given margin and profitability pressure in the upcoming quarters

Valuation

We set Dec-26 PT to HK38 on more conservative multiples including 0.6x P/Sales and 27x PER (down from previous HK56 on 0.6x P/Sales and 0.3x EV/sales). We incorporate earnings multiple here as we believe the market will look at PER again into 2027 when Li might turn into a profit again. We apply conservative assumptions in our PT to reflect: 1) our cautious view on the overall NEV market - we now project domestic NEV demand to decline by 5-10% this year; and 2) our more cautious earnings forecasts – we now project a full-year loss vs consensus still looking for a profit

Risks to Rating and Price Target

Upside and downside risks: (1) better/worse-than-expected vehicle sales; (2) better/worse-than-expected overall auto market sales/EV demand; and (3) better/worse-than-expected (pricing) competition and margins.

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Li Auto: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**144,460**	**112,313**	**109,644**	**133,377**	**151,910**
COGS	(114,804)	(91,327)	(95,130)	(109,115)	(122,916)
Gross profit	**29,656**	**20,985**	**14,514**	**24,262**	**28,995**
SG&A	(12,229)	(10,665)	(8,961)	(9,448)	(11,446)
Adj. EBITDA	**10,077**	**4,114**	**(208)**	**10,389**	**12,691**
D&A	(3,058)	(4,635)	(5,586)	(7,291)	(8,471)
Adj. EBIT	**7,019**	**(521)**	**(5,794)**	**3,098**	**4,220**
Net Interest	1,632	1,751	1,539	909	955
Adj. PBT	**9,316**	**1,297**	**(4,044)**	**4,140**	**5,327**
Tax	(1,270)	(158)	547	190	(212)
Minority Interest	(13)	(15)	(8)	4	(5)
Adj. Net Income	**8,032**	**1,124**	**(3,505)**	**4,334**	**5,111**
Reported EPS (Basic)	8.06	1.12	(3.48)	4.30	5.07
Adj. EPS	**8.06**	**1.12**	**(3.48)**	**4.30**	**5.07**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	997	1,008	1,008	1,008	1,008

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**15,933**	**(8,611)**	**(4,600)**	**11,846**	**17,901**
o/w Depreciation & amortization	3,058	4,635	5,586	7,291	8,471
o/w Changes in working capital	(880)	(15,582)	(6,879)	(175)	3,859
Cash flow from investing activities	**(41,137)**	**(703)**	**(9,000)**	**(10,000)**	**(10,000)**
o/w Capital expenditure	(7,730)	(4,206)	(9,000)	(10,000)	(10,000)
as % of sales	*5.4%*	*3.7%*	*8.2%*	*7.5%*	*6.6%*
Cash flow from financing activities	**(416)**	**767**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-	-
o/w Shares issued/(repurchased)	15	15	0	0	0
o/w Net debt issued/(repaid)	(430)	1,357	0	0	0
Net change in cash	**(25,422)**	**(9,000)**	**(13,600)**	**1,846**	**7,901**
Adj. Free cash flow to firm	**2,493**	**(14,013)**	**(13,790)**	**1,446**	**7,445**
y/y Growth	*(93.4%)*	*(662.1%)*	*(1.6%)*	*(110.5%)*	*415.0%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	65,901	65,901	52,301	54,147	62,048
Accounts receivable	135	135	210	256	291
Inventories	8,186	8,186	7,298	8,370	9,429
Other current assets	52,088	52,088	52,088	52,088	52,088
Current assets	**126,310**	**126,310**	**111,897**	**114,861**	**123,856**
PP&E	8,324	8,324	11,738	14,448	15,977
LT investments	923	923	923	923	923
Other non current assets	26,792	26,792	26,792	26,792	26,792
Total assets	**162,349**	**162,349**	**151,351**	**157,024**	**167,549**
Short term borrowings	14,117	14,117	14,117	14,117	14,117
Payables	53,596	53,596	45,904	46,848	51,801
Other short term liabilities	1,503	1,503	1,503	1,503	1,503
Current liabilities	**69,216**	**69,216**	**61,524**	**62,468**	**67,421**
Long-term debt	8,152	8,152	8,152	8,152	8,152
Other long term liabilities	13,661	13,661	13,661	13,661	13,661
Total liabilities	**91,029**	**91,029**	**83,337**	**84,280**	**89,233**
Shareholders' equity	70,875	70,875	67,560	72,294	77,861
Minority interests	445	445	454	450	454
Total liabilities & equity	**162,349**	**162,349**	**151,351**	**157,024**	**167,549**
BVPS	**71.12**	**70.34**	**67.05**	**71.75**	**77.28**
y/y Growth	*16.3%*	*(1.1%)*	*(4.7%)*	*7.0%*	*7.7%*
Net debt/(cash)	(57,468)	(57,468)	(43,869)	(45,715)	(53,615)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	20.5%	18.7%	13.2%	18.2%	19.1%
EBITDA margin	7.0%	3.7%	(0.2%)	7.8%	8.4%
EBIT margin	4.9%	(0.5%)	(5.3%)	2.3%	2.8%
Net profit margin	5.6%	1.0%	(3.2%)	3.2%	3.4%
ROE	12.3%	1.6%	(5.1%)	6.2%	6.8%
ROA	5.3%	0.7%	(2.2%)	2.8%	3.1%
ROCE	8.2%	(0.6%)	(8.5%)	3.8%	4.9%
SG&A/Sales	8.5%	9.5%	8.2%	7.1%	7.5%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	210.6	NM	NM
Sales/Assets (x)	0.9	0.7	0.7	0.9	0.9
Assets/Equity (x)	2.3	2.3	2.3	2.2	2.2
Interest cover (x)	NM	NM	0.1	NM	NM
Operating leverage	(31.5%)	482.7%	(42586.9%)	(709.0%)	260.7%
Tax rate	13.6%	12.2%	(13.5%)	4.6%	4.0%
Revenue y/y Growth	16.6%	(22.3%)	(2.4%)	21.6%	13.9%
EBITDA y/y Growth	9.4%	(59.2%)	(105.1%)	(5086.4%)	22.2%
EPS y/y Growth	(32.2%)	(86.2%)	(411.7%)	(223.6%)	17.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	5.1	36.7	NM	9.5	8.1
P/BV (x)	0.6	0.6	0.6	0.6	0.5
EV/EBITDA (x)	2.9	7.0	NM	3.9	2.6
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Underweight

LI,LI US

Price (10 Jul 26): $12.10

▼ **Price Target (Dec-26): $10.00**
Prior (Dec-26): $14.00

China

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	24	24	22	35	28
Growth	82	95	90	26	15
Momentum	99	99	94	93	100
Quality	91	70	71	93	95
Low Vol	75	89	94	96	100

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Li Auto - ADR

Trim PT to US$10

Li Auto (Li)'s ADR and H-share slipped by ~28-30% YTD, shy of MXCN (-10%) or broader China autos (-17%). In addition to the weakness seen in the China auto market, Li's consensus 2026 earnings estimate downgrade from Rmb5.7bn non-GAAP profit at the beginning of the year to now ~Rmb530mn loss explains a large part of the share price correction. Despite this, we remain cautious on the name considering our full year estimate of Rmb3.3bn non-GAAP loss. We expect to see more earnings downgrades post 2Q26 result in late August.

- **China business development:** Li delivered ~193k units of vehicles in 1H26, down moderately by 5% yoy. Mgmt. guidance is to achieve full year 20% growth driven by new and refreshed models from 2Q26 which we welcome; nonetheless, considering a very competitive market especially in the 5-6 seater large SUV segment that we witnessed at the recent Beijing auto show (click here), we believe Li will continue encountering pricing, profitability and volume delivery headwinds in 2H26. We project it will deliver ~10% volume growth this year, shy of mgmt. guidance 20%.
- **2Q26 preview and full year estimates:** In 2Q26, we believe Li will see moderate vehicle GPM improvement to ~9.6%, up from the trough of 6.1% in 1Q26 when the company suffered price competition and inventory clearance. In 2H26, we believe vehicle GPM shall further expand to ~15-16%; however, this remains below mgmt. guidance or consensus. Specifically for 2Q26, we project Li will deliver non-GAAP loss of Rmb1.07bn vs. consensus around Rmb950-960mn loss, according to Bloomberg. For full year 2026, we project Rmb3.3bn non-GAAP loss vs. consensus ~Rmb530mn loss (which we notice is being cut sharply from Rmb5.7bn profit in Jan).
- **We stay UW** on Li. Considering our cautious view on broader auto demand in 2H26, intense pricing environment as well as consensus earnings downgrade risk, we are trimming our Dec-26 PTs to HK38/US$10 on more conservative multiples including 0.6x P/sales and 27x PER (down from previous HK56/US$14 on 0.6x P/Sales and 0.3x Ev/sales). We incorporate earnings multiples here as we believe the market will look at PER again into 2027 when Li might turn into a profit again.

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Price Performance

	YTD	1m	3m	12m
Abs	-28.5%	-11.6%	-37.0%	-55.5%
Rel	-39.2%	-15.9%	-48.1%	-76.1%

Company Data

Shares O/S (mn)	984
52-week range ($)	32.03-11.65
Market cap ($ mn)	11,906
Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	4.16
3M ADV ($ mn)	65.0
Volatility (90 Day)	44
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	16|17|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	112,313	109,644	133,377	151,910
Adj. EBITDA	4,114	(208)	10,389	12,691
Adj. EBIT	(521)	(5,794)	3,098	4,220
Adj. net income	1,124	(3,505)	4,334	5,111
Net margin	1.0%	(3.2%)	3.2%	3.4%
Adj. EPS	1.12	(3.48)	4.30	5.07
BBG EPS	2.17	(0.56)	4.34	6.67
Cashflow from operations	(8,611)	(4,600)	11,846	17,901
FCFF	(14,013)	(13,790)	1,446	7,445
Margins and Growth				
Revenue Growth Y/Y (%)	(22.3%)	(2.4%)	21.6%	13.9%
EBITDA margin	3.7%	(0.2%)	7.8%	8.4%
EBITDA Growth Y/Y (%)	(59.2%)	(105.1%)	(5086.4%)	22.2%
EBIT margin	(0.5%)	(5.3%)	2.3%	2.8%
Adj. EPS growth	(86.2%)	(411.7%)	(223.6%)	17.9%
Ratios				
Adj. tax rate	12.2%	(13.5%)	4.6%	4.0%
Interest cover	NM	0.1	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	210.6	NM	NM
ROCE	(0.6%)	(8.5%)	3.8%	4.9%
ROE	1.6%	(5.1%)	6.2%	6.8%
Valuation				
FCFF yield	(16.9%)	(16.7%)	1.7%	9.0%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	6.7	NM	3.8	2.5
EV/Revenue	0.2	0.4	0.3	0.2
Adj. P/E	73.6	NM	19.1	16.2

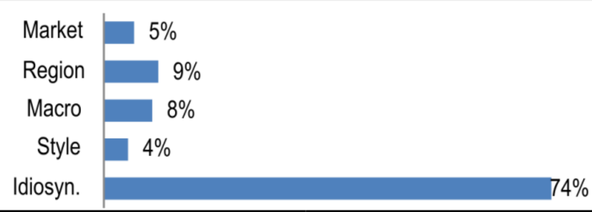
Summary Investment Thesis and Valuation

Our key concern on Li Auto remains execution risk, as a growing number of Chinese competitors — including NIO, XPeng, Huawei-backed brands, Xiaomi, Zeekr and Leapmotor — are launching EREV and BEV products that increasingly overlap with Li Auto's core franchise across price points, specifications/features, distribution channels and target family-buyer segments.This could weigh on top-line momentum, while price competition, incentives and input-cost inflation may continue to pressure margins. We therefore remain fundamentally cautious, with stronger-than-expected new model traction or faster margin recovery as key upside risks to our view. We conservatively project that Li Auto could turn into a loss this year (both GAAP and non-GAAP basis). We stay UW as we see potential further downside from current levels given margin and profitability pressure in the upcoming quarters.

Valuation

We set Dec-26 PT to US$10 on a more conservative multiples including 0.6x P/sales and 27x PER (down from previous US$14 on 0.6x P/Sales and 0.3x Ev/sales). We incorporate earnings multiple here as we believe the market will look at PER again into 2027 when Li might turn into a profit again. We apply conservative assumptions in our PT to reflect: 1) our cautious view on the overall NEV market - we now project domestic NEV demand to decline by 5-10% this year, and 2) our more cautious earnings forecasts – we project a full-year loss vs consensus still looking for a profit.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.02	0.22
Region: China	0.27	0.30
Macro:		
US 10 Year Yield	0.18	0.23
HSI Volatility Index	0.19	0.20
JPM Forecast Revision EM	-0.22	-0.16
Quant Styles:		
Momentum	-0.56	-0.22
Value	0.55	0.21
DivYld	0.52	0.20

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Li Auto Inc. - ADR *(Underweight; Price Target: $10.00)*

Investment Thesis

Our key concern on Li Auto remains execution risk, as a growing number of Chinese competitors — including NIO, XPeng, Huawei-backed brands, Xiaomi, Zeekr and Leapmotor — are launching EREV and BEV products that increasingly overlap with Li Auto's core franchise across price points, specifications/features, distribution channels and target family-buyer segments.This could weigh on top-line momentum, while price competition, incentives and input-cost inflation may continue to pressure margins. We therefore remain fundamentally cautious, with stronger-than-expected new model traction or faster margin recovery as key upside risks to our view. We conservatively project that Li Auto could turn into a loss this year (both GAAP and non-GAAP basis). We stay UW as we see potential further downside from current levels given margin and profitability pressure in the upcoming quarters.

Valuation

We set Dec-26 PT to US$10 on a more conservative multiples including 0.6x P/sales and 16x PER (down from previous US$14 on 0.6x P/Sales and 0.3x Ev/sales). We incorporate earnings multiple here as we believe the market will look at PER again into 2027 when Li might turn into a profit again. We apply conservative assumptions in our PT to reflect: 1) our cautious view on the overall NEV market - we now project domestic NEV demand to decline by 5-10% this year, and 2) our more cautious earnings forecasts – we project a full-year loss vs consensus still looking for a profit.

Risks to Rating and Price Target

Upside and downside risks: (1) better/worse-than-expected vehicle sales; (2) better/worse-than-expected overall auto market sales/EV demand; and (3) better/worse-than-expected (pricing) competition and margins.

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Li Auto - ADR: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**144,460**	**112,313**	**109,644**	**133,377**	**151,910**
COGS	(114,804)	(91,327)	(95,130)	(109,115)	(122,916)
Gross profit	**29,656**	**20,985**	**14,514**	**24,262**	**28,995**
SG&A	(12,229)	(10,665)	(8,961)	(9,448)	(11,446)
Adj. EBITDA	**10,077**	**4,114**	**(208)**	**10,389**	**12,691**
D&A	(3,058)	(4,635)	(5,586)	(7,291)	(8,471)
Adj. EBIT	**7,019**	**(521)**	**(5,794)**	**3,098**	**4,220**
Net Interest	1,632	1,751	1,539	909	955
Adj. PBT	**9,316**	**1,297**	**(4,044)**	**4,140**	**5,327**
Tax	(1,270)	(158)	547	190	(212)
Minority Interest	(13)	(15)	(8)	4	(5)
Adj. Net Income	**8,032**	**1,124**	**(3,505)**	**4,334**	**5,111**
Reported EPS (Basic)	8.06	1.12	(3.48)	4.30	5.07
Adj. EPS	**8.06**	**1.12**	**(3.48)**	**4.30**	**5.07**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	997	1,008	1,008	1,008	1,008

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	65,901	65,901	52,301	54,147	62,048
Accounts receivable	135	135	210	256	291
Inventories	8,186	8,186	7,298	8,370	9,429
Other current assets	52,088	52,088	52,088	52,088	52,088
Current assets	**126,310**	**126,310**	**111,897**	**114,861**	**123,856**
PP&E	8,324	8,324	11,738	14,448	15,977
LT investments	923	923	923	923	923
Other non current assets	26,792	26,792	26,792	26,792	26,792
Total assets	**162,349**	**162,349**	**151,351**	**157,024**	**167,549**
Short term borrowings	14,117	14,117	14,117	14,117	14,117
Payables	53,596	53,596	45,904	46,848	51,801
Other short term liabilities	1,503	1,503	1,503	1,503	1,503
Current liabilities	**69,216**	**69,216**	**61,524**	**62,468**	**67,421**
Long-term debt	8,152	8,152	8,152	8,152	8,152
Other long term liabilities	13,661	13,661	13,661	13,661	13,661
Total liabilities	**91,029**	**91,029**	**83,337**	**84,280**	**89,233**
Shareholders' equity	70,875	70,875	67,560	72,294	77,861
Minority interests	445	445	454	450	454
Total liabilities & equity	**162,349**	**162,349**	**151,351**	**157,024**	**167,549**
BVPS	**71.12**	**70.34**	**67.05**	**71.75**	**77.28**
y/y Growth	*16.3%*	*(1.1%)*	*(4.7%)*	*7.0%*	*7.7%*
Net debt/(cash)	(57,468)	(57,468)	(43,869)	(45,715)	(53,615)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**15,933**	**(8,611)**	**(4,600)**	**11,846**	**17,901**
o/w Depreciation & amortization	3,058	4,635	5,586	7,291	8,471
o/w Changes in working capital	(880)	(15,582)	(6,879)	(175)	3,859
Cash flow from investing activities	**(41,137)**	**(703)**	**(9,000)**	**(10,000)**	**(10,000)**
o/w Capital expenditure	(7,730)	(4,206)	(9,000)	(10,000)	(10,000)
as % of sales	*5.4%*	*3.7%*	*8.2%*	*7.5%*	*6.6%*
Cash flow from financing activities	**(416)**	**767**	**0**	**0**	**0**
o/w Dividends paid	-	-	-	-	-
o/w Shares issued/(repurchased)	15	15	0	0	0
o/w Net debt issued/(repaid)	(430)	1,357	0	0	0
Net change in cash	**(25,422)**	**(9,000)**	**(13,600)**	**1,846**	**7,901**
Adj. Free cash flow to firm	**2,493**	**(14,013)**	**(13,790)**	**1,446**	**7,445**
y/y Growth	*(93.4%)*	*(662.1%)*	*(1.6%)*	*(110.5%)*	*415.0%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	20.5%	18.7%	13.2%	18.2%	19.1%
EBITDA margin	7.0%	3.7%	(0.2%)	7.8%	8.4%
EBIT margin	4.9%	(0.5%)	(5.3%)	2.3%	2.8%
Net profit margin	5.6%	1.0%	(3.2%)	3.2%	3.4%
ROE	12.3%	1.6%	(5.1%)	6.2%	6.8%
ROA	5.3%	0.7%	(2.2%)	2.8%	3.1%
ROCE	8.2%	(0.6%)	(8.5%)	3.8%	4.9%
SG&A/Sales	8.5%	9.5%	8.2%	7.1%	7.5%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	210.6	NM	NM
Sales/Assets (x)	0.9	0.7	0.7	0.9	0.9
Assets/Equity (x)	2.3	2.3	2.3	2.2	2.2
Interest cover (x)	NM	NM	0.1	NM	NM
Operating leverage	(31.5%)	482.7%	(42586.9%)	(709.0%)	260.7%
Tax rate	13.6%	12.2%	(13.5%)	4.6%	4.0%
Revenue y/y Growth	16.6%	(22.3%)	(2.4%)	21.6%	13.9%
EBITDA y/y Growth	9.4%	(59.2%)	(105.1%)	(5086.4%)	22.2%
EPS y/y Growth	(32.2%)	(86.2%)	(411.7%)	(223.6%)	17.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	10.2	73.6	NM	19.1	16.2
P/BV (x)	1.2	1.2	1.2	1.1	1.1
EV/EBITDA (x)	2.7	6.7	NM	3.8	2.5
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Zhejiang Leapmotor Technology Co.,Ltd

Overweight

9863.HK,9863 HK

Price (13 Jul 26): HK$36.38

▼ **Price Target (Dec-26): HK$60.00**
Prior (Dec-26): HK$90.00

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	40	72	95	100	99
Growth	2	4	9	24	86
Momentum	66	3	2	8	
Quality	85	98	100	98	
Low Vol	88	91	96	96	

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

2Q26 Preview

YTD, Leapmotor's share price slid by 27%, shy of MXCN (-10%) due to market concern on limited margin upside considering Leapmotor's "value for money" product and pricing strategy. Intense competition in the mid to low end NEV segment - Leapmotor's primary focus - further weighs on the stock performance. Our view is Leapmotor's new higher end models, D19 SUV (1H26) and D99 MPV (2H26) shall help lift its profitability; we project Leapmotor's vehicle GPM to improve from 7.5% in 1Q26 to 11-12% in 4Q26.

- **China business development led by competitive new models:** We project Leapmotor to deliver robust volume growth in 2H26 or ~85% HoH, thanks to successful launches of new models post the Beijing auto show in April, including high end D-series models (D19 and D99) and addition of B-series models in the overseas market. Vehicle GPM is anticipated to rebound from a trough of 7.5% in 1Q26 toward 9-10% in 2Q26 and 11-12% in 2H26.
- **Overseas strategy / plan:** Leapmotor's partnership and JV with Stellantis (covered by JPM's Jose Asumendi) will continue to lead the company's overseas growth. By leveraging Stellantis' global distribution capability, Leapmotor is able to grow its international footprint rapidly, especially in Europe. With the YTD run rate, we believe Leapmotor's overseas sales volume could well top ~180-200k units this year, a significant jump from ~67k units in 2025. In terms of profit contribution from the overseas business, Leapmotor's business model differs from peers; it mainly recognizes carbon credit sales to Stellantis. Such revenue was around Rmb1bn last year and we project it would rise to near Rmb2bn in 2026.
- **Recommendation and revised PT:** We stay OW on Leapmotor, driven by robust volume growth in both domestic and international market. We project Leapmotor will return to a profit (of ~Rmb250mn) in 2Q26 vs. Rmb390mn loss in 1Q26. For the full year, we maintain our estimate of ~Rmb2.6bn profit. This suggests the company's valuation methodology would shift from sales multiple (i.e. P/Sales or EV/Sales) to presumably a combination of sales and also earnings multiple (e.g. PER) as we enter 2H26 and 2027. To this end and considering our top-down cautious view on the broader auto market in China, we revise our Dec-26 PT to HK60 (from previous HK90), based on a combination and blended average of sales multiple of 0.6x P/Sales and 20x PER (vs. previous 0.8x P/Sales and 0.4x EV/Sales).

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Price Performance

	YTD	1m	3m	12m
Abs	-25.2%	-6.3%	-34.7%	-37.0%
Rel	-15.7%	-2.6%	-28.5%	-29.4%

Company Data

Shares O/S (mn)	940
52-week range (HK$)	76.30-32.84
Market cap ($ mn)	4,363
Exchange rate	7.84
Free float (%)	59.4%
3M ADV (mn)	10.82
3M ADV ($ mn)	60.1
Volatility (90 Day)	57
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	37|1|0

Key Metrics (FYE Dec)

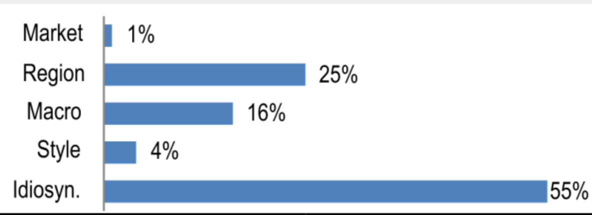
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	64,732	119,835	155,837	168,585
Adj. EBITDA	1,254	4,240	5,904	6,188
Adj. EBIT	177	2,470	4,020	4,203
Adj. net income	538	2,605	4,510	5,183
Net margin	0.8%	2.2%	2.9%	3.1%
Adj. EPS	0.38	1.87	3.25	3.73
BBG EPS	0.52	2.28	4.07	5.67
Cashflow from operations	12,623	25,167	28,524	20,836
FCFF	7,353	22,187	25,408	17,678
Margins and Growth				
Revenue Growth Y/Y (%)	101.3%	85.1%	30.0%	8.2%
EBITDA margin	1.9%	3.5%	3.8%	3.7%
EBITDA Growth Y/Y (%)	(153.8%)	238.0%	39.3%	4.8%
EBIT margin	0.3%	2.1%	2.6%	2.5%
Adj. EPS growth	(118.2%)	387.4%	73.2%	14.9%
Ratios				
Adj. tax rate	0.0%	5.0%	5.0%	5.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	1.4%	14.2%	16.9%	13.3%
ROE	4.5%	16.6%	22.8%	20.5%
Valuation				
FCFF yield	16.7%	50.8%	58.1%	40.4%
Dividend yield	-	-	-	-
EV/EBITDA	15.4	NM	NM	NM
EV/Revenue	0.3	NM	NM	NM
Adj. P/E	81.8	16.8	9.7	8.4

Summary Investment Thesis and Valuation

We retain our positive thesis on Leapmotor. We believe the new launches including the D19 SUV, and the D99 MPV as well as two models under the A series (A10, A05), will drive incremental volume. Together with solid export momentum, especially in the EU, thanks to oil prices, we forecast Leapmotor will deliver a ~85% HoH volume surge in 2H26, the strongest momentum across all EV names in China. Maintain OW.

Our Dec-26 PT of HK$60 is based on a blend of 2026E 20x PER and 0.6x PS (from previous HK$90 based on 0.4x EV/sales and 0.8x price/sales multiples). We believe the company's valuation methodology would shift from sales multiple (i.e. P/Sales or EV/Sales) to presumably a combination of sales and also earnings multiple (e.g. PER) as we enter 2H26 and 2027. We apply 0.6x P/S as we expect a sequential sales rebound driven by new model launches through the year and think it should trade closer to average FY26 P/S of its NEV peers (0.9x). Our multiples take into account the latest developments and challenges in both the China EV sector and broader equity markets, including slowing of demand and a worsening of the competitive environment.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.04	0.16
Region: China	0.58	0.57
Macro:		
Citi Economic Surprise - EM	-0.18	-0.25
JP Morgan EMBI Global Spread	-0.21	-0.24
HSI Volatility Index	-0.09	-0.22
Quant Styles:		
Momentum	-0.37	-0.13
Quality	0.04	-0.11
LowVol	0.04	-0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Zhejiang Leapmotor Technology Co.,Ltd *(Overweight; Price Target: HK$60.00)*

Investment Thesis

We retain our positive thesis on Leapmotor. We believe the new launches including the D19 SUV, and the D99 MPV as well as two models under the A series (A10, A05), will drive incremental volume. Together with solid export momentum, especially in the EU, thanks to oil prices, we forecast Leapmotor will deliver a ~85% HoH volume surge in 2H26, the strongest momentum across all EV names in China. Maintain OW.

Valuation

Our Dec-26 PT of HK$60 is based on a blend of 2026E 20x PER and 0.6x P/S (from previous HK$90 based on 0.4x EV/sales and 0.8x price/sales multiples). We believe the company's valuation methodology would shift from sales multiple (i.e. P/Sales or EV/Sales) to presumably a combination of sales and also earnings multiple (e.g. PER) as we enter 2H26 and 2027. We apply 0.6x P/S as we expect sequential sales rebound driven by new model launches through the year and think it should trade closer to average FY26 P/S of its NEV peers (0.9x). Our multiples take into account the latest developments and challenges in both the China EV sector and broader equity markets, including slowing of demand and a worsening of the competitive environment.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) fiercer-than-expected competition in the China NEV market; and 2) worse-than-expected vehicle deliveries.

Zhejiang Leapmotor Technology Co.,Ltd: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**32,164**	**64,732**	**119,835**	**155,837**	**168,585**
COGS	(29,470)	(55,320)	(101,394)	(132,501)	(142,144)
Gross profit	**2,694**	**9,412**	**18,441**	**23,335**	**26,441**
SG&A	(3,275)	(5,595)	(8,983)	(10,767)	(12,394)
Adj. EBITDA	**(2,331)**	**1,254**	**4,240**	**5,904**	**6,188**
D&A	(840)	(1,077)	(1,769)	(1,884)	(1,984)
Adj. EBIT	**(3,171)**	**177**	**2,470**	**4,020**	**4,203**
Net Interest	309	294	194	643	1,159
Adj. PBT	**(2,821)**	**538**	**2,742**	**4,747**	**5,455**
Tax	(0)	0	(137)	(237)	(273)
Minority Interest	0	0	0	0	0
Adj. Net Income	**(2,821)**	**538**	**2,605**	**4,510**	**5,183**
Reported EPS	(2.11)	0.38	1.87	3.25	3.73
Adj. EPS	**(2.11)**	**0.38**	**1.87**	**3.25**	**3.73**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	1,337	1,400	1,390	1,390	1,390

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**8,471**	**12,623**	**25,167**	**28,524**	**20,836**
o/w Depreciation & amortization	840	1,077	1,769	1,884	1,984
o/w Changes in working capital	11,809	10,492	20,391	21,591	13,088
Cash flow from investing activities	**(13,323)**	**(11,086)**	**(2,726)**	**(2,726)**	**(2,726)**
o/w Capital expenditure	(2,151)	(4,799)	(2,677)	(2,677)	(2,677)
as % of sales	*6.7%*	*7.4%*	*2.2%*	*1.7%*	*1.6%*
Cash flow from financing activities	**(503)**	**3,097**	**2,000**	**2,000**	**2,000**
o/w Dividends paid	-	-	-	-	-
o/w Shares issued/(repurchased)	0	2,993	0	0	0
o/w Net debt issued/(repaid)	(413)	396	2,000	2,000	2,000
Net change in cash	**(5,353)**	**4,607**	**24,440**	**27,797**	**20,109**
Adj. Free cash flow to firm	**5,910**	**7,353**	**22,187**	**25,408**	**17,678**
y/y Growth	*(785.3%)*	*24.4%*	*201.7%*	*14.5%*	*(30.4%)*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	6,378	10,985	35,425	63,222	83,332
Accounts receivable	1,981	5,210	2,229	1,534	1,397
Inventories	2,023	4,548	10,278	13,432	14,409
Other current assets	16,070	18,918	18,918	18,918	18,918
Current assets	**26,453**	**39,662**	**66,850**	**97,107**	**118,056**
PP&E	5,537	10,243	11,283	12,192	12,985
LT investments	4,033	10,125	10,125	10,125	10,125
Other non current assets	1,624	2,788	2,783	2,802	2,845
Total assets	**37,647**	**62,818**	**91,041**	**122,225**	**144,010**
Short term borrowings	1,266	654	1,154	1,654	2,154
Payables	18,903	33,099	52,674	73,074	85,846
Other short term liabilities	4,806	9,077	12,641	16,292	17,447
Current liabilities	**24,975**	**42,829**	**66,469**	**91,019**	**105,447**
Long-term debt	1,108	2,307	3,807	5,307	6,807
Other long term liabilities	1,493	3,564	3,564	3,564	3,564
Total liabilities	**27,576**	**48,700**	**73,840**	**99,890**	**115,818**
Shareholders' equity	10,071	14,118	17,202	22,335	28,192
Minority interests	0	0	0	0	0
Total liabilities & equity	**37,647**	**62,818**	**91,041**	**122,225**	**144,010**
BVPS	**7.53**	**10.16**	**12.38**	**16.07**	**20.29**
y/y Growth	*(29.8%)*	*34.9%*	*21.8%*	*29.8%*	*26.2%*
Net debt/(cash)	(5,258)	(11,173)	(33,613)	(59,411)	(77,520)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	8.4%	14.5%	15.4%	15.0%	15.7%
EBITDA margin	(7.2%)	1.9%	3.5%	3.8%	3.7%
EBIT margin	(9.9%)	0.3%	2.1%	2.6%	2.5%
Net profit margin	(8.8%)	0.8%	2.2%	2.9%	3.1%
ROE	(25.0%)	4.5%	16.6%	22.8%	20.5%
ROA	(8.5%)	1.1%	3.4%	4.2%	3.9%
ROCE	(27.1%)	1.4%	14.2%	16.9%	13.3%
SG&A/Sales	10.2%	8.6%	7.5%	6.9%	7.4%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	2.3	NM	NM	NM	NM
Sales/Assets (x)	1.0	1.3	1.6	1.5	1.3
Assets/Equity (x)	2.9	4.2	4.9	5.4	5.3
Interest cover (x)	7.6	NM	NM	NM	NM
Operating leverage	(29.9%)	(104.3%)	1518.7%	208.7%	55.8%
Tax rate	(0.0%)	0.0%	5.0%	5.0%	5.0%
Revenue y/y Growth	92.1%	101.3%	85.1%	30.0%	8.2%
EBITDA y/y Growth	(38.3%)	(153.8%)	238.0%	39.3%	4.8%
EPS y/y Growth	(41.7%)	(118.2%)	387.4%	73.2%	14.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	NM	81.8	16.8	9.7	8.4
P/BV (x)	4.2	3.1	2.5	2.0	1.6
EV/EBITDA (x)	NM	15.4	NM	NM	NM
Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Great Wall Motor - A

Remain Neutral

Neutral

601633.SS,601633 CH
Price (13 Jul 26): Rmb15.00

▼ **Price Target (Dec-26): Rmb14.00**
Prior (Dec-26): Rmb19.00

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	44	43	53	78	54
Growth	54	53	27	67	66
Momentum	85	62	72	88	6
Quality	65	42	45	73	74
Low Vol	18	33	36	69	83
ESGQ	93	15	22	17	10

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Great Wall Motor (GWM)'s H share was down 42% while A-share also slid by 33% YTD, shy of MXCN (-10%). A weak broader auto market plays a role here; at the same time, we notice consensus 2026 earnings forecast was cut from Rmb15bn at the beginning of the year to current Rmb11bn; despite this, we expect moderate downside vs. JPMe RMb10.5bn.

- **China business development:** GWM is facing the same challenge in the domestic market like its peers. In 1H26, GWM's domestic delivery fell by 22% yoy, same as the industry trend. The company's full year volume target of 1.8mn units (including 1.1mn domestic and rest 700k units from exports) now seems challenging given the 1H26 run rate of only ~600k units (about half domestic and rest exports). We forecast GWM will only reach 1.4mn units of total sales this year. In 2H26, GWM had a few new models under selective brands such as Wey and Tank, which shall lift 2H26 domestic volume to c.400k units vs. ~300k units in 1H26, in our view.
- **Overseas strategy / plan:** GWM recently raised its overseas volume guidance to 700k units from prior 600k, which we welcome and see this a similar trend as other Chinese peers whose export guidance is now proven conservative given very solid 1H26 run-rate. Among major overseas markets, we believe Brazil will play an increasingly integral role along with the company's capacity ramp and possible further expansion of current capacity in the near future.
- **Recommendation and 2Q26 preview:** We believe GWM's 2Q26 recurring earnings should not yield a major surprise. Potential swing, hence upside surprise, could come from scrappage tax rebate from the company's Russian business, such tax rebate is non seasonal and hard to predict. In 2025, such tax rebate made up major portion of non-recurring earnings of Rmb3.8bn, out of total reported earnings of Rmb9.9bn. In 2Q26, we believe GWM could report somewhere around Rmb2.6-2.7bn earnings including possible meaningful tax rebate (vs. Bloomberg consensus Rmb2.3bn). For full year, GWM has set both top line and bottom line target of 1.8mn units of shipment and Rmb10bn total profit (including non-recurring) based on its employee stock incentive scheme. We believe the likely outcome is that the company will miss its volume target but meet the bottom line goal. Our full year earnings estimate is Rmb10.5bn, just above the Rmb10bn stock incentive goal but shy of consensus Rmb11bn (which was cut from Rmb15bn at the beginning of the year).
- We stay Neutral on GWM-H&A shares. On hindsight, we should have UW on the stock as GWM-H has fallen significantly from HK19/shr at the peak in 3Q25 to now ~HK8-9/shr. The same patten is seen in the A share. At the current level, GWM-H is trading at ~6x PER and A-share around 12x. We set out Dec-26 PTs now at HK8.5 on 6x PER and Rmb14 on 10x PER (down from previous HK11.5 on 8x or Rmb19 on 15x). Our more conservative multiple reflects our LT reservation on domestic demand in Chinese market and GWM's lack of strong position or catalyst especially in domestic market although we recognize its solid development in overseas market, something we see across all main Chinese OEMs.

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Price Performance

	YTD	1m	3m	12m
Abs	-33.7%	-14.8%	-29.8%	-30.8%
Rel	-32.3%	-11.8%	-27.9%	-42.0%

Company Data

Shares O/S (mn)	9,127
52-week range (Rmb)	26.87-14.67
Market cap ($ mn)	20,202
Exchange rate	6.78
Free float (%)	14.0%
3M ADV (mn)	21.01
3M ADV ($ mn)	54.8
Volatility (90 Day)	26
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	26|2|3

Key Metrics (FYE Dec)

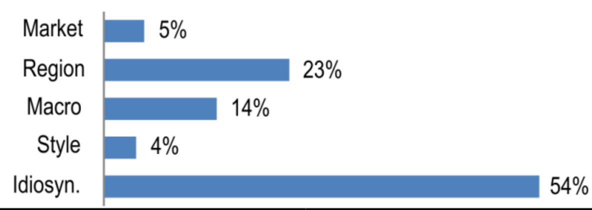
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	222,824	247,172	273,400	290,333
Adj. EBITDA	20,992	19,993	19,211	19,573
Adj. EBIT	11,534	11,566	12,408	13,919
Adj. net income	9,865	10,515	11,288	12,648
Net margin	4.4%	4.3%	4.1%	4.4%
Adj. EPS	1.15	1.23	1.32	1.48
BBG EPS	1.44	1.48	1.81	2.08
Cashflow from operations	40,355	31,784	27,819	25,513
FCFF	28,846	29,084	25,119	22,813
Margins and Growth				
Revenue Growth Y/Y (%)	10.2%	10.9%	10.6%	6.2%
EBITDA margin	9.4%	8.1%	7.0%	6.7%
EBITDA Growth Y/Y (%)	(8.5%)	(4.8%)	(3.9%)	1.9%
EBIT margin	5.2%	4.7%	4.5%	4.8%
Adj. EPS growth	(22.8%)	6.6%	7.4%	12.0%
Ratios				
Adj. tax rate	16.1%	11.0%	11.0%	11.0%
Interest cover	NM	-	-	-
Net debt/Equity	0.2	0.1	0.0	NM
Net debt/EBITDA	0.7	0.5	0.0	NM
ROCE	7.3%	7.0%	6.5%	6.5%
ROE	11.8%	11.5%	11.3%	11.7%
Valuation				
FCFF yield	22.5%	22.7%	19.6%	17.8%
Dividend yield	3.0%	2.3%	2.5%	2.7%
EV/EBITDA	5.4	5.7	6.0	5.8
EV/Revenue	0.5	0.5	0.4	0.4
Adj. P/E	13.0	12.2	11.4	10.1

Summary Investment Thesis and Valuation

We welcome management's initiatives and are positive on the company's sales mix change towards higher-end products. However, considering fierce competition, our reservations lie in whether GWM will be able to sustain its market share in the domestic market. GWM's domestic market share has continuously declined since 2022, from 3.4% in 2022 to 2.7% in 2024 and then to 2.6% in 2025. We see GWM-A as fairly valued and are thus Neutral on the stock.

Our Dec-26 PT of Rmb14 is based on FY26E P/E of 10x (vs previous Rmb19 on FY26E P/E 15x). Our target P/E is below the stock's historical average P/E of 19x considering our cautious view on overall sector. Our more conservative multiple reflects our LT reservation on domestic demand in the Chinese market and GWM's lack of strong position or catalyst especially in the domestic market although we recognize its solid development in overseas market; something we see across all main Chinese OEMs.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.23	0.22
Region: China	0.35	0.50
Macro:		
JPM China A-shares Sentiment	0.19	0.33
JPM Global Equity Sentiment	0.10	0.22
HSI Volatility Index	-0.14	-0.16
Quant Styles:		
Size	-0.42	-0.24
Growth	-0.14	0.12
Momentum	-0.37	-0.12

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Great Wall Motor - A *(Neutral; Price Target: Rmb14.00)*

Investment Thesis

We welcome management's initiatives and are positive on the company's sales mix change towards higher-end products. However, considering fierce competition, our reservations lie in whether GWM will be able to sustain its market share in the domestic market. GWM's domestic market share has continuously declined since 2022, from 3.4% in 2022 to 2.7% in 2024 and then to 2.6% in 2025. We see GWM-A as fairly valued and are thus Neutral on the stock.

Valuation

Our Dec-26 PT of Rmb14 is based on FY26E P/E of 10x (vs previous Rmb19 on FY26E P/E 15x). Our target P/E is below the stock's historical average P/E of 19x considering our cautious view on overall sector. Our more conservative multiple reflects our LT reservation on domestic demand in Chinese market and GWM's lack of strong position or catalyst especially in domestic market although we recognize its solid development in overseas market; something we see across all main Chinese OEMs.

Risks to Rating and Price Target

Upside/downside risks to our rating and price target include: 1) a better-/worse-than-expected auto industry demand recovery; and 2) a better-/worse-than-expected competitive landscape in the SUV/pickup and EV businesses, affecting GWM's sales performance and profitability, including its high-end brand *Wey* and EV brand *Ora*.

Great Wall Motor - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**202,195**	**222,824**	**247,172**	**273,400**	**290,333**
COGS	(162,747)	(182,622)	(199,762)	(221,013)	(233,928)
Gross profit	**39,449**	**40,202**	**47,410**	**52,387**	**56,405**
SG&A	(12,587)	(16,019)	(16,561)	(18,044)	(19,162)
Adj. EBITDA	**22,949**	**20,992**	**19,993**	**19,211**	**19,573**
D&A	(9,028)	(9,458)	(8,427)	(6,803)	(5,654)
Adj. EBIT	**13,921**	**11,534**	**11,566**	**12,408**	**13,919**
Net Interest	(91)	1,970	0	0	0
Adj. PBT	**14,283**	**11,758**	**11,814**	**12,683**	**14,212**
Tax	(1,591)	(1,893)	(1,300)	(1,395)	(1,563)
Minority Interest	(0)	(0)	(0)	(0)	(0)
Adj. Net Income	**12,692**	**9,865**	**10,515**	**11,288**	**12,648**
Reported EPS	1.49	1.15	1.23	1.32	1.48
Adj. EPS	**1.49**	**1.15**	**1.23**	**1.32**	**1.48**
DPS	**0.30**	**0.45**	**0.35**	**0.37**	**0.40**
Payout ratio	20.1%	39.0%	28.5%	28.3%	27.1%
Shares outstanding	8,498	8,556	8,556	8,556	8,556

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**27,783**	**40,355**	**31,784**	**27,819**	**25,513**
o/w Depreciation & amortization	9,028	9,458	8,427	6,803	5,654
o/w Changes in working capital	4,382	20,543	12,530	9,363	6,988
Cash flow from investing activities	**(23,296)**	**(29,154)**	**(2,700)**	**(2,700)**	**(2,700)**
o/w Capital expenditure	(11,737)	(11,509)	(2,700)	(2,700)	(2,700)
as % of sales	*5.8%*	*5.2%*	*1.1%*	*1.0%*	*0.9%*
Cash flow from financing activities	**(12,178)**	**(13,445)**	**(2,695)**	**(2,892)**	**(3,126)**
o/w Dividends paid	(3,346)	(4,379)	(2,995)	(3,192)	(3,426)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(7,718)	(6,097)	300	300	300
Net change in cash	**(8,062)**	**(1,953)**	**26,389**	**22,227**	**19,687**
Adj. Free cash flow to firm	**16,045**	**28,846**	**29,084**	**25,119**	**22,813**
y/y Growth	*1441.7%*	*79.8%*	*0.8%*	*(13.6%)*	*(9.2%)*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,741	28,846	55,235	77,462	97,149
Accounts receivable	9,638	11,254	38,277	46,017	49,859
Inventories	25,408	26,148	21,892	24,221	25,636
Other current assets	67,648	71,399	71,998	72,757	73,248
Current assets	**133,435**	**137,647**	**187,402**	**220,457**	**245,892**
PP&E	33,974	35,042	33,205	31,702	30,486
LT investments	11,551	12,222	12,795	13,369	13,942
Other non current assets	38,306	40,377	35,898	32,708	30,381
Total assets	**217,266**	**225,288**	**269,299**	**298,236**	**320,701**
Short term borrowings	42,693	40,305	59,905	72,787	81,052
Payables	43,543	45,874	61,570	68,120	72,101
Other short term liabilities	35,992	40,037	40,931	42,040	42,737
Current liabilities	**122,228**	**126,216**	**162,407**	**182,947**	**195,890**
Long-term debt	6,481	1,069	1,369	1,669	1,969
Other long term liabilities	9,560	10,112	10,112	10,112	10,112
Total liabilities	**138,270**	**137,396**	**173,887**	**194,727**	**207,970**
Shareholders' equity	78,988	87,892	95,412	103,508	112,730
Minority interests	8	0	0	0	1
Total liabilities & equity	**217,266**	**225,288**	**269,299**	**298,236**	**320,701**
BVPS	**9.30**	**10.27**	**11.15**	**12.10**	**13.18**
y/y Growth	*15.3%*	*10.5%*	*8.6%*	*8.5%*	*8.9%*
Net debt/(cash)	22,121	15,722	9,234	188	(10,934)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	19.5%	18.0%	19.2%	19.2%	19.4%
EBITDA margin	11.4%	9.4%	8.1%	7.0%	6.7%
EBIT margin	6.9%	5.2%	4.7%	4.5%	4.8%
Net profit margin	6.3%	4.4%	4.3%	4.1%	4.4%
ROE	17.2%	11.8%	11.5%	11.3%	11.7%
ROA	6.1%	4.5%	4.3%	4.0%	4.1%
ROCE	9.7%	7.3%	7.0%	6.5%	6.5%
SG&A/Sales	6.2%	7.2%	6.7%	6.6%	6.6%
Net debt/Equity	0.3	0.2	0.1	0.0	NM
Net debt/EBITDA	1.0	0.7	0.5	0.0	NM
Sales/Assets (x)	1.0	1.0	1.0	1.0	0.9
Assets/Equity (x)	2.84	2.65	2.70	2.85	2.86
Interest cover (x)	251.7	NM	-	-	-
Operating leverage	557.7%	(168.1%)	2.5%	68.6%	196.7%
Tax rate	11.1%	16.1%	11.0%	11.0%	11.0%
Revenue y/y Growth	16.7%	10.2%	10.9%	10.6%	6.2%
EBITDA y/y Growth	59.3%	(8.5%)	(4.8%)	(3.9%)	1.9%
EPS y/y Growth	80.8%	(22.8%)	6.6%	7.4%	12.0%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	10.0	13.0	12.2	11.4	10.1
P/BV (x)	1.6	1.5	1.3	1.2	1.1
EV/EBITDA (x)	5.0	5.4	5.7	6.0	5.8
Dividend Yield	2.0%	3.0%	2.3%	2.5%	2.7%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Great Wall Motor - H

Neutral

2333.HK,2333 HK
Price (13 Jul 26): HK$8.52

▼ **Price Target (Dec-26): HK$8.50**
Prior (Dec-26): HK$11.50

China
Head of APAC Auto Research

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	15	14	10	30	31
Growth	61	57	28	71	70
Momentum	81	38	57	84	5
Quality	66	42	44	75	73
Low Vol	65	72	76	90	87
ESGQ	93	15	22	17	10

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Remain Neutral

Great Wall Motor (GWM)'s H share was down 42% while A-share also slid by 33% YTD, shy of MXCN (-10%). A weak broader auto market plays a role here; at the same time, we notice consensus 2026 earnings forecast was cut from Rmb15bn at the beginning of the year to current Rmb11bn; despite this, we expect moderate downside vs. JPMe RMb10.5bn.

- **China business development:** GWM is facing the same challenge in the domestic market like its peers. In 1H26, GWM's domestic delivery fell by 22% yoy, same as the industry trend. The company's full year volume target of 1.8mn units (including 1.1mn domestic and rest 700k units from exports) now seems challenging given the 1H26 run rate of only ~600k units (about half domestic and rest exports). We forecast GWM will only reach 1.4mn units of total sales this year. In 2H26, GWM had a few new models under selective brands such as Wey and Tank, which shall lift 2H26 domestic volume to c.400k units vs. ~300k units in 1H26, in our view.
- **Overseas strategy / plan:** GWM recently raised its overseas volume guidance to 700k units from prior 600k, which we welcome and see this a similar trend as other Chinese peers whose export guidance is now proven conservative given very solid 1H26 run-rate. Among major overseas markets, we believe Brazil will play an increasingly integral role along with the company's capacity ramp and possible further expansion of current capacity in the near future.
- **Recommendation and 2Q26 preview:** We believe GWM's 2Q26 recurring earnings should not yield a major surprise. Potential swing, hence upside surprise, could come from scrappage tax rebate from the company's Russian business, such tax rebate is non seasonal and hard to predict. In 2025, such tax rebate made up major portion of non-recurring earnings of Rmb3.8bn, out of total reported earnings of Rmb9.9bn. In 2Q26, we believe GWM could report somewhere around Rmb2.6-2.7bn earnings including possible meaningful tax rebate (vs. Bloomberg consensus Rmb2.3bn). For full year, GWM has set both top line and bottom line target of 1.8mn units of shipment and Rmb10bn total profit (including non-recurring) based on its employee stock incentive scheme. We believe the likely outcome is that the company will miss its volume target but meet the bottom line goal. Our full year earnings estimate is Rmb10.5bn, just above the Rmb10bn stock incentive goal but shy of consensus Rmb11bn (which was cut from Rmb15bn at the beginning of the year).
- We stay Neutral on GWM-H&A shares. On hindsight, we should have UW on the stock as GWM-H has fallen significantly from HK19/shr at the peak in 3Q25 to now ~HK8-9/shr. The same patten is seen in the A share. At the current level, GWM-H is trading at ~6x PER and A-share around 12x. We set out Dec-26 PTs now at HK8.5 on 6x PER and Rmb14 on 10x PER (down from previous HK11.5 on 8x or Rmb19 on 15x). Our more conservative multiple reflects our LT reservation on domestic demand in Chinese market and GWM's lack of strong position or catalyst especially in domestic market although we recognize its solid development in overseas market, something we see across all main Chinese OEMs.

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Price Performance

	YTD	1m	3m	12m
Abs	-44.3%	-19.8%	-38.0%	-33.3%
Rel	-34.8%	-16.1%	-31.8%	-25.7%

Company Data

Shares O/S (mn)	9,127
52-week range (HK$)	19.86-8.23
Market cap ($ mn)	9,920
Exchange rate	7.84
Free float (%)	98.1%
3M ADV (mn)	18.13
3M ADV ($ mn)	25.1
Volatility (90 Day)	38
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	21|6|1

Key Metrics (FYE Dec)

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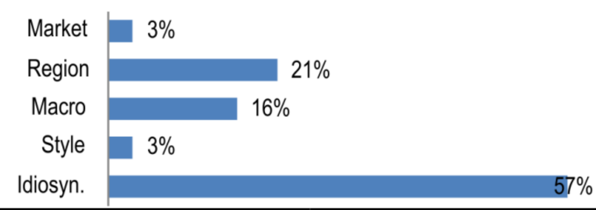
EBIT margin	5.2%	4.7%	4.5%	4.8%
Adj. EPS growth	(22.8%)	6.6%	7.4%	12.0%
Ratios				
Adj. tax rate	16.1%	11.0%	11.0%	11.0%
Interest cover	10.7	-	-	-
Net debt/Equity	0.2	0.1	0.0	NM
Net debt/EBITDA	0.7	0.5	0.0	NM
ROCE	7.3%	7.0%	6.5%	6.5%
ROE	11.8%	11.5%	11.3%	11.7%
Valuation				
FCFF yield	45.8%	46.1%	39.9%	36.2%
Dividend yield	6.1%	4.8%	5.1%	5.4%
EV/EBITDA	5.4	5.7	6.0	5.8
EV/Revenue	0.5	0.5	0.4	0.4
Adj. P/E	6.4	6.0	5.6	5.0

Summary Investment Thesis and Valuation

We welcome management's initiatives and are positive on the company's sales mix change towards higher-end products. However, considering fierce competition, our reservations lie in whether GWM will be able to sustain its market share in the domestic market. GWM's domestic market share has continuously declined since 2022, from 3.4% in 2022 to 2.7% in 2024 and then to 2.6% in 2025. We see GWM-H as fairly valued and are thus Neutral on the stock.

Our Dec-26 PT of HK$8.5 is based on FY26E P/E of 6x (vs previous HK$11.5 on FY26E P/E 8x) . Our target P/E is slightly below GWM-H's historical average PE which we think is not demanding. Our more conservative multiple reflects our LT reservation on domestic demand in Chinese market and GWM's lack of strong position or catalyst especially in domestic market although we recognize its solid development in overseas market- something we see across all main Chinese OEMs.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.29	0.23
Region: China	0.33	0.50
Macro:		
JPM China A-shares Sentiment	0.23	0.40
JP Morgan EMBI Global Spread	-0.04	-0.15
Emerging Central Bank Rate	-0.47	-0.14
Quant Styles:		
Growth	-0.20	0.10
Momentum	-0.32	-0.08
LowVol	0.12	-0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Great Wall Motor - H *(Neutral; Price Target: HK$8.50)*

Investment Thesis

We welcome management's initiatives and are positive on the company's sales mix change towards higher-end products. However, considering fierce competition, our reservations lie in whether GWM will be able to sustain its market share in the domestic market. GWM's domestic market share has continuously declined since 2022, from 3.4% in 2022 to 2.7% in 2024 and then to 2.6% in 2025. We see GWM-H as fairly valued and are thus Neutral on the stock.

Valuation

Our Dec-26 PT of HK$8.5 is based on FY26E P/E of 6x (vs previous HK$11.5 on FY26E P/E 8x) . Our target P/E is slightly below GWM-H's historical average PE which we think is not demanding. Our more conservative multiple reflects our LT reservation on domestic demand in Chinese market and GWM's lack of strong position or catalyst especially in domestic market although we recognize its solid development in overseas market- something we see across all main Chinese OEMs.

Risks to Rating and Price Target

Upside/downside risks to our rating and price target include: 1) a better-/worse-than-expected auto industry demand recovery; and 2) a better-/worse-than-expected competitive landscape in the SUV/pickup and EV businesses, affecting GWM's sales performance and profitability, including its high-end brand *Wey* and EV brand.

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Great Wall Motor - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**202,195**	**222,824**	**247,172**	**273,400**	**290,333**
COGS	(162,747)	(182,622)	(199,762)	(221,013)	(233,928)
Gross profit	**39,449**	**40,202**	**47,410**	**52,387**	**56,405**
SG&A	(12,587)	(16,019)	(16,561)	(18,044)	(19,162)
Adj. EBITDA	**22,949**	**20,992**	**19,993**	**19,211**	**19,573**
D&A	(9,028)	(9,458)	(8,427)	(6,803)	(5,654)
Adj. EBIT	**13,921**	**11,534**	**11,566**	**12,408**	**13,919**
Net Interest	91	(1,970)	0	0	0
Adj. PBT	**14,283**	**11,758**	**11,814**	**12,683**	**14,212**
Tax	(1,591)	(1,893)	(1,300)	(1,395)	(1,563)
Minority Interest	(0)	(0)	(0)	(0)	(0)
Adj. Net Income	**12,692**	**9,865**	**10,515**	**11,288**	**12,648**
Reported EPS	1.49	1.15	1.23	1.32	1.48
Adj. EPS	**1.49**	**1.15**	**1.23**	**1.32**	**1.48**
DPS	**0.30**	**0.45**	**0.35**	**0.37**	**0.40**
Payout ratio	20.1%	39.0%	28.5%	28.3%	27.1%
Shares outstanding	8,498	8,556	8,556	8,556	8,556

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	30,741	28,846	55,235	77,462	97,149
Accounts receivable	9,638	11,254	38,277	46,017	49,859
Inventories	25,408	26,148	21,892	24,221	25,636
Other current assets	67,648	71,399	71,998	72,757	73,248
Current assets	**133,435**	**137,647**	**187,402**	**220,457**	**245,892**
PP&E	33,974	35,042	33,205	31,702	30,486
LT investments	11,551	12,222	12,795	13,369	13,942
Other non current assets	38,306	40,377	35,898	32,708	30,381
Total assets	**217,266**	**225,288**	**269,299**	**298,236**	**320,701**
Short term borrowings	42,693	40,305	59,905	72,787	81,052
Payables	43,543	45,874	61,570	68,120	72,101
Other short term liabilities	35,992	40,037	40,931	42,040	42,737
Current liabilities	**122,228**	**126,216**	**162,407**	**182,947**	**195,890**
Long-term debt	6,481	1,069	1,369	1,669	1,969
Other long term liabilities	9,560	10,112	10,112	10,112	10,112
Total liabilities	**138,270**	**137,396**	**173,887**	**194,727**	**207,970**
Shareholders' equity	78,988	87,892	95,412	103,508	112,730
Minority interests	8	0	0	0	1
Total liabilities & equity	**217,266**	**225,288**	**269,299**	**298,236**	**320,701**
BVPS	**9.30**	**10.27**	**11.15**	**12.10**	**13.18**
y/y Growth	*15.3%*	*10.5%*	*8.6%*	*8.5%*	*8.9%*
Net debt/(cash)	22,121	15,722	9,234	188	(10,934)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**27,783**	**40,355**	**31,784**	**27,819**	**25,513**
o/w Depreciation & amortization	9,028	9,458	8,427	6,803	5,654
o/w Changes in working capital	4,382	20,543	12,530	9,363	6,988
Cash flow from investing activities	**(23,296)**	**(29,154)**	**(2,700)**	**(2,700)**	**(2,700)**
o/w Capital expenditure	(11,737)	(11,509)	(2,700)	(2,700)	(2,700)
as % of sales	*5.8%*	*5.2%*	*1.1%*	*1.0%*	*0.9%*
Cash flow from financing activities	**(12,178)**	**(13,445)**	**(2,695)**	**(2,892)**	**(3,126)**
o/w Dividends paid	(3,346)	(4,379)	(2,995)	(3,192)	(3,426)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(7,718)	(6,097)	300	300	300
Net change in cash	**(8,062)**	**(1,953)**	**26,389**	**22,227**	**19,687**
Adj. Free cash flow to firm	**16,045**	**28,846**	**29,084**	**25,119**	**22,813**
y/y Growth	*1441.7%*	*79.8%*	*0.8%*	*(13.6%)*	*(9.2%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	19.5%	18.0%	19.2%	19.2%	19.4%
EBITDA margin	11.4%	9.4%	8.1%	7.0%	6.7%
EBIT margin	6.9%	5.2%	4.7%	4.5%	4.8%
Net profit margin	6.3%	4.4%	4.3%	4.1%	4.4%
ROE	17.2%	11.8%	11.5%	11.3%	11.7%
ROA	6.1%	4.5%	4.3%	4.0%	4.1%
ROCE	9.7%	7.3%	7.0%	6.5%	6.5%
SG&A/Sales	6.2%	7.2%	6.7%	6.6%	6.6%
Net debt/Equity	0.3	0.2	0.1	0.0	NM
Net debt/EBITDA	1.0	0.7	0.5	0.0	NM
Sales/Assets (x)	1.0	1.0	1.0	1.0	0.9
Assets/Equity (x)	2.84	2.65	2.70	2.85	2.86
Interest cover (x)	NM	10.7	-	-	-
Operating leverage	557.7%	(168.1%)	2.5%	68.6%	196.7%
Tax rate	11.1%	16.1%	11.0%	11.0%	11.0%
Revenue y/y Growth	16.7%	10.2%	10.9%	10.6%	6.2%
EBITDA y/y Growth	59.3%	(8.5%)	(4.8%)	(3.9%)	1.9%
EPS y/y Growth	80.8%	(22.8%)	6.6%	7.4%	12.0%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	4.9	6.4	6.0	5.6	5.0
P/BV (x)	0.8	0.7	0.7	0.6	0.6
EV/EBITDA (x)	5.0	5.4	5.7	6.0	5.8
Dividend Yield	4.1%	6.1%	4.8%	5.1%	5.4%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

SAIC Motor Corp - A

Downgrade to UW

SAIC Motor's share price has declined 34% YTD, shy of MXCN -10% or broader China autos -17%. We believe the underperformance was primarily dragged by persistent weakness in China's domestic passenger vehicle market and continued pressure on JV earnings. While overseas momentum remains solid, softness in domestic market and continued weakness at JVs continue to weigh on sentiment toward traditional automakers. We expect the underperformance to linger.

- **China Business Development**: JV headwinds persist. SAIC-VW's ICE vehicle sales declined more sharply than anticipated in Q2 2026, exacerbated by rising oil prices from geopolitical tensions (Strait of Hormuz). SAIC-GM has achieved operational profitability since Q4 2024 at the unit level, but financial statements remain burdened by asset impairments booked in late 2024, keeping reported JV income contribution limited in Q2.
- **Overseas Strategy:** SAIC exported over 700k units in H1 2026, putting the full-year 1.3mn target well within reach; we see possibility that mgmt. may revise up export guidance. The company's HEV technology, benchmarked favorably against Toyota and offering profitability comparable to BEVs, has become the critical pathway to navigate EU tariff barriers on PHEVs. Four wholly-owned production bases (Indonesia, India, Thailand, Egypt) plus six KD assembly plants (Brazil, Malaysia, Kazakhstan, etc.) form a multi-hub network designed to optimize tariff arbitrage and localization.
- **Our view / earnings revision:** We see underperformance to persist through at least H2 2026. The JV turnaround remains a financial inflection, not an operational one—while SAIC-GM has returned to operating profitability, P&L normalization hinges on unwinding impairment balances. For SAIC-VW, the stabilization of ID series sales and the success of PHEV variants (Passat, Tiguan) are key variables with limited visibility. We trim our FY2026 net profit estimate by16-17% and downgrade SAIC to UW with Dec-26 PT of Rmb 7 based on 8x FY26 PE.

▼ Underweight

Previous: Neutral

600104.SS,600104 CH

Price (13 Jul 26): Rmb9.94

▼ **Price Target (Dec-26): Rmb7.00**
Prior (Dec-26): Rmb16.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.05	0.87	-16.4%
Adj. EPS - 27E (Rmb)	1.19	0.99	-17.0%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	8	13	13	5	5
Growth	43	31	97	90	84
Momentum	86	29	94	77	78
Quality	83	84	87	76	64
Low Vol	51	52	42	9	29
ESGQ	84	24	86	23	96

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Price Performance

	YTD	1m	3m	12m
Abs	-34.7%	-9.0%	-29.8%	-41.6%
Rel	-33.3%	-6.1%	-27.9%	-52.8%

Company Data

Shares O/S (mn)	11,683
52-week range (Rmb)	20.63-9.44
Market cap ($ mn)	17,137
Exchange rate	6.78
Free float (%)	24.0%
3M ADV (mn)	51.82
3M ADV ($ mn)	89.4
Volatility (90 Day)	22
Index	SSE
BBG ANR (Buy | Hold | Sell)	17|5|2

Key Metrics (FYE Dec)

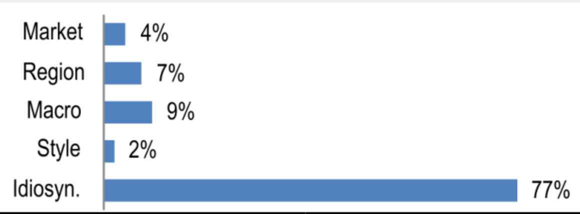
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	656,244	643,111	658,234	672,882
Adj. EBITDA	47,078	33,885	36,587	37,338
Adj. EBIT	25,432	18,063	20,184	20,412
Adj. net income	10,106	10,043	11,404	11,700
Net margin	1.5%	1.6%	1.7%	1.7%
Adj. EPS	0.88	0.87	0.99	1.02
BBG EPS	0.96	0.99	1.14	1.32
Cashflow from operations	34,307	84,105	29,873	32,115
FCFF	12,520	59,105	4,873	7,115
Margins and Growth				
Revenue Growth Y/Y (%)	4.6%	(2.0%)	2.4%	2.2%
EBITDA margin	7.2%	5.3%	5.6%	5.5%
EBITDA Growth Y/Y (%)	47.2%	(28.0%)	8.0%	2.1%
EBIT margin	3.9%	2.8%	3.1%	3.0%
Adj. EPS growth	510.7%	(0.6%)	13.6%	2.6%
Ratios				
Adj. tax rate	30.0%	25.7%	24.7%	23.5%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	0.0	0.1
Net debt/EBITDA	NM	NM	0.2	0.6
ROCE	4.1%	3.1%	3.1%	2.8%
ROE	3.4%	3.3%	3.7%	3.7%
Valuation				
FCFF yield	11.0%	51.7%	4.3%	6.2%
Dividend yield	0.9%	2.7%	2.7%	3.0%
EV/EBITDA	3.0	3.3	5.3	5.6
EV/Revenue	0.2	0.2	0.3	0.3
Adj. P/E	11.3	11.4	10.0	9.8

Summary Investment Thesis an Investment Thesis

We believe SAIC's YTD share price weakness has largely reflected the company's slow earnings and performance, in particular at own brand and General Motor (covered by Ryan Brinkman, head of US auto and auto parts research) JV. From here, we believe SAIC's own brand business should see rising benefits from the overseas market while GM should stabilize. We think longer-term upside could come from the Volkswagen (covered by Jose Asumendi, head of global auto research) JV.

We set our Dec-26 PT at Rmb7, based on 8x FY26E P/E, versus our previous Rmb16 PT, which was based on 0.6x FY26E P/B. The 8x FY26E P/E multiple is in line with SAIC's historical average valuation during industry downcycles when overall auto demand softened. We are switching back to an earnings-based valuation methodology as we believe the market is likely to refocus on P/E multiples heading into 2027, driven by the sequential earnings recovery we expect through 2026. Previously, we adopted a P/B-based approach after SAIC reported recurring losses in FY24, with 0.6x P/B broadly in line with the average valuation of SOE auto OEMs. As earnings normalize, however, we believe a P/E framework better reflects the company's improving profitability trajectory.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.19	0.20
Region: China	0.40	0.31
Macro:		
JPM China A-shares Sentiment	0.09	0.24
Citi Economic Surprise - EM	0.00	-0.19
JPM Global Equity Sentiment	0.28	0.18
Quant Styles:		
Momentum	-0.26	-0.11
LowVol	0.11	-0.06
Size	-0.51	-0.06

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Table: Earnings revision

	2026E			2027E		
RMBmn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	643,111	676,642	-5%	658,234	692,600	-5%
Sales growth (%)	-2.0%	3.1%		2.4%	2.4%	
COGS	566,622	596,503	-5%	577,966	608,591	-5%
Gross profit	76,489	80,139	-5%	80,269	84,009	-4%
Gross margin (%)	11.9%	11.8%		12.2%	12.1%	
Operating profit	18,063	21,293	-15%	20,184	23,926	-16%
Operating margin (%)	2.8%	3.1%		3.1%	3.5%	
Profit from JVs/Associates	5,998	7,555	-21%	7,232	9,183	-21%
Growth (%)	3.9%	30.8%		20.6%	21.5%	
Pre-tax profit	17,550	20,753	-15%	19,659	23,373	-16%
Net profit	10,043	12,015	-16%	11,404	13,734	-17%
Net margin (%)	1.6%	1.8%		1.7%	2.0%	
Net profit growth (%)	-0.6%	18.9%		13.6%	14.3%	
EPS (adjusted)	0.87	1.05	-16%	0.99	1.19	-17%

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

SAIC Motor Corp - A *(Underweight; Price Target: Rmb7.00)*

Investment Thesis

We believe SAIC's YTD share price weakness has largely reflected the company's slow earnings and performance, in particular at own brand and General Motor (covered by Ryan Brinkman, head of US auto and auto parts research) JV. From here, we believe SAIC's own brand business should see rising benefits from the overseas market while GM should stabilize. We think longer-term upside could come from the Volkswagen (covered by Jose Asumendi, head of global auto research) JV.

Valuation

We set our Dec-26 PT at Rmb7, based on 8x FY26E P/E, versus our previous Rmb16 PT, which was based on 0.6x FY26E P/B. The 8x FY26E P/E multiple is in line with SAIC's historical average valuation during industry downcycles when overall auto demand softened. We are switching back to an earnings-based valuation methodology as we believe the market is likely to refocus on P/E multiples heading into 2027, driven by the sequential earnings recovery we expect through 2026. Previously, we adopted a P/B-based approach after SAIC reported recurring losses in FY24, with 0.6x P/B broadly in line with the average valuation of SOE auto OEMs. As earnings normalize, however, we believe a P/E framework better reflects the company's improving profitability trajectory.

Risks to Rating and Price Target

Downside/upside risks include:

- Worse-/better-than-expected growth in China's auto market.
- Worse-than-anticipated competition – pricing and margin pressure could be higher for Chinese own-brands, including SAIC's PV business.

Unexpected dividend cuts: Although this is not our base case or in guidance, any reduction in dividend payout due to M&A or unexpected investments would be a risk to our investment thesis.

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SAIC Motor Corp - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**627,590**	**656,244**	**643,111**	**658,234**	**672,882**
COGS	(558,457)	(582,107)	(566,622)	(577,966)	(589,475)
Gross profit	**69,133**	**74,137**	**76,489**	**80,269**	**83,407**
SG&A	(41,188)	(43,351)	(42,484)	(43,483)	(44,450)
Adj. EBITDA	**31,982**	**47,078**	**33,885**	**36,587**	**37,338**
D&A	(21,606)	(21,646)	(15,823)	(16,404)	(16,926)
Adj. EBIT	**10,376**	**25,432**	**18,063**	**20,184**	**20,412**
Net Interest	-	-	-	-	-
Adj. PBT	**10,511**	**24,909**	**17,550**	**19,659**	**19,875**
Tax	(4,678)	(7,465)	(4,507)	(4,849)	(4,680)
Minority Interest	(4,167)	(7,338)	(3,000)	(3,406)	(3,495)
Adj. Net Income	**1,666**	**10,106**	**10,043**	**11,404**	**11,700**
Reported EPS (Basic)	0.14	0.88	0.87	0.99	1.02
Adj. EPS	**0.14**	**0.88**	**0.87**	**0.99**	**1.02**
DPS	**0.37**	**0.09**	**0.27**	**0.26**	**0.30**
Payout ratio	256.3%	10.0%	30.4%	26.6%	29.5%
Shares outstanding	11,575	11,495	11,495	11,495	11,495

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**69,268**	**34,307**	**84,105**	**29,873**	**32,115**
o/w Depreciation & amortization	21,606	21,646	15,823	16,404	16,926
o/w Changes in working capital	36,607	46,292	67,776	(2,578)	(602)
Cash flow from investing activities	**(3,504)**	**(27,561)**	**(69,865)**	**(101,432)**	**(34,751)**
o/w Capital expenditure	(20,802)	(21,786)	(25,000)	(25,000)	(25,000)
as % of sales	*3.3%*	*3.3%*	*3.9%*	*3.8%*	*3.7%*
Cash flow from financing activities	**(9,312)**	**(53,218)**	**51,442**	**51,461**	**51,050**
o/w Dividends paid	(13,365)	(9,958)	(3,058)	(3,039)	(3,450)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(72,876)	(90,319)	(10,500)	(10,500)	(10,500)
Net change in cash	**56,247**	**(46,139)**	**65,682**	**(20,098)**	**48,414**
Adj. Free cash flow to firm	**48,466**	**12,520**	**59,105**	**4,873**	**7,115**
y/y Growth	*111.4%*	*(74.2%)*	*372.1%*	*(91.8%)*	*46.0%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	197,978	151,046	216,728	196,630	245,044
Accounts receivable	90,114	106,919	53,125	48,487	48,661
Inventories	77,277	79,640	40,362	41,170	41,990
Other current assets	236,773	285,349	270,361	270,892	271,405
Current assets	**602,142**	**622,954**	**580,576**	**557,179**	**607,100**
PP&E	95,721	92,438	103,460	113,570	122,886
LT investments	60,363	56,585	110,048	196,312	216,542
Other non current assets	198,917	188,232	178,790	173,382	165,441
Total assets	**957,143**	**960,207**	**972,875**	**1,040,443**	**1,111,970**
Short term borrowings	118,923	96,315	71,713	77,213	82,713
Payables	241,144	260,755	235,459	229,052	229,445
Other short term liabilities	151,863	163,398	163,236	165,441	164,830
Current liabilities	**511,929**	**520,469**	**470,409**	**471,706**	**476,988**
Long-term debt	40,799	19,498	73,998	128,498	182,998
Other long term liabilities	57,680	58,936	57,177	57,177	57,177
Total liabilities	**610,408**	**598,902**	**601,584**	**657,381**	**717,163**
Shareholders' equity	287,840	298,812	305,798	314,163	322,412
Minority interests	58,895	62,493	65,493	68,899	72,394
Total liabilities & equity	**957,143**	**960,207**	**972,875**	**1,040,443**	**1,111,970**
BVPS	**24.87**	**25.99**	**26.60**	**27.33**	**28.05**
y/y Growth	*1.5%*	*4.5%*	*2.3%*	*2.7%*	*2.6%*
Net debt/(cash)	(38,256)	(35,233)	(71,017)	9,081	20,667

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	11.0%	11.3%	11.9%	12.2%	12.4%
EBITDA margin	5.1%	7.2%	5.3%	5.6%	5.5%
EBIT margin	1.7%	3.9%	2.8%	3.1%	3.0%
Net profit margin	0.3%	1.5%	1.6%	1.7%	1.7%
ROE	0.6%	3.4%	3.3%	3.7%	3.7%
ROA	0.2%	1.1%	1.0%	1.1%	1.1%
ROCE	1.3%	4.1%	3.1%	3.1%	2.8%
SG&A/Sales	6.6%	6.6%	6.6%	6.6%	6.6%
Net debt/Equity	NM	NM	NM	0.0	0.1
Net debt/EBITDA	NM	NM	NM	0.2	0.6
Sales/Assets (x)	0.6	0.7	0.7	0.7	0.6
Assets/Equity (x)	3.42	3.27	3.20	3.25	3.38
Interest cover (x)	-	-	-	-	-
Operating leverage	381.5%	3178.1%	1448.0%	499.4%	50.8%
Tax rate	44.5%	30.0%	25.7%	24.7%	23.5%
Revenue y/y Growth	(15.7%)	4.6%	(2.0%)	2.4%	2.2%
EBITDA y/y Growth	(31.7%)	47.2%	(28.0%)	8.0%	2.1%
EPS y/y Growth	(88.1%)	510.7%	(0.6%)	13.6%	2.6%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	69.0	11.3	11.4	10.0	9.8
P/BV (x)	0.4	0.4	0.4	0.4	0.4
EV/EBITDA (x)	4.3	3.0	3.3	5.3	5.6
Dividend Yield	3.7%	0.9%	2.7%	2.7%	3.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Guangzhou Automobile Group - A

Underweight

Previous: Neutral

601238.SS,601238 CH

Price (13 Jul 26): Rmb4.89

Price Target (Dec-26): Rmb4.00
Prior (Dec-26): Rmb8.00

China
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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	(0.08)	(0.48)	-475.8%
Adj. EPS - 27E (Rmb)	0.07	(0.05)	-169.1%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	85	81	67	32	24
Growth	97	98	96	59	84
Momentum	99	100	92	75	79
Quality	98	90	91	70	73
Low Vol	31	27	30	39	50
ESGQ	23	10	12	14	4

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Downgrade to UW

GAC- H/A shares were down 46%/36% YTD, underperforming MXCN -10% or broader China autos -17% amid a sluggish domestic auto market, continued price competition, and concerns over margin recovery at JV brands and potential asset impairments at own brand. The company announced its preliminary 1H26 earnings on July 10, marking another miss. 2Q26 net loss is expected to be Rmb 3.4-3.9bn, widening from 1Q26 loss of Rmb 656mn (or Rmb 1.4bn excl. one-off). While management previously guided for a turnaround in 2026, visibility remains constrained by weak industry demand and ongoing restructuring across brands.

- **Key highlights of 2Q preliminary results:** According to the company's disclosure, GAC's 2Q loss widened from Rmb 656mn in 1Q26 to Rmb 3.4-3.9bn, or from Rmb 1.4bn to Rmb 3.4-4.2bn if excluding one-off. Despite own brand sales volume of 29%yoy/8%qoq growth, volume growth has not translated into profitability. We believe that the widened loss was mainly attributable to: 1) continued weakness at Honda JV; 2) surging operating expenses related with launch of Qijing; 3) raw material cost hike.
- **Earnings outlook:** While we expect own brand sales to see a recovery this year benefiting from the dual-BU ("Panyu Action") organizational reforms and structural upside from Qijing (Huawei partnership), impairment losses of old models at own brands, weakness at Honda JV, and hiking raw material costs/ operation expenses related with new brand may put pressure on the company's profitability. We model FY2026 net loss of Rmb 5bn, narrowing to Rmb 525mn in 2027, and turn positive profit in 2028.
- **Recommendations:** We downgrade GAC to UW with a Dec-26 PT at Rmb4/HKD1.1 based on 0.4x/0.1x FY26E P/B.

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Price Performance

	YTD	1m	3m	12m
Abs	-40.1%	-16.8%	-33.2%	-35.2%
Rel	-38.7%	-13.9%	-31.3%	-46.5%

Company Data

Shares O/S (mn)	6,738
52-week range (Rmb)	9.57-4.86
Market cap ($ mn)	4,862
Exchange rate	6.78
Free float (%)	15.4%
3M ADV (mn)	23.46
3M ADV ($ mn)	20.9
Volatility (90 Day)	24
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	7|4|4

Key Metrics (FYE Dec)

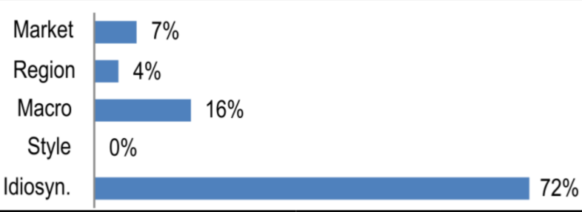
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	96,542	96,708	109,931	111,377
Adj. EBITDA	(2,165)	(821)	4,760	7,548
Adj. EBIT	(11,583)	(6,129)	(342)	2,591
Adj. net income	(8,784)	(5,012)	(525)	1,651
Net margin	(9.1%)	(5.2%)	(0.5%)	1.5%
Adj. EPS	(0.85)	(0.48)	(0.05)	0.16
BBG EPS	(0.52)	(0.11)	0.01	0.21
Cashflow from operations	(16,199)	(3,063)	(8,812)	11,226
FCFF	(22,200)	(9,063)	(14,812)	5,226
Margins and Growth				
Revenue Growth Y/Y (%)	(10.4%)	0.2%	13.7%	1.3%
EBITDA margin	(2.2%)	(0.8%)	4.3%	6.8%
EBITDA Growth Y/Y (%)	(125.8%)	(62.1%)	(679.7%)	58.6%
EBIT margin	(12.0%)	(6.3%)	(0.3%)	2.3%
Adj. EPS growth	(1166.5%)	(42.9%)	(89.5%)	(414.3%)
Ratios				
Adj. tax rate	(4.8%)	(18.2%)	(48.3%)	7.9%
Interest cover	NM	NM	6.0	8.5
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	9.0	17.1	NM	NM
ROCE	(9.9%)	(6.3%)	(0.4%)	2.1%
ROE	(8.0%)	(4.9%)	(0.5%)	1.6%
Valuation				
FCFF yield	(43.7%)	(17.8%)	(29.1%)	10.3%
Dividend yield	1.0%	0.0%	0.0%	0.0%
EV/EBITDA	NM	NM	28.4	17.3
EV/Revenue	1.1	1.2	1.2	1.2
Adj. P/E	NM	NM	NM	30.8

Summary Investment Thesis and Valuation

Guangzhou Auto is executing a broad restructuring to address its profitability challenges through organizational reform, product renewal and overseas expansion. While these initiatives should support a gradual recovery, we remain cautious on the pace of earnings improvement given intense competition, ongoing JV weakness and continued investment requirements. We expect a prolonged turnaround and see limited visibility on a sustainable return to profitability, supporting our Underweight rating.

Our Dec-26 PT of Rmb4 is based on 0.4x 2026E P/BV (vs previous Rmb8 based on a 0.8x 2026E P/BV), which is below GAC-A's historical average of 1.6x. Given that P/E can swing a lot, we use pure P/BV to value the stock. GAC-H's P/B expanded by 88%/160% during 2012-13/2016-17 when the company witnessed a meaningful earnings rebound of 134%/75%. The 0.1x P/B/0.4x P/B multiples for the H/A share reflect the near-term competitive environment remain under pressure and long-term turnaround trend we expect.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.30	0.28
Region: China	0.23	0.21
Macro:		
JPM Global Equity Sentiment	0.32	0.28
HSI Volatility Index	-0.37	-0.20
US 10 Year Yield	-0.27	-0.19
Quant Styles:		
Size	-0.11	-0.12
LowVol	-0.16	-0.11
Value	-0.12	-0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Guangzhou Automobile Group - A *(Underweight; Price Target: Rmb4.00)*

Investment Thesis

Guangzhou Auto is executing a broad restructuring to address its profitability challenges through organizational reform, product renewal and overseas expansion. While these initiatives should support a gradual recovery, we remain cautious on the pace of earnings improvement given intense competition, ongoing JV weakness and continued investment requirements. We expect a prolonged turnaround and see limited visibility on a sustainable return to profitability, supporting our Underweight rating.

Valuation

Our Dec-26 PT of Rmb4 is based on 0.4x 2026E P/BV (vs previous Rmb8 based on a 0.8x 2026E P/BV), which is below GAC-A's historical average of 1.6x. Given that P/E can swing a lot, we use pure P/BV to value the stock. GAC-H's P/B expanded by 88%/160% during 2012-13/2016-17 when the company witnessed a meaningful earnings rebound of 134%/75%. The 0.1x P/B/0.4x P/B multiples for the H/A share reflect the near-term competitive environment remain under pressure and long-term turnaround trend we expect.

Risks to Rating and Price Target

Upside risks include: 1) better-than-expected operating improvement and profitability at GAC own brands and major JVs; and 2) better-than-anticipated sales volume growth in overseas and domestic markets.

Guangzhou Automobile Group - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**107,784**	**96,542**	**96,708**	**109,931**	**111,377**
COGS	(105,346)	(101,967)	(95,927)	(103,077)	(102,221)
Gross profit	**2,438**	**(5,425)**	**780**	**6,854**	**9,156**
SG&A	(2,436)	(1,859)	(5,940)	(6,849)	(6,734)
Adj. EBITDA	**8,379**	**(2,165)**	**(821)**	**4,760**	**7,548**
D&A	(8,815)	(9,418)	(5,308)	(5,102)	(4,957)
Adj. EBIT	**(436)**	**(11,583)**	**(6,129)**	**(342)**	**2,591**
Net Interest	(291)	(478)	(683)	(787)	(890)
Adj. PBT	**(727)**	**(12,060)**	**(6,812)**	**(1,128)**	**1,700**
Tax	233	578	1,243	545	134
Minority Interest	1,318	2,698	557	58	(183)
Adj. Net Income	**824**	**(8,784)**	**(5,012)**	**(525)**	**1,651**
Reported EPS (Basic)	0.08	(0.85)	(0.49)	(0.05)	0.16
Adj. EPS	**0.08**	**(0.85)**	**(0.48)**	**(0.05)**	**0.16**
DPS	**0.15**	**0.05**	**0.00**	**0.00**	**0.00**
Payout ratio	189.3%	NM	0.0%	0.0%	0.0%
Shares outstanding	10,392	10,392	10,392	10,392	10,392

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**8,299**	**(16,199)**	**(3,063)**	**(8,812)**	**11,226**
o/w Depreciation & amortization	8,815	9,418	5,308	5,102	4,957
o/w Changes in working capital	6,199	(7,638)	(146)	(10,361)	7,671
Cash flow from investing activities	**(16,203)**	**(2,522)**	**(6,000)**	**(6,000)**	**(6,000)**
o/w Capital expenditure	(10,700)	(6,001)	(6,000)	(6,000)	(6,000)
as % of sales	*9.9%*	*6.2%*	*6.2%*	*5.5%*	*5.4%*
Cash flow from financing activities	**4,818**	**6,051**	**5,317**	**5,213**	**5,110**
o/w Dividends paid	(1,459)	(520)	0	0	0
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	7,663	7,663	6,000	6,000	6,000
Net change in cash	**(3,086)**	**(12,670)**	**(3,746)**	**(9,599)**	**10,335**
Adj. Free cash flow to firm	**(2,401)**	**(22,200)**	**(9,063)**	**(14,812)**	**5,226**
y/y Growth	*(64.9%)*	*824.8%*	*(59.2%)*	*63.4%*	*(135.3%)*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	46,422	31,072	27,326	17,727	28,062
Accounts receivable	28,003	26,320	21,461	24,396	24,717
Inventories	15,688	16,446	12,464	16,906	8,299
Other current assets	20,973	24,193	24,193	24,193	24,193
Current assets	**111,086**	**98,031**	**85,444**	**83,222**	**85,272**
PP&E	28,396	27,064	30,659	33,966	37,009
LT investments	-	-	-	-	-
Other non current assets	93,030	89,902	90,338	91,685	93,811
Total assets	**232,512**	**214,997**	**206,442**	**208,873**	**216,092**
Short term borrowings	0	0	0	0	0
Payables	63,227	54,664	45,677	42,692	42,077
Other short term liabilities	27,551	32,438	36,694	40,950	45,207
Current liabilities	**90,778**	**87,102**	**82,371**	**83,643**	**87,284**
Long-term debt	13,696	11,506	13,250	14,993	16,737
Other long term liabilities	6,207	6,652	6,652	6,652	6,652
Total liabilities	**110,682**	**105,260**	**102,273**	**105,288**	**110,673**
Shareholders' equity	114,408	105,286	100,273	99,748	101,399
Minority interests	7,423	4,452	3,895	3,837	4,020
Total liabilities & equity	**232,512**	**214,997**	**206,442**	**208,873**	**216,092**
BVPS	**11.01**	**10.23**	**9.74**	**9.69**	**9.85**
y/y Growth	*(0.8%)*	*(7.1%)*	*(4.8%)*	*(0.5%)*	*1.7%*
Net debt/(cash)	(32,726)	(19,566)	(14,076)	(2,734)	(11,325)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	2.3%	(5.6%)	0.8%	6.2%	8.2%
EBITDA margin	7.8%	(2.2%)	(0.8%)	4.3%	6.8%
EBIT margin	(0.4%)	(12.0%)	(6.3%)	(0.3%)	2.3%
Net profit margin	0.8%	(9.1%)	(5.2%)	(0.5%)	1.5%
ROE	0.7%	(8.0%)	(4.9%)	(0.5%)	1.6%
ROA	0.4%	(3.9%)	(2.4%)	(0.3%)	0.8%
ROCE	(0.4%)	(9.9%)	(6.3%)	(0.4%)	2.1%
SG&A/Sales	2.3%	1.9%	6.1%	6.2%	6.0%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	9.0	17.1	NM	NM
Sales/Assets (x)	0.5	0.4	0.5	0.5	0.5
Assets/Equity (x)	1.96	2.04	2.05	2.08	2.11
Interest cover (x)	28.8	NM	NM	6.0	8.5
Operating leverage	665.2%	(24535.4%)	(27508.7%)	(690.6%)	(65274.8%)
Tax rate	(32.0%)	(4.8%)	(18.2%)	(48.3%)	7.9%
Revenue y/y Growth	(16.9%)	(10.4%)	0.2%	13.7%	1.3%
EBITDA y/y Growth	(22.4%)	(125.8%)	(62.1%)	(679.7%)	58.6%
EPS y/y Growth	(81.3%)	(1166.5%)	(42.9%)	(89.5%)	(414.3%)

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	61.7	NM	NM	NM	30.8
P/BV (x)	0.4	0.5	0.5	0.5	0.5
EV/EBITDA (x)	11.4	NM	NM	28.4	17.3
Dividend Yield	3.1%	1.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Guangzhou Automobile Group - H

Downgrade to UW

Underweight
Previous: Neutral

2238.HK,2238 HK

Price (13 Jul 26): HK$2.04

Price Target (Dec-26): HK$1.10
Prior (Dec-26): HK$3.30

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	(0.08)	(0.48)	-475.8%
Adj. EPS - 27E (Rmb)	0.07	(0.05)	-169.1%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	42	28	21	4	16
Growth	96	98	96	56	81
Momentum	98	98	86	85	79
Quality	98	91	89	64	68
Low Vol	69	76	74	49	67
ESGQ	23	10	12	14	4

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

GAC- H/A shares were down 46%/36% YTD, underperforming MXCN -10% or broader China autos -17% amid a sluggish domestic auto market, continued price competition, and concerns over margin recovery at JV brands and potential asset impairments at own brand. The company announced its preliminary 1H26 earnings on July 10, marking another miss. 2Q26 net loss is expected to be Rmb 3.4-3.9bn, widening from 1Q26 loss of Rmb 656mn (or Rmb 1.4bn excl. one-off). While management previously guided for a turnaround in 2026, visibility remains constrained by weak industry demand and ongoing restructuring across brands.

- **Key highlights of 2Q preliminary results:** According to the company's disclosure, GAC's 2Q loss widened from Rmb 656mn in 1Q26 to Rmb 3.4-3.9bn, or from Rmb 1.4bn to Rmb 3.4-4.2bn if excluding one-off. Despite own brand sales volume of 29%yoy/8%qoq growth, volume growth has not translated into profitability. We believe that the widened loss was mainly attributable to: 1) continued weakness at Honda JV; 2) surging operating expenses related with launch of Qijing; 3) raw material cost hike.
- **Earnings outlook:** While we expect own brand sales to see a recovery this year benefiting from the dual-BU ("Panyu Action") organizational reforms and structural upside from Qijing (Huawei partnership), impairment losses of old models at own brands, weakness at Honda JV, and hiking raw material costs/ operation expenses related with new brand may put pressure on the company's profitability. We model FY2026 net loss of Rmb 5bn, narrowing to Rmb 525mn in 2027, and turn positive profit in 2028.
- **Recommendations:** We downgrade GAC to UW with a Dec-26 PT at Rmb4/HKD1.1 based on 0.4x/0.1x FY26E P/B.

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Price Performance

	YTD	1m	3m	12m
Abs	-50.1%	-16.0%	-35.2%	-34.0%
Rel	-40.6%	-12.4%	-29.0%	-26.3%

Company Data

Shares O/S (mn)	6,738
52-week range (HK$)	4.38-2.02
Market cap ($ mn)	1,753
Exchange rate	7.84
Free float (%)	81.4%
3M ADV (mn)	15.96
3M ADV ($ mn)	5.3
Volatility (90 Day)	36
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	5|9|3

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	96,542	96,708	109,931	111,377
Adj. EBITDA	(2,165)	(821)	4,760	7,548
Adj. EBIT	(11,583)	(6,129)	(342)	2,591
Adj. net income	(8,784)	(5,012)	(525)	1,651
Net margin	(9.1%)	(5.2%)	(0.5%)	1.5%
Adj. EPS	(0.85)	(0.48)	(0.05)	0.16
BBG EPS	(0.55)	(0.07)	(0.01)	0.12
Cashflow from operations	(16,199)	(3,063)	(8,812)	11,226
FCFF	(22,200)	(9,063)	(14,812)	5,226
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EBITDA margin	(2.2%)	(0.8%)	4.3%	6.8%
EBITDA Growth Y/Y (%)	(125.8%)	(62.1%)	(679.7%)	58.6%
EBIT margin	(12.0%)	(6.3%)	(0.3%)	2.3%
Adj. EPS growth	(1166.5%)	(42.9%)	(89.5%)	(414.3%)
Ratios				
Adj. tax rate	(4.8%)	(18.2%)	(48.3%)	7.9%
Interest cover	NM	NM	6.0	8.5
Net debt/Equity	0.1	0.2	0.3	0.3
Net debt/EBITDA	NM	NM	7.1	3.9
ROCE	(8.2%)	(5.0%)	(0.3%)	1.5%
ROE	(8.0%)	(4.9%)	(0.5%)	1.6%
Valuation				
FCFF yield	(121.1%)	(49.4%)	(80.8%)	28.5%
Dividend yield	2.8%	0.0%	0.0%	0.0%
EV/EBITDA	NM	NM	28.4	17.3
EV/Revenue	1.1	1.2	1.2	1.2
Adj. P/E	NM	NM	NM	11.1

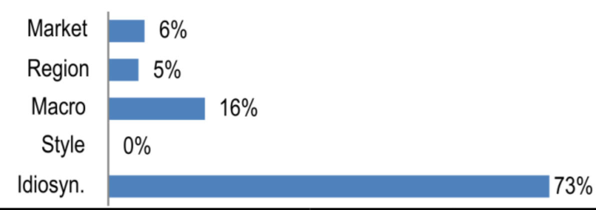
Summary Investment Thesis and Valuation

Guangzhou Auto is executing a broad restructuring to address its profitability challenges through organizational reform, product renewal and overseas expansion. While these initiatives should support a gradual recovery, we remain cautious on the pace of earnings improvement given intense competition, ongoing JV weakness and continued investment requirements. We expect a prolonged turnaround and see limited visibility on a sustainable return to profitability, supporting our Underweight rating.

Valuation

Our Dec-26 PT of HK$1.1 is based on 0.1x 2026E P/B (vs previous HK$3.3 based on 0.3x 2026E P/B), which is below GAC-H's historical average of 1.0x. Given that P/E can swing a lot, we use pure P/BV to value the stock. GAC-H's P/B expanded by 88%/160% during 2012-13/2016-17 when the company witnessed a meaningful earnings rebound of 134%/75%. The 0.1x P/B/0.6x P/B multiples for the H/A share reflect the near-term competitive environment remain under pressure and long-term turnaround trend we expect.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.25
Region: China	0.21	0.26
Macro:		
HSI Volatility Index	-0.44	-0.23
JP Morgan GBI-EM Global Div	0.21	0.21
Citi Economic Surprise - EM	-0.12	-0.18
Quant Styles:		
LowVol	-0.09	-0.10
Growth	0.14	0.08
Size	-0.05	-0.07

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Table: Earnings revisions

	2026E			2027E		
RMBmn	Revised	Previous	% change	Revised	Previous	% change
Revenue	96,708	96,708	0%	109,931	109,931	0%
Sales growth (%)	0%	0%		14%	14%	
COGS	95,927	92,777	3%	103,077	102,427	1%
Gross profit	780	3,930	-80%	6,854	7,504	-9%
Gross margin (%)	1%	4%		6%	7%	
Operating profit	(9,468)	(5,202)	-82%	(4,097)	(3,022)	-36%
Operating margin (%)	-9.8%	-5.4%		-3.7%	-2.7%	
JV/Associate profit	3,339	3,898	-14%	3,756	4,194	-10%
growth (%)	34%	57%		12%	8%	
Pre-tax profit	(6,812)	(1,987)	-243%	(1,128)	385	-393%
Pretax margin	-7%	-2%		-1%	0%	
Net profit	(5,012)	(870)	-476%	(525)	760	-169%
Net margin (%)	-5%	-1%		0%	1%	

Source: J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Guangzhou Automobile Group - H *(Underweight; Price Target: HK$1.10)*

Investment Thesis

Guangzhou Auto is executing a broad restructuring to address its profitability challenges through organizational reform, product renewal and overseas expansion. While these initiatives should support a gradual recovery, we remain cautious on the pace of earnings improvement given intense competition, ongoing JV weakness and continued investment requirements. We expect a prolonged turnaround and see limited visibility on a sustainable return to profitability, supporting our Underweight rating.

Valuation

Our Dec-26 PT of HK$1.1 is based on 0.1x 2026E P/B (vs previous HK$3.3 based on 0.3x 2026E P/B), which is below GAC-H's historical average of 1.0x. Given that P/E can swing a lot, we use pure P/BV to value the stock. GAC-H's P/B expanded by 88%/160% during 2012-13/2016-17 when the company witnessed a meaningful earnings rebound of 134%/75%. The 0.1x P/B/0.6x P/B multiples for the H/A share reflect the near-term competitive environment remain under pressure and long-term turnaround trend we expect.

Risks to Rating and Price Target

Upside risks include: 1) better-than-expected operating improvement and profitability at GAC own brands and major JVs; and 2) better-than-anticipated sales volume growth in overseas and domestic markets

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Guangzhou Automobile Group - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**107,784**	**96,542**	**96,708**	**109,931**	**111,377**
COGS	(105,346)	(101,967)	(95,927)	(103,077)	(102,221)
Gross profit	**2,438**	**(5,425)**	**780**	**6,854**	**9,156**
SG&A	(2,436)	(1,859)	(5,940)	(6,849)	(6,734)
Adj. EBITDA	**8,379**	**(2,165)**	**(821)**	**4,760**	**7,548**
D&A	(8,815)	(9,418)	(5,308)	(5,102)	(4,957)
Adj. EBIT	**(436)**	**(11,583)**	**(6,129)**	**(342)**	**2,591**
Net Interest	(291)	(478)	(683)	(787)	(890)
Adj. PBT	**(727)**	**(12,060)**	**(6,812)**	**(1,128)**	**1,700**
Tax	233	578	1,243	545	134
Minority Interest	1,318	2,698	557	58	(183)
Adj. Net Income	**824**	**(8,784)**	**(5,012)**	**(525)**	**1,651**
Reported EPS	0.08	(0.85)	(0.48)	(0.05)	0.16
Adj. EPS	**0.08**	**(0.85)**	**(0.48)**	**(0.05)**	**0.16**
DPS	**0.15**	**0.05**	**0.00**	**0.00**	**0.00**
Payout ratio	189.3%	NM	0.0%	0.0%	0.0%
Shares outstanding	10,392	10,392	10,392	10,392	10,392

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	46,422	31,072	27,326	17,727	28,062
Accounts receivable	28,003	26,320	21,461	24,396	24,717
Inventories	15,688	16,446	12,464	16,906	8,299
Other current assets	20,973	24,193	24,193	24,193	24,193
Current assets	**111,086**	**98,031**	**85,444**	**83,222**	**85,272**
PP&E	28,396	27,064	30,659	33,966	37,009
LT investments	-	-	-	-	-
Other non current assets	93,030	89,902	90,338	91,685	93,811
Total assets	**232,512**	**214,997**	**206,442**	**208,873**	**216,092**
Short term borrowings	0	0	0	0	0
Payables	63,227	54,664	45,677	42,692	42,077
Other short term liabilities	27,551	32,438	36,694	40,950	45,207
Current liabilities	**90,778**	**87,102**	**82,371**	**83,643**	**87,284**
Long-term debt	13,696	11,506	13,250	14,993	16,737
Other long term liabilities	6,207	6,652	6,652	6,652	6,652
Total liabilities	**110,682**	**105,260**	**102,273**	**105,288**	**110,673**
Shareholders' equity	114,408	105,286	100,273	99,748	101,399
Minority interests	7,423	4,452	3,895	3,837	4,020
Total liabilities & equity	**232,512**	**214,997**	**206,442**	**208,873**	**216,092**
BVPS	**11.01**	**10.23**	**9.74**	**9.69**	**9.85**
y/y Growth	*(0.8%)*	*(7.1%)*	*(4.8%)*	*(0.5%)*	*1.7%*
Net debt/(cash)	(9,404)	8,517	18,263	33,862	29,526

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**8,299**	**(16,199)**	**(3,063)**	**(8,812)**	**11,226**
o/w Depreciation & amortization	8,815	9,418	5,308	5,102	4,957
o/w Changes in working capital	6,199	(7,638)	(146)	(10,361)	7,671
Cash flow from investing activities	**(16,203)**	**(2,522)**	**(6,000)**	**(6,000)**	**(6,000)**
o/w Capital expenditure	(10,700)	(6,001)	(6,000)	(6,000)	(6,000)
as % of sales	*9.9%*	*6.2%*	*6.2%*	*5.5%*	*5.4%*
Cash flow from financing activities	**4,818**	**6,051**	**5,317**	**5,213**	**5,110**
o/w Dividends paid	(1,459)	(520)	0	0	0
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	7,663	7,663	6,000	6,000	6,000
Net change in cash	**(3,086)**	**(12,670)**	**(3,746)**	**(9,599)**	**10,335**
Adj. Free cash flow to firm	**(2,401)**	**(22,200)**	**(9,063)**	**(14,812)**	**5,226**
y/y Growth	*(64.9%)*	*824.8%*	*(59.2%)*	*63.4%*	*(135.3%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	2.3%	(5.6%)	0.8%	6.2%	8.2%
EBITDA margin	7.8%	(2.2%)	(0.8%)	4.3%	6.8%
EBIT margin	(0.4%)	(12.0%)	(6.3%)	(0.3%)	2.3%
Net profit margin	0.8%	(9.1%)	(5.2%)	(0.5%)	1.5%
ROE	0.7%	(8.0%)	(4.9%)	(0.5%)	1.6%
ROA	0.4%	(3.9%)	(2.4%)	(0.3%)	0.8%
ROCE	(0.4%)	(8.2%)	(5.0%)	(0.3%)	1.5%
SG&A/Sales	2.3%	1.9%	6.1%	6.2%	6.0%
Net debt/Equity	NM	0.1	0.2	0.3	0.3
Net debt/EBITDA	NM	NM	NM	7.1	3.9
Sales/Assets (x)	0.5	0.4	0.5	0.5	0.5
Assets/Equity (x)	1.96	2.04	2.05	2.08	2.11
Interest cover (x)	28.8	NM	NM	6.0	8.5
Operating leverage	665.2%	(24535.4%)	(27508.7%)	(690.6%)	(65274.8%)
Tax rate	(32.0%)	(4.8%)	(18.2%)	(48.3%)	7.9%
Revenue y/y Growth	(16.9%)	(10.4%)	0.2%	13.7%	1.3%
EBITDA y/y Growth	(22.4%)	(125.8%)	(62.1%)	(679.7%)	58.6%
EPS y/y Growth	(81.3%)	(1166.5%)	(42.9%)	(89.5%)	(414.3%)

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	22.3	NM	NM	NM	11.1
P/BV (x)	0.2	0.2	0.2	0.2	0.2
EV/EBITDA (x)	11.4	NM	NM	28.4	17.3
Dividend Yield	8.5%	2.8%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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BAIC Motor Corp LTD (1958)

Neutral

1958.HK,1958 HK

Price (13 Jul 26): HK$0.78

▼ **Price Target (Dec-26): HK$0.80**
Prior (Dec-26): HK$1.60

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J.P. Morgan Securities Singapore Private Limited/ J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	0.01	(0.07)	-1072.6%
Adj. EPS - 27E (Rmb)	0.18	0.08	-56.5%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	10	5	2	2	2
Growth	38	88	94	78	74
Momentum	97	97	83	52	91
Quality	93	88	80	76	79
Low Vol	47	55	61	47	56

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Stay Neutral

BAIC's share price is down 59% YTD, underperforming MXCN -10% or broader China autos -17%, primarily driven by persistent domestic demand softness, continued fierce competition, and significant earnings headwinds from its joint ventures. While the company is navigating a trough in its product cycle, structural pressures on its ICE-dominant portfolio continue to weigh on investor sentiment.

- **China business development -** Benz JV under severe pressure; Hyundai shows signs of stabilization: 2Q26 domestic operations were characterized by steep volume declines at the Beijing Benz JV and a divergent performance at Beijing Hyundai. Beijing Benz 2Q26 sales declined ~30% YoY (and -12% QoQ) to 77.6k units, with the brand's total 1H deliveries falling over 28% YoY. Core ICE models (C-class, E-class, GLC) suffered double-digit declines amid a fierce luxury price war and a product transition cycle, with entry-level models hit particularly hard. Beijing Hyundai domestic sales fell ~27% YoY in 2Q but showed a V-shaped recovery (+22% QoQ), driven by export ramp-up. 1H cumulative decline was a modest -5.3%, significantly outperforming ICE JV peers. The launch of the IONIQ EV brand at the Beijing Auto Show marks a shift to a dual-track "ICE + BEV" strategy. Meanwhile, the Own Brand is repositioning towards young off-road buyers (BJ80, B70 "city hunter"), targeting a doubling of sales by end-2026.
- **Overseas strategy/plan**: BAIC's overseas strategy is increasingly anchored by leveraging China's supply chain cost advantages for global export. The Beijing Hyundai JV is executing a dual strategy: adapting to China's EV evolution while serving as a global manufacturing and export base for the Hyundai Group. We believe the export growth is a key highlight that will help narrow the Hyundai JV's loss in 2026. For the Own Brand, the international strategy targets overseas markets with weaker infrastructure but high demand for rugged off-road vehicles, aligning with its repositioned product portfolio.
- **Our view / earnings revision:** We maintain our Neutral rating. We believe 1Q26 marked the quarterly earnings trough, and we expect to see sequential improvement from 2H26 onward as Benz's new model cycle—including the localized long-wheelbase GLE and pure electric GLC—begins to materially impact volume and profitability. However, near-term earnings remain stressed. Considering the market sentiment and earnings pressure facing SOE OEMs, we set Dec-26 PT at HKD 0.8 based on 0.1x 26E P/B.

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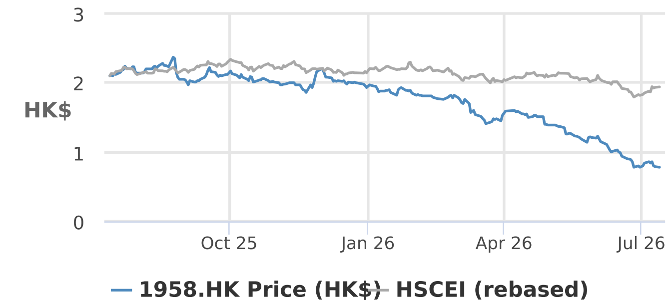
Price Performance



	YTD	1m	3m	12m
Abs	-59.6%	-22.8%	-49.7%	-62.3%
Rel	-50.1%	-19.1%	-43.4%	-54.7%

Company Data

Shares O/S (mn)	8,015
52-week range (HK$)	2.45-0.75
Market cap ($ mn)	798
Exchange rate	7.84
Free float (%)	69.6%
3M ADV (mn)	7.08
3M ADV ($ mn)	1.0
Volatility (90 Day)	44
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	0|5|2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	164,047	131,201	140,435	147,627
Adj. EBITDA	16,415	16,757	19,274	21,006
Adj. EBIT	7,974	8,697	11,634	13,714
Adj. net income	123	(578)	631	1,515
Net margin	0.1%	(0.4%)	0.4%	1.0%
Adj. EPS	0.02	(0.07)	0.08	0.19
BBG EPS	0.05	(0.04)	(0.09)	(0.14)
Cashflow from operations	10,039	6,735	13,615	14,987
FCFF	112	(3,275)	3,633	4,995
Margins and Growth				
Revenue Growth Y/Y (%)	(14.8%)	(20.0%)	7.0%	5.1%
EBITDA margin	10.0%	12.8%	13.7%	14.2%
EBITDA Growth Y/Y (%)	(37.1%)	2.1%	15.0%	9.0%
EBIT margin	4.9%	6.6%	8.3%	9.3%
Adj. EPS growth	(87.2%)	(571.5%)	(209.1%)	140.0%
Ratios				
Adj. tax rate	40.4%	47.1%	42.1%	39.8%
Interest cover	153.1	NM	1,217.2	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	7.2%	7.0%	10.0%	12.0%
ROE	0.2%	(1.0%)	1.1%	2.6%
Valuation				
FCFF yield	2.1%	(60.6%)	67.2%	92.4%
Dividend yield	0.0%	0.0%	0.3%	3.5%
EV/EBITDA	1.6	2.1	2.0	1.9
EV/Revenue	0.2	0.3	0.3	0.3
Adj. P/E	44.1	NM	8.6	3.6

Summary Investment Thesis and Valuation

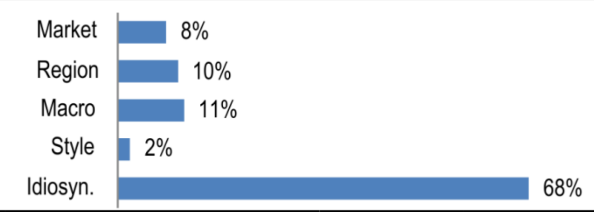
Investment Thesis

On the positive side, we concur with the company's initiatives on export expansion and expect the overseas business will help improve own-brand profitability. We are concerned that pricing competition is unlikely to improve in the next 1-2 years, and hence pressure on the company's profitability will likely linger. We expect JV brands to see continued margin contraction unless they can regain market share. We expect the stock to be range-bound and stay Neutral.

Valuation

Our Dec-26 PT is HK$0.80 based on 0.1x FY26E P/B (previous PT is HK$1.6 based on 0.2x FY26E P/B), as we believe that the competitive environment is likely to remain challenging and hence put pressure on profitability. Our conservative multiple reflects our LT reservation on domestic demand in Chinese market and BAIC lack of catalyst especially in the competitive domestic market.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.23	0.29
Region: China	0.21	0.33
Macro:		
JP Morgan GBI-EM Global Div	0.19	0.23
Markit EM Composite PMI SA	-0.26	-0.21
US 10 Year Yield	-0.30	-0.19
Quant Styles:		
Value	0.12	0.11
Growth	-0.01	-0.09
Size	0.00	-0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

BAIC Motor Corp LTD *(Neutral; Price Target: HK$0.80)*

Investment Thesis

On the positive side, we concur with the company's initiatives on export expansion and expect the overseas business will help improve own-brand profitability. We are concerned that pricing competition is unlikely to improve in the next 1-2 years, and hence pressure on the company's profitability will likely linger. We expect JV brands to see continued margin contraction unless they can regain market shares. Foreign brands' collective market share dropped to 44%/35% in FY23/FY24 from 50%/56% in FY22/21. We expect the stock to be range-bound and stay Neutral.

Valuation

Our Dec-26 PT is HK$0.80 based on 0.1x FY26E P/B (previous PT is HK$1.6 based on 0.2x FY26E P/B), as we believe that the competitive environment is likely to remain challenging and hence put pressure on profitability. Our conservative multiple reflects our LT reservation on domestic demand in Chinese market and BAIC lack of catalyst especially in the competitive domestic market.

Risks to Rating and Price Target

Key upside/downside risks to our rating and price target include: (1) better-/worse-than-expected sales of Beijing Benz or Beijing Hyundai; (2) lower-/higher-than-expected losses from its own-brand business; and (3) a higher-/lower-than-expected dividend payout.

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BAIC Motor Corp LTD (1958): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**192,496**	**164,047**	**131,201**	**140,435**	**147,627**
COGS	(161,609)	(145,035)	(106,206)	(111,495)	(115,826)
Gross profit	**30,887**	**19,012**	**24,995**	**28,940**	**31,800**
SG&A	(4,802)	(2,598)	(8,238)	(9,666)	(10,794)
Adj. EBITDA	**26,085**	**16,415**	**16,757**	**19,274**	**21,006**
D&A	(8,703)	(8,441)	(8,060)	(7,640)	(7,292)
Adj. EBIT	**17,382**	**7,974**	**8,697**	**11,634**	**13,714**
Net Interest	50	(107)	36	(16)	2
Adj. PBT	**15,977**	**9,698**	**8,329**	**11,282**	**13,382**
Tax	(6,144)	(3,922)	(3,925)	(4,748)	(5,324)
Minority Interest	(8,877)	(5,654)	(4,983)	(5,903)	(6,543)
Adj. Net Income	**956**	**123**	**(578)**	**631**	**1,515**
Reported EPS (Basic)	0.12	0.02	(0.07)	0.08	0.19
Adj. EPS	**0.12**	**0.02**	**(0.07)**	**0.08**	**0.19**
DPS	**0.13**	**0.00**	**0.00**	**0.00**	**0.02**
Payout ratio	109.0%	0.0%	0.0%	2.8%	12.5%
Shares outstanding	8,015	8,015	8,015	8,015	8,015

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**29,148**	**10,039**	**6,735**	**13,615**	**14,987**
o/w Depreciation & amortization	8,703	8,441	8,060	7,640	7,292
o/w Changes in working capital	804	(5,364)	(6,717)	(731)	(568)
Cash flow from investing activities	**(10,988)**	**(11,030)**	**(10,381)**	**(10,325)**	**(10,270)**
o/w Capital expenditure	(9,991)	(9,991)	(9,991)	(9,991)	(9,991)
as % of sales	*5.2%*	*6.1%*	*7.6%*	*7.1%*	*6.8%*
Cash flow from financing activities	**(15,627)**	**(4,505)**	**1,000**	**1,000**	**811**
o/w Dividends paid	(10,989)	0	0	0	(189)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	(4,505)	(4,505)	1,000	1,000	1,000
Net change in cash	**2,474**	**(5,495)**	**(2,646)**	**4,290**	**5,528**
Adj. Free cash flow to firm	**19,127**	**112**	**(3,275)**	**3,633**	**4,995**
y/y Growth	*24.1%*	*(99.4%)*	*(3013.6%)*	*(210.9%)*	*37.5%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	33,598	23,366	20,720	25,010	30,538
Accounts receivable	16,800	25,604	10,694	11,446	12,033
Inventories	27,913	21,604	21,823	22,910	23,800
Other current assets	3,375	5,360	4,776	4,940	5,068
Current assets	**81,686**	**75,935**	**58,013**	**64,307**	**71,439**
PP&E	45,584	43,401	40,988	38,995	37,350
LT investments	-	-	-	-	-
Other non current assets	44,774	47,169	51,500	55,841	60,130
Total assets	**172,044**	**166,505**	**150,501**	**159,143**	**168,919**
Short term borrowings	6,318	5,935	6,285	6,635	6,985
Payables	39,308	43,668	22,260	23,368	24,276
Other short term liabilities	38,663	30,279	30,279	30,279	30,279
Current liabilities	**84,290**	**79,882**	**58,824**	**60,282**	**61,540**
Long-term debt	2,271	1,987	2,637	3,287	3,937
Other long term liabilities	7,002	7,551	7,551	7,551	7,551
Total liabilities	**93,563**	**89,420**	**69,011**	**71,120**	**73,028**
Shareholders' equity	57,315	57,945	57,366	57,997	59,322
Minority interests	21,167	19,140	24,123	30,026	36,569
Total liabilities & equity	**172,044**	**166,505**	**150,501**	**159,143**	**168,919**
BVPS	**7.15**	**7.23**	**7.16**	**7.24**	**7.40**
y/y Growth	*0.5%*	*1.1%*	*(1.0%)*	*1.1%*	*2.3%*
Net debt/(cash)	(25,009)	(15,445)	(11,799)	(15,089)	(19,617)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	16.0%	11.6%	19.1%	20.6%	21.5%
EBITDA margin	13.6%	10.0%	12.8%	13.7%	14.2%
EBIT margin	9.0%	4.9%	6.6%	8.3%	9.3%
Net profit margin	0.5%	0.1%	(0.4%)	0.4%	1.0%
ROE	1.7%	0.2%	(1.0%)	1.1%	2.6%
ROA	0.6%	0.1%	(0.4%)	0.4%	0.9%
ROCE	15.7%	7.2%	7.0%	10.0%	12.0%
SG&A/Sales	2.5%	1.6%	6.3%	6.9%	7.3%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.1	1.0	0.8	0.9	0.9
Assets/Equity (x)	2.98	2.94	2.75	2.68	2.80
Interest cover (x)	NM	153.1	NM	1,217.2	NM
Operating leverage	902.5%	366.2%	(45.3%)	479.9%	349.1%
Tax rate	38.5%	40.4%	47.1%	42.1%	39.8%
Revenue y/y Growth	(2.8%)	(14.8%)	(20.0%)	7.0%	5.1%
EBITDA y/y Growth	(18.4%)	(37.1%)	2.1%	15.0%	9.0%
EPS y/y Growth	(68.5%)	(87.2%)	(571.5%)	(209.1%)	140.0%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	5.7	44.1	NM	8.6	3.6
P/BV (x)	0.1	0.1	0.1	0.1	0.1
EV/EBITDA (x)	0.7	1.6	2.1	2.0	1.9
Dividend Yield	19.3%	0.0%	0.0%	0.3%	3.5%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Chongqing Changan Automobile - A

Underweight

000625.SZ,000625 CH
Price (13 Jul 26): Rmb6.89

▼ **Price Target (Dec-26): Rmb4.50**
Prior (Dec-26): Rmb6.60

China
Head of APAC Auto Research

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	51	51	61	45	32
Growth	80	69	74	20	98
Momentum	89	57	87	35	53
Quality	84	72	75	81	95
Low Vol	16	34	59	72	85
ESGQ	90	86	21	26	16

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Stay UW

Changan Auto A/B were down 40%/24% YTD vs MXCN -10% or broader China autos -17%, primarily driven by a sluggish domestic PV market and lingering concerns over own-brand NEV profitability. Despite sequential volume stabilization in 2Q, intense price competition continues to cloud the near-term earnings outlook. We stay UW.

- **China business development:** 2Q26 wholesale sales reached 561.4k units (-14% YoY, +0.7% QoQ), with 1H cumulative sales down 17% YoY. The own-brand segment (82.5% of total volume) showed signs of stabilization, with 2Q sales down 14% YoY—a notable narrowing from 1Q's 25% decline. The sequential recovery was largely driven by the NEV portfolio: Qiyuan 2Q deliveries surged 177% QoQ, and Deepal rose 95% QoQ (S05 gaining traction). However, despite volume improvements, own-brand NEV profitability remains a core overhang. Management targets breakeven for Deepal and Qiyuan in FY26, but we remain skeptical given the escalating price war and heavy R&D/capex requirements, while Avatar's breakeven timeline still lacks visibility.
- **Overseas strategy/plan:** Overseas expansion has emerged as the most effective hedge against domestic weakness. In June, overseas sales hit 91.1k units, accounting for an impressive 45% of total monthly volume. Changan is aggressively executing its "Global 4+2" strategy, underpinned by localized production facilities in Thailand and Brazil, and an expanding global dealer network exceeding 1,000 outlets. The company's 2026 overseas volume target was 750k units. We acknowledge the strategic breadth of this global push and view Changan's early mover advantage in key regional markets as a viable long-term growth lever.
- **Our view / earnings revision:** We stay UW on both Changan A and B. While we appreciate Changan's strategic initiatives in overseas expansion and LT ADAS/Robotics, we see most state-owned OEMs (including SAIC, BAIC and GAC) facing similar headwinds on own-brand and JV profitability. We cut our PT to Rmb4.5/HKD2 based on 12x/5x 26E P/E.

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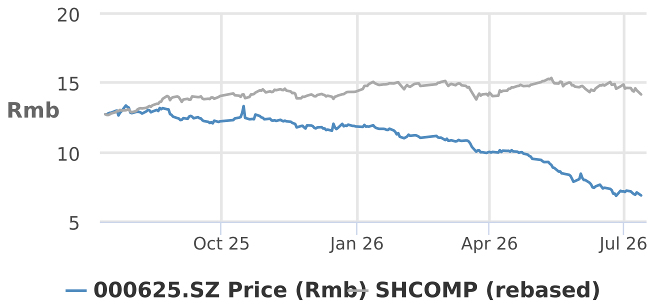
Price Performance



	YTD	1m	3m	12m
Abs	-41.9%	-8.6%	-31.8%	-46.1%
Rel	-40.5%	-5.7%	-29.9%	-57.3%

Company Data

Shares O/S (mn)	8,271
52-week range (Rmb)	13.84-6.66
Market cap ($ mn)	8,409
Exchange rate	6.78
Free float (%)	51.0%
3M ADV (mn)	88.73
3M ADV ($ mn)	109.1
Volatility (90 Day)	24
Index	SSE
BBG ANR (Buy | Hold | Sell)	19|4|2

Key Metrics (FYE Dec)

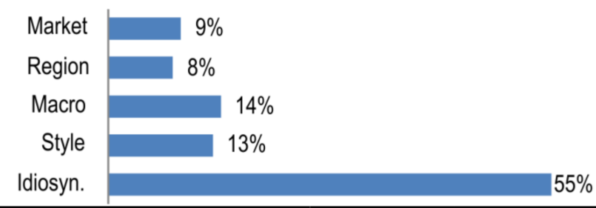
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	164,000	204,207	217,954	232,843
Adj. EBITDA	8,540	9,521	9,510	9,947
Adj. EBIT	2,363	3,484	3,841	4,577
Adj. net income	4,075	3,476	3,756	4,391
Net margin	2.5%	1.7%	1.7%	1.9%
Adj. EPS	0.41	0.35	0.38	0.44
BBG EPS	0.55	0.47	0.63	0.68
Cashflow from operations	1,836	6,165	8,099	10,670
FCFF	(2,843)	1,585	3,519	6,090
Margins and Growth				
Revenue Growth Y/Y (%)	2.7%	24.5%	6.7%	6.8%
EBITDA margin	5.2%	4.7%	4.4%	4.3%
EBITDA Growth Y/Y (%)	(33.0%)	11.5%	(0.1%)	4.6%
EBIT margin	1.4%	1.7%	1.8%	2.0%
Adj. EPS growth	(44.3%)	(14.7%)	8.0%	16.9%
Ratios				
Adj. tax rate	27.5%	5.4%	5.6%	6.1%
Interest cover	80.1	123.9	103.5	93.1
Net debt/Equity	NM	NM	0.1	0.1
Net debt/EBITDA	NM	NM	0.7	1.2
ROCE	1.5%	2.7%	2.8%	3.2%
ROE	5.3%	4.4%	4.5%	5.1%
Valuation				
FCFF yield	(4.1%)	2.3%	5.1%	8.9%
Dividend yield	3.1%	1.7%	1.5%	1.6%
EV/EBITDA	6.9	7.0	7.8	8.0
EV/Revenue	0.4	0.3	0.3	0.3
Adj. P/E	16.8	19.7	18.3	15.6

Summary Investment Thesis and Valuation

Fundamentally, we remain constructive on the company's strategic initiatives on overseas expansion and LT ADAS+Robotics strategy. However, our reservation lies in 1) weak domestic PV market in China this year and 2) the company's ability to recover the profitability of its own brand NEV business given intensifying competitive pressure. Based on weak YTD performance (including YTD sales and 1Q26 results), we see downward revision risk to Street estimates. We downgrade both Changan A and B to UW.

Our Dec-26 PT of Rmb4.5 is based on 12x 2026E P/E (vs previous Rmb6.6 is based on 19x 2026E P/E). We trim 26E P/E as we believe that the competitive environment is likely to remain challenging and hence put pressure on profitability. Our target multiple is in line with the average forward P/E of covered SOE OEMs, based on JPMe. We apply a higher multiple to Changan-A than to Changan-B, as the A-shares have traded historically at a premium to B-shares.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.31	0.30
Region: China	0.30	0.37
Macro:		
Citi Economic Surprise - EM	-0.21	-0.33
JPM China A-shares Sentiment	0.18	0.22
JP Morgan GBI-EM Global Div	0.19	0.20
Quant Styles:		
Size	-0.58	-0.40
Growth	-0.17	-0.21
Momentum	-0.18	-0.15

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Chongqing Changan Automobile - A *(Underweight; Price Target: Rmb4.50)*

Investment Thesis

Fundamentally, we remain constructive on the company's strategic initiatives on overseas expansion and LT ADAS+Robotics strategy. However, our reservation lies in 1) weak domestic PV market in China this year and 2) the company's ability to recover the profitability of its own brand NEV business given intensifying competitive pressure. Based on weak YTD performance (including YTD sales and 1Q26 results), we see downward revision risk to the Street estimates. We downgrade both Changan A and B to UW.

Valuation

Our Dec-26 PT of Rmb4.5 is based on 12x 2026E P/E (vs previous Rmb6.6 is based on 19x 2026E P/E). We trim 26E P/E as we believe that the competitive environment is likely to remain challenging and hence put pressure on profitability. Our target multiple is in line with the average forward P/E of covered SOE OEMs, based on JPMe. We apply a higher multiple to Changan-A than to Changan-B, as the A-shares have traded historically at a premium to B-shares.

Risks to Rating and Price Target

Upside/downside risks to our rating and price target include: 1) better-/worse-than-expected sales or pricing of key models; and 2) an unexpected increase/decrease in the dividend payout.

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Chongqing Changan Automobile - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**159,733**	**164,000**	**204,207**	**217,954**	**232,843**
COGS	(135,869)	(138,514)	(173,349)	(184,694)	(197,141)
Gross profit	**23,864**	**25,486**	**30,857**	**33,260**	**35,702**
SG&A	(11,940)	(14,516)	(15,724)	(16,782)	(17,696)
Adj. EBITDA	**12,752**	**8,540**	**9,521**	**9,510**	**9,947**
D&A	(5,711)	(6,177)	(6,037)	(5,669)	(5,369)
Adj. EBIT	**7,040**	**2,363**	**3,484**	**3,841**	**4,577**
Net Interest	(118)	(107)	(77)	(92)	(107)
Adj. PBT	**7,174**	**2,512**	**3,614**	**3,979**	**4,725**
Tax	(653)	(690)	(196)	(223)	(286)
Minority Interest	1,217	908	307	(70)	(90)
Adj. Net Income	**7,321**	**4,075**	**3,476**	**3,756**	**4,391**
Reported EPS (Basic)	0.74	0.41	0.35	0.38	0.44
Adj. EPS	**0.74**	**0.41**	**0.35**	**0.38**	**0.44**
DPS	**0.25**	**0.21**	**0.12**	**0.10**	**0.11**
Payout ratio	33.3%	51.5%	33.7%	26.6%	24.6%
Shares outstanding	9,953	9,953	9,953	9,953	9,953

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**4,849**	**1,836**	**6,165**	**8,099**	**10,670**
o/w Depreciation & amortization	5,711	6,177	6,037	5,669	5,369
o/w Changes in working capital	(4,442)	(7,840)	(5,155)	(1,854)	(32)
Cash flow from investing activities	**(4,313)**	**(12,224)**	**(13,140)**	**(13,017)**	**(13,012)**
o/w Capital expenditure	(4,868)	(4,679)	(4,579)	(4,579)	(4,579)
as % of sales	*3.0%*	*2.9%*	*2.2%*	*2.1%*	*2.0%*
Cash flow from financing activities	**(1,391)**	**(194)**	**100**	**100**	**100**
o/w Dividends paid	(3,450)	(3,478)	0	0	0
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	506	436	100	100	100
Net change in cash	**(652)**	**(10,281)**	**(6,875)**	**(4,819)**	**(2,242)**
Adj. Free cash flow to firm	**(19)**	**(2,843)**	**1,585**	**3,519**	**6,090**
y/y Growth	*(100.1%)*	*15095.5%*	*(155.8%)*	*122.0%*	*73.1%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	64,182	54,022	47,146	42,328	40,086
Accounts receivable	48,979	37,195	51,567	57,381	61,759
Inventories	17,081	22,518	18,997	20,240	21,604
Other current assets	6,126	14,818	22,585	30,131	37,685
Current assets	**136,369**	**128,553**	**140,296**	**150,080**	**161,134**
PP&E	23,370	23,078	23,820	24,533	25,220
LT investments	18,526	20,427	21,787	23,255	24,390
Other non current assets	29,904	30,904	28,503	26,499	24,821
Total assets	**208,168**	**202,961**	**214,406**	**224,367**	**235,566**
Short term borrowings	34,851	44,492	44,985	47,988	51,275
Payables	43,836	29,841	35,145	37,445	39,968
Other short term liabilities	34,671	31,727	34,206	35,037	35,945
Current liabilities	**113,357**	**106,059**	**114,335**	**120,470**	**127,188**
Long-term debt	36	0	0	0	0
Other long term liabilities	15,694	14,917	14,917	14,917	14,917
Total liabilities	**129,088**	**120,976**	**129,252**	**135,387**	**142,105**
Shareholders' equity	76,576	77,336	80,813	84,569	88,960
Minority interests	2,504	4,649	4,341	4,411	4,501
Total liabilities & equity	**208,168**	**202,961**	**214,406**	**224,367**	**235,566**
BVPS	**7.78**	**7.80**	**8.15**	**8.53**	**8.97**
y/y Growth	*6.0%*	*0.3%*	*4.5%*	*4.6%*	*5.2%*
Net debt/(cash)	(29,167)	(8,831)	(1,463)	6,360	11,888

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	14.9%	15.5%	15.1%	15.3%	15.3%
EBITDA margin	8.0%	5.2%	4.7%	4.4%	4.3%
EBIT margin	4.4%	1.4%	1.7%	1.8%	2.0%
Net profit margin	4.6%	2.5%	1.7%	1.7%	1.9%
ROE	9.9%	5.3%	4.4%	4.5%	5.1%
ROA	3.7%	2.0%	1.7%	1.7%	1.9%
ROCE	5.8%	1.5%	2.7%	2.8%	3.2%
SG&A/Sales	7.5%	8.9%	7.7%	7.7%	7.6%
Net debt/Equity	NM	NM	NM	0.1	0.1
Net debt/EBITDA	NM	NM	NM	0.7	1.2
Sales/Assets (x)	0.8	0.8	1.0	1.0	1.0
Assets/Equity (x)	2.68	2.67	2.64	2.65	2.65
Interest cover (x)	107.8	80.1	123.9	103.5	93.1
Operating leverage	(697.2%)	(2487.2%)	193.6%	152.0%	280.7%
Tax rate	9.1%	27.5%	5.4%	5.6%	6.1%
Revenue y/y Growth	5.6%	2.7%	24.5%	6.7%	6.8%
EBITDA y/y Growth	(23.8%)	(33.0%)	11.5%	(0.1%)	4.6%
EPS y/y Growth	(35.2%)	(44.3%)	(14.7%)	8.0%	16.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	9.4	16.8	19.7	18.3	15.6
P/BV (x)	0.9	0.9	0.8	0.8	0.8
EV/EBITDA (x)	2.9	6.9	7.0	7.8	8.0
Dividend Yield	3.6%	3.1%	1.7%	1.5%	1.6%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Chongqing Changan Automobile - B

Underweight

200625.SZ,200625 CH
Price (13 Jul 26): HK$3.12

▼ **Price Target (Dec-26): HK$2.00**
Prior (Dec-26): HK$2.50

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Growth	73	69	75	21	98
Momentum	94	33	70	23	48
Quality	75	74	75	54	96
Low Vol	13	14	16	39	54
ESGQ	90	86	21	26	16

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	-26.8%	-10.1%	-21.8%	-25.7%
Rel	-12.7%	-5.9%	-12.5%	-12.9%

Company Data

Shares O/S (mn)	1,642
52-week range (HK$)	5.05-3.08
Market cap ($ mn)	653
Exchange rate	7.84
Free float (%)	100.0%
3M ADV (mn)	4.07
3M ADV ($ mn)	1.8
Volatility (90 Day)	23
Index	SZBSHR
BBG ANR (Buy | Hold | Sell)	1|0|1

Key Metrics (FYE Dec)

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EBITDA Growth Y/Y (%)	(33.0%)	11.5%	(0.1%)	4.6%
EBIT margin	1.4%	1.7%	1.8%	2.0%
Adj. EPS growth	(44.3%)	(14.7%)	8.0%	16.9%
Ratios				
Adj. tax rate	27.5%	5.4%	5.6%	6.1%
Interest cover	80.1	123.9	103.5	93.1
Net debt/Equity	NM	NM	0.1	0.1
Net debt/EBITDA	NM	NM	0.7	1.2
ROCE	1.5%	2.7%	2.8%	3.2%
ROE	5.3%	4.4%	4.5%	5.1%
Valuation				
FCFF yield	(10.6%)	5.9%	13.1%	22.7%
Dividend yield	7.8%	4.4%	3.7%	4.0%
EV/EBITDA	9.3	9.1	9.9	10.0
EV/Revenue	0.5	0.4	0.4	0.4
Adj. P/E	6.6	7.7	7.1	6.1

Summary Investment Thesis and Valuation

Fundamentally, we remain constructive on the company's strategic initiatives on overseas expansion and LT ADAS+Robotics strategy. However, our reservation lies in 1) weak domestic PV market in China this year and 2) the company's ability to recover the profitability of its own brand NEV business given intensifying competitive pressure. Based on weak YTD performance (including YTD sales and 1Q26 results), we see downward revision risk to Street estimates. We downgrade both Changan A and B to UW.

Our Dec-26 PT of HKD2 is based on 5x 2026E P/E (vs previous HKD2.5 is based on 6x 2026E P/E), in line with historical average P/E. We trim 26E P/E as we believe that the competitive environment is likely to remain challenging and hence put pressure on profitability and low liquidity in the B-share market. Our target multiple is in line with the average forward P/E of covered SOE OEMs, based on JPMe. We apply a lower multiple to Changan-B than to Changan-A, as the A-shares have historically traded at a premium to the B-shares.

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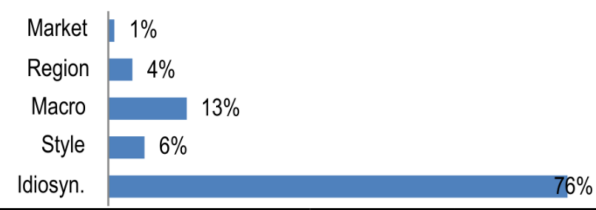

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.09	0.15
Region: China	0.38	0.28
Macro:		
Citi Economic Surprise - EM	-0.09	-0.25
JP Morgan EMBI Global Spread	-0.13	-0.25
JPM China A-shares Sentiment	0.06	0.17
Quant Styles:		
Growth	-0.02	-0.22
DivYld	0.15	0.20
Value	0.05	0.18

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Chongqing Changan Automobile - B *(Underweight; Price Target: HK$2.00)*

Investment Thesis

Fundamentally, we remain constructive on the company's strategic initiatives on overseas expansion and LT ADAS+Robotics strategy. However, our reservation lies in 1) weak domestic PV market in China this year and 2) the company's ability to recover the profitability of its own brand NEV business given intensifying competitive pressure. Based on weak YTD performance (including YTD sales and 1Q26 results), we see downward revision risk to Street estimates. We downgrade both Changan A and B to UW.

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Adj. EBIT	**7,040**	**2,363**	**3,484**	**3,841**	**4,577**
Net Interest	(118)	(107)	(77)	(92)	(107)
Adj. PBT	**7,174**	**2,512**	**3,614**	**3,979**	**4,725**
Tax	(653)	(690)	(196)	(223)	(286)
Minority Interest	1,217	908	307	(70)	(90)
Adj. Net Income	**7,321**	**4,075**	**3,476**	**3,756**	**4,391**
Reported EPS (Basic)	0.74	0.41	0.35	0.38	0.44
Adj. EPS	**0.74**	**0.41**	**0.35**	**0.38**	**0.44**
DPS	**0.25**	**0.21**	**0.12**	**0.10**	**0.11**
Payout ratio	33.3%	51.5%	33.7%	26.6%	24.6%
Shares outstanding	9,953	9,953	9,953	9,953	9,953

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**4,849**	**1,836**	**6,165**	**8,099**	**10,670**
o/w Depreciation & amortization	5,711	6,177	6,037	5,669	5,369
o/w Changes in working capital	(4,442)	(7,840)	(5,155)	(1,854)	(32)
Cash flow from investing activities	**(4,313)**	**(12,224)**	**(13,140)**	**(13,017)**	**(13,012)**
o/w Capital expenditure	(4,868)	(4,679)	(4,579)	(4,579)	(4,579)
as % of sales	*3.0%*	*2.9%*	*2.2%*	*2.1%*	*2.0%*
Cash flow from financing activities	**(1,391)**	**(194)**	**100**	**100**	**100**
o/w Dividends paid	(3,450)	(3,478)	0	0	0
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	506	436	100	100	100
Net change in cash	**(652)**	**(10,281)**	**(6,875)**	**(4,819)**	**(2,242)**
Adj. Free cash flow to firm	**(19)**	**(2,843)**	**1,585**	**3,519**	**6,090**
y/y Growth	*(100.1%)*	*15095.5%*	*(155.8%)*	*122.0%*	*73.1%*

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	64,182	54,022	47,146	42,328	40,086
Accounts receivable	48,979	37,195	51,567	57,381	61,759
Inventories	17,081	22,518	18,997	20,240	21,604
Other current assets	6,126	14,818	22,585	30,131	37,685
Current assets	**136,369**	**128,553**	**140,296**	**150,080**	**161,134**
PP&E	23,370	23,078	23,820	24,533	25,220
LT investments	18,526	20,427	21,787	23,255	24,390
Other non current assets	29,904	30,904	28,503	26,499	24,821
Total assets	**208,168**	**202,961**	**214,406**	**224,367**	**235,566**
Short term borrowings	34,851	44,492	44,985	47,988	51,275
Payables	43,836	29,841	35,145	37,445	39,968
Other short term liabilities	34,671	31,727	34,206	35,037	35,945
Current liabilities	**113,357**	**106,059**	**114,335**	**120,470**	**127,188**
Long-term debt	36	0	0	0	0
Other long term liabilities	15,694	14,917	14,917	14,917	14,917
Total liabilities	**129,088**	**120,976**	**129,252**	**135,387**	**142,105**
Shareholders' equity	76,576	77,336	80,813	84,569	88,960
Minority interests	2,504	4,649	4,341	4,411	4,501
Total liabilities & equity	**208,168**	**202,961**	**214,406**	**224,367**	**235,566**
BVPS	**7.78**	**7.80**	**8.15**	**8.53**	**8.97**
y/y Growth	*6.0%*	*0.3%*	*4.5%*	*4.6%*	*5.2%*
Net debt/(cash)	(29,167)	(8,831)	(1,463)	6,360	11,888

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	14.9%	15.5%	15.1%	15.3%	15.3%
EBITDA margin	8.0%	5.2%	4.7%	4.4%	4.3%
EBIT margin	4.4%	1.4%	1.7%	1.8%	2.0%
Net profit margin	4.6%	2.5%	1.7%	1.7%	1.9%
ROE	9.9%	5.3%	4.4%	4.5%	5.1%
ROA	3.7%	2.0%	1.7%	1.7%	1.9%
ROCE	5.8%	1.5%	2.7%	2.8%	3.2%
SG&A/Sales	7.5%	8.9%	7.7%	7.7%	7.6%
Net debt/Equity	NM	NM	NM	0.1	0.1
Net debt/EBITDA	NM	NM	NM	0.7	1.2
Sales/Assets (x)	0.8	0.8	1.0	1.0	1.0
Assets/Equity (x)	2.68	2.67	2.64	2.65	2.65
Interest cover (x)	107.8	80.1	123.9	103.5	93.1
Operating leverage	(697.2%)	(2487.2%)	193.6%	152.0%	280.7%
Tax rate	9.1%	27.5%	5.4%	5.6%	6.1%
Revenue y/y Growth	5.6%	2.7%	24.5%	6.7%	6.8%
EBITDA y/y Growth	(23.8%)	(33.0%)	11.5%	(0.1%)	4.6%
EPS y/y Growth	(35.2%)	(44.3%)	(14.7%)	8.0%	16.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	3.7	6.6	7.7	7.1	6.1
P/BV (x)	0.3	0.3	0.3	0.3	0.3
EV/EBITDA (x)	4.5	9.3	9.1	9.9	10.0
Dividend Yield	9.1%	7.8%	4.4%	3.7%	4.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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